



Amwins Insurance Brokerage, LLC
5910 North Central Expressway
Suite 500
Dallas, TX 75206

amwins.com

July 9, 2025

Angie Viator
TSL Insurance Group, Inc.
P. O. Box 599
Franklin, LA 70538

RE: Belle Realty of Lafayette, LLC
Policy Period: 5/15/2025 to 5/15/2026

Carrier	Policy Number
Velocity Specialty Insurance Company	2021-801944-05
Velocity Specialty Insurance Company	2021-801944-05
Fortegra Specialty Insurance Company	2021-801944-05
Certain Underwriters at Lloyd's, London	2021-801944-05
Velocity Specialty Insurance Company	2021-801944-05
United Specialty Insurance Company	2021-801944-05
Emerald Bay Specialty Insurance Company	2021-801944-05
National Fire & Marine Insurance Company	2021-801944-05

Dear Angie:

Please find the attached Property Policy for Belle Realty of Lafayette, LLC, effective 5/15/2025.

The policy sets out the precise coverage terms and conditions that have been bound. Please review the policy carefully. If after review, you find any errors in the issuance, please contact us immediately to discuss.

Claim Reporting

Please report any claims in accordance with the terms of the policy. We believe time is crucial in the initial reporting process; therefore, reporting claims in accordance with the policy terms will speed up the process and is in the best interest of the insured. Additionally, direct reporting is what the insurance carrier prefers and what is required by the policy. If you have any questions regarding claims reporting, please feel free to contact us. Please also note that we are available to assist you and your client in claim resolution.

Should you have any questions or need anything further, please feel free to contact me.

Thank you for your business. We truly appreciate it.

Sincerely,

Gavin Thornton

Technical Assistant

T 214.528.3999 | gavin.thornton@amwins.com

Amwins Insurance Brokerage, LLC

5910 North Central Expressway | Suite 500 | Dallas, TX 75206 | amwins.com

On behalf of,

Justin Kotrla

Senior Vice President

T 214.561.9339 | F 214.528.9101 | justin.kotrla@amwins.com

Amwins Insurance Brokerage, LLC

In California: Amwins Brokerage Insurance Services | License 0F19710

5910 North Central Expressway | Suite 500 | Dallas, TX 75206 | amwins.com

10 Burton Hills Blvd. Suite 300 A
Nashville, TN 37215

844-878-7529
www.VelocityRisk.com

Belle Realty of Lafayette LLC
PO Box 62230
Lafayette
LA, 70596-2230

Policy ID: 2021-801944-05
Policy Type: Commercial Property

Belle Realty of Lafayette LLC

Thank you for your continued business with Velocity Risk Underwriters, LLC, for your small commercial insurance needs. Below is a list of changes from your last policy term.

Changes in Locations

- The total TIV for Location 1 - 101 Arnould Blvd # 101-149, Lafayette, LA, 70506-6213 has been changed from \$8,684,333.00 to \$8,917,006.00

Changes in Forms and Endorsements

- SMB5172406 has been added.
- SMB3002408 has been added.
- SMB4192406 has been added.
- SMB4262502 has been added.
- SMB5052406 has been added.
- SMB5002406 has been added.
- SMB4032407 has been added.
- SMB4232501 has been added.
- SMB5152406 has been added.
- SMB3002403 has been deleted.
- SMB4192402 has been deleted.
- SMB4262402 has been deleted.
- SMB5052402 has been deleted.
- SMB5002402 has been deleted.
- SMB4031805 has been deleted.
- SMB5172402 has been deleted.
- SMB4232105 has been deleted.

- SMB5152402 has been deleted.

General Property Policy Declarations

This Declaration Page is attached to and forms part of the Policy as defined herein.

Mailing Address:

Belle Realty of Lafayette LLC
PO Box 62230
Lafayette, LA 70596-2230

Policy Term:

12:01 AM Local Time
Effective Date: 05/15/2025
Expiration Date: 05/15/2026

Policy Number:

2021-801944-05
Home state: LA

Named Insured:

Belle Realty of Lafayette LLC
PO Box 62230
Lafayette, LA 70596-2230

NOTICE

This insurance policy is delivered as surplus lines coverage under the Louisiana Insurance Code.

In the event of insolvency of the company issuing this contract, the policyholder or claimant is not covered by the Louisiana Insurance Guaranty Association or the Louisiana Life and Health Insurance Guaranty Association, which guarantees only specific types of policies issued by insurance companies authorized to do business in Louisiana.

VRU Policy Number 2021-801944-05

Carriers	Carrier ID	Participation	Coverage	Premium (X-TRIA)	TRIA Premium	Policy Fee	Inspection Fee	Total Premium & Fees
Velocity Specialty Insurance Company 10 Burton Hills Blvd. Suite 300 B Nashville, TN 37215	VSI-SMB-801944-05	14.70%	All Covered Causes of Loss	\$9,825.33	\$0.00	\$66.15	\$0.00	\$9,891.48
National Fire & Marine Insurance Company 1314 Douglas Street, Suite 1400, Omaha, NE 68102-1944	VNI-CU-801944-05	11.10%	All Covered Causes of Loss	\$7,419.13	\$0.00	\$49.95	\$0.00	\$7,469.08

Carriers	Carrier ID	Participation	Coverage	Premium (X-TRIA)	TRIA Premium	Policy Fee	Inspection Fee	Total Premium & Fees
Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025 Renaissance Re, 18th Floor, 125 Old Broad Street, London EC2N 1AR, United Kingdom	VRR-CU-801944-05	14.80%	All Covered Causes of Loss	\$9,892.17	\$0.00	\$66.60	\$0.00	\$9,958.77
United Specialty Insurance Company 1900 L. Don Dodson Drive Bedford, TX 76201	VVX-CU-801944-05	41.50%	All Covered Causes of Loss	\$27,738.19	\$0.00	\$186.75	\$0.00	\$27,924.94
Fortegra Specialty Insurance Company 10751 Deerwood Park Blvd., Suite 200 Jacksonville FL 32256	FSV-CPP-801944-05	2.90%	All Covered Causes of Loss	\$1,938.33	\$0.00	\$13.05	\$0.00	\$1,951.38
Emerald Bay Specialty Insurance Company 177 Madison Ave, Suite 1004, Morristown, NJ 07960	VEB-CPP-801944-05	15.00%	All Covered Causes of Loss	\$10,025.85	\$0.00	\$67.50	\$0.00	\$10,093.35
Velocity Specialty Insurance Company 10 Burton Hills Blvd. Suite 300 B Nashville, TN 37215	VSI-SMB-801944-05	100%	Equipment Breakdown	\$1,442.00	\$0.00	\$0.00	\$0.00	\$1,442.00
Velocity Specialty Insurance Company 10 Burton Hills Blvd. Suite 300 B Nashville, TN 37215	VSI-SMB-801944-05	100%	Cyber	\$224.00	\$0.00	\$0.00	\$0.00	\$224.00

Please note that carriers and/or carrier participation are subject to change at binding.

Summary of Premium, Taxes, and Fees:

Coverage Premium	Named Storm Wind & Hail Deductible	\$54,290.00
	All Other Perils	\$12,549.00
	Equipment Breakdown	\$1,442.00
	Cyber Liability	\$224.00
	Sub Total Premium	\$68,505.00
Policy Fee	Policy Fee	\$450.00
Inspection Fee		\$0.00
Subtotal		\$68,955.00
Total Policy Cost		\$68,955.00

Coverage Information: Perils/Coverages/Deductibles/Forms:

Peril/Item	Coverage selected	Deductible (if covered)	Form(s)
Named Storm Wind & Hail	Yes	3%	SMB 300 2408 CW All Commercial Property
All Other Wind Hail & Deductible	Yes	\$100,000	SMB 300 2408 CW All Commercial Property
Earthquake	No	N/A	
All Other Perils	Yes	\$5,000	SMB 402 1712 CW ALL All Other Perils
Equipment Breakdown	Yes	\$5,000	SMB 403 2407 CW ALL Equipment Breakdown Coverage
Cyber Liability	Yes	\$1,000	SMB 423 2501 CW ALL Cyber Suite Coverage Endorsement
Terrorism Risk Insurance Act	No	N/A	SMB 517 2411 CW ALL TRIA Rejection Notice
Ancillary Coverage and Sublimits Package	Bronze	Applicable policy deductible applies	SMB 407 2503 CW ALL Additional Coverage Sublimits
Velocity Direct Repair Program	No	N/A	
Calendar Year Deductible	No	N/A	

Additional Policy Forms and Endorsements

Description	Form(s)
Louisiana Disclosure	SMB 507 2103 LA ALL LOUISIANA DISCLOSURE
Coinsurance Endorsement	SMB 425 2101 CW ALL Coinsurance Endorsement
General Complaint Notice	SMB 515 2411 CW ALL General Complaint Notice
Claims Reporting	SMB 501 1805 CW ALL Claims Reporting
Commercial Property	SMB 300 2408 CW All Commercial Property

Description	Form(s)
Emergency Services Endorsement	SMB 432 2208 CW ALL Reasonable Emergency Services Endorsement
All Other Perils	SMB 402 1712 CW ALL All Other Perils
Equipment Breakdown Coverage	SMB 403 2407 CW ALL Equipment Breakdown Coverage
Additional Coverage Sublimits	SMB 407 2103 CW ALL Additional Coverage Sublimits
Roof Valuation	SMB 410 2307 LA ALL ROOF VALUATION
Multiple Buildings	SMB 411 1712 CW ALL Multiple Buildings
Protective Safeguards	SMB 412 1712 CW ALL Protective Safeguards
Gulf Coast Minimum Earned Premium	SMB 415 2107 CW Gulf Coast Minimum Earned Premium
Policyholder Disclosure	SMB 505 2411 CW ALL Policyholder Disclosure
Several Liability Clause	SMB 418 2007 Several Liability Clause
Allocation Endorsement	SMB 419 2503 CW ALL Allocation Endorsement
Cyber Suite Coverage Endorsement	SMB 423 2501 CW ALL Cyber Suite Coverage Endorsement
Property Cyber and Data Exclusion	SMB 424 2105 CW ALL Property Cyber and Data Exclusion
Ren Re Binding Authority Endorsement	SMB 426 2503 CW ALL RR Binding Authority Endorsement
Fraud Notice	SMB 502 1805 CW ALL Fraud Notice
Restricted Assignment of Post-Loss Benefits	SMB 427 2302 CW ALL Restricted Assignment of Post-Loss Benefits
Privacy Notice	SMB 503 1712 CW ALL Privacy Notice
Anti-Public Adjuster Endorsement	SMB 428 2401 CW ALL Anti-Public Adjuster Endorsement
U.S. Treasury Department's Office of Foreign Assets Control Notice	SMB 504 1712 CW ALL U.S. Treasury Department's Office of Foreign Assets Control Notice
Privacy Notice	VR NAH PN 1
TRIA Rejection Notice	SMB 517 2411 CW ALL TRIA Rejection Notice
PHN Service of Suit	SMB 500 2411 CW ALL PHN Service of Suit

Location & Building Detail:

Location 1 - 101 Arnould Blvd # 101-149 - Lafayette, LA 70506-6213: Building-1 1 of 1

Item	Limit
Coverage A: Building	\$7,988,449
Coverage B: Other Structures	\$0

Item	Limit
Coverage C: Contents	\$0
Business Personal Property Contents Limit	\$0
Tenant Improvements and Betterments Limit	\$0
Coverage D: Business Income	\$928,557

Rating Information	Value
ZipCode	70506-6213
County/Parish	Lafayette Parish
Occupancy	Retail w/Refrigeration Equipment
Secondary Occupancy	N/A
Building Construction	Masonry Non-Combustible
Roof Shape	Flat
Building - Year Built	1979
Number of Stories	1
Roof Replacement Year	2020
Protection Class	2
Central Monitored Burglar Alarm	Yes
Central Monitored Fire Alarm	Yes
Fire Protection Sprinklers	No
Roof Anchorage	Unknown
Roof Cover	Built-up roof without gravel
Roof Deck	Unknown
Roof Deck Attachment	Unknown
Does more than 20% EIFS exists on the building?	No
Year plumbing was last updated	2019
Year HVAC was last updated	2021
Year electrical was last updated	2017
Square Footage	77749
Flood Zone	X
Are there any additional building improvement that haven't already been reported?	No

Loss Date	Description	Loss Amount	Loss Cause
10/02/2019	Hail Damage to Roof	\$22,756.00	Windstorm and Hail

Underwriting Questions	Answer	Explanation
Do any of the following hazards exist at any subject locations? - Federal Pacific Electrical Panels - Aluminum wiring - Solid Fuels for cooking or heating - Highly flammable contents, such as fireworks or bulk flammable liquids, etc.	No	
Is the risk at least 50% occupied throughout the year? (Risks less than 50% occupied may not be eligible).	Yes	
Do any of the subject insured risks have any of the following characteristics: - Building under construction or renovation - Building over water - Building without permanent foundation / mobile home or trailer - National Registry Building	No	
Has the customer had any of the following in the past 5years? - Prior Cancellations - Non-renewals from previous carrier - Bankruptcy - Foreclosure	No	
Total TIV		\$8,917,006.00

Named Insureds/Additional Insureds/Additional Interests:

First Mortgagee
 Investar Bank, National Association
 P.O. Box 2422
 Natchitoches, LA 71457

These declarations together with the coverage part declarations, coverage forms and endorsements, if any, issued to form a part thereof, complete the contract of insurance.

Insured Signature:

Date:

Agent Signature:

Date:

This surplus lines policy has been procured by the following licensed Louisiana surplus lines broker:

AmWINS Brokerage of Texas, Inc.
Signature of Licensed Louisiana Surplus Lines Broker
or Authorized Representative

Date:



Amwins Insurance Brokerage, LLC
5910 North Central Expressway
Suite 500
Dallas, TX 75206
amwins.com

NON-ADMITTED PREMIUM AND SURPLUS LINES TAX SUMMARY

Named Insured: Belle Realty of Lafayette, LLC
Policy Period: 5/15/2025 - 5/15/2026
Agency: TSL Insurance Group, Inc.

Policy Premium:	\$68,505.00
Fees:	\$950.00
Surplus Lines Taxes and Fees:	\$3,368.57
Total Premium, Taxes and Fees:	\$72,823.57

SURPLUS LINES DISCLOSURE

Louisiana

NOTICE:

This insurance policy is delivered as surplus lines coverage under the Louisiana Insurance Code. In the event of insolvency of the company issuing this contract, the policyholder or claimant is not covered by the Louisiana Insurance Guaranty Association or the Louisiana Life and Health Insurance Guaranty Association, which guarantees only specific types of policies issued by insurance companies authorized to do business in Louisiana. This surplus lines policy has been procured by the following licensed Louisiana surplus lines broker:

Signature of Licensed Louisiana Surplus Lines Broker or Authorized Representative

Amwins Insurance Brokerage LLC

Printed Name of Licensed Louisiana Surplus Lines Broker

SURPLUS LINES TAX DETAILS

Carrier	Policy Number	Line of Business
Multiple	2021-801944-05	Property

Policy Premium:	\$68,505.00
Fees:	\$950.00
Surplus Lines Taxes and Fees:	\$3,368.57
Total Premium, Taxes and Fees:	\$72,823.57

FEES:

Fee	Taxable	Amount
Louisiana		
Amwins Service Fee	Yes	\$500.00
Market Policy Fee	Yes	\$450.00
Total		\$950.00
Total Fees		\$950.00

SURPLUS LINES TAX CALCULATION:

Description	Taxable Premium	Taxable Fee	Tax Basis	Rate	Tax
Louisiana					
Surplus Lines Tax	\$68,505.00	\$950.00	\$69,455.00	4.850%	\$3,368.57
Total					\$3,368.57
Total Surplus Lines Taxes and Fees					\$3,368.57

NOTICE TO POLICYHOLDERS

LOUISIANA

IMPORTANT INFORMATION REQUIRED BY THE LOUISIANA DEPARTMENT OF INSURANCE

Commercial Insurance Policy Coverage Disclosure Summary

This form is promulgated pursuant to LSA-R.S. 22:1319

THIS IS ONLY A SUMMARY OF YOUR COVERAGE AND DOES NOT AMEND, EXTEND, OR ALTER THE COVERAGES OR ANY OTHER PROVISIONS CONTAINED IN YOUR POLICY. INSURANCE IS A CONTRACT. THE LANGUAGE IN YOUR POLICY CONTROLS YOUR LEGAL RIGHTS AND OBLIGATIONS.

****READ YOUR INSURANCE POLICY**

FOR COMPLETE POLICY TERMS AND CONDITIONS**

COVERAGE(S) FOR WHICH PREMIUM WAS PAID

Commercial Property

Deductibles

This policy sets forth certain deductibles that will be applied to claims for damages. When applicable, a deductible will be subtracted from your total claim and you will be paid the balance subject to applicable coverage limits.

You may be able to reduce your premium by increasing your deductible. Contact your producer (agent) or insurer for details.

NOTICE: This policy does set forth a separate deductible per building for covered losses caused by hurricanes or *Named Storm* as defined in the policy.

This policy does set forth a separate deductible per occurrence for covered losses caused by All Other Wind as defined in the policy.

NOTICE TO POLICYHOLDERS

Separate Deductible Example- Hurricane or Named Storm Damage.

If applicable, the following illustrates how a separate deductible per building applies to hurricane or *Named Storm* damage under your policy:

The following example assumes a 2% *Named Storm* deductible per building. The amounts of loss to the damaged property at Building 1 are \$450,000 (Coverage A - Building) and \$50,000 (Coverage C - Business Personal Property) and at Building 2 are \$30,000 (Coverage A - Building) and \$10,000 (Coverage C - Business Personal Property)

Limits of Insurance on Building 1 (For Coverage A, B, C and D)	\$1,000,000
Total amount of Building and Business Personal Property Damage Loss	\$500,000
Less 2% deductible (\$1,000,000 X .02)	(\$20,000)
Net payment to insured for Building loss	\$480,000

Limits of Insurance on Building 2 (For Coverage A, B, C and D)	\$2,000,000
Total amount of Building and Business Personal Property Damage Loss	\$40,000
Less 2% deductible (\$1,000,000 X .02)	(\$40,000)
Net payment to insured for Building loss	\$0

Net payment to insured for the <i>Named Storm</i> Event	\$480,000
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Separate Deductible Example - All Other Wind Damage.

If applicable, the following illustrates how a separate deductible per occurrence applies to All Other Wind Damage under your policy:

The following example assumes a \$10,000 All Other Wind deductible. The amounts of loss to the damaged property at Building 1 are \$250,000 (Coverage A - Building) and \$50,000 (Coverage C - Business Personal Property).

Limits of Insurance on Building 1 (For Coverage A, B, C and D)	\$1,000,000
Total amount of Building and Business Personal Property Damage Loss	\$300,000
Less All Other Wind deductible	(\$10,000)
Net payment to insured for Building loss	\$290,000

TO SEE EXACTLY HOW SEPARATE HURRICANE, WIND, or *Named Storm* DEDUCTIBLES WILL APPLY, PLEASE REFER TO YOUR POLICY.

LIMITATIONS OR EXCLUSIONS UNDER THIS POLICY

FLOOD: Flood damage may be covered, regardless of how caused, when flood is the peril that causes the loss. Please check your Commercial Property Declarations to see if Flood Coverage applies to your policy. Flood water includes, but is not limited to, storm surge, waves, tidal water, overflow of a body of water, whether driven by wind or not.

Flood Insurance may also be available through the National Flood Insurance Program (NFIP). NFIP flood insurance may provide coverage for damage to your dwelling or building and/or contents subject to the coverage limits and terms of the policy.

Excess Flood Insurance may be available under a separate policy, from this or another insurer, if the amount of the primary flood insurance is not enough to cover the value of your property.

- You may contact your producer (agent) or insurer for more information on the NFIP and excess flood insurance.***

MOLD: - Damage caused solely by mold is not covered under this policy.

****FOR ALL OTHER LIMITATIONS OR EXCLUSIONS REFER TO
YOUR POLICY FOR COMPLETE DETAILS ON TERMS AND
PROVISIONS****

EFFECTIVE JANUARY 1, 2010

Coinsurance Endorsement

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

Co-Insurance Amount: 80%

This policy will not pay the full amount of any loss if the value of Covered Property at the time of loss times the coinsurance percentage shown above is greater than the limit of liability for the property. Instead, the Insurer(s) will determine the most this policy will pay using the following steps:

- (1) Multiply the value of Covered Property at the time of loss by the coinsurance percentage;
- (2) Divide the limit of liability of the property by the figure determined in Step (1);
- (3) Multiply the total amount of loss, before the application of any deductible, by the figure determined in Step (2);
- (4) Subtract the deductible from the figure determined in Step (3).

The Insurer(s) will pay the amount determined in Step (4) or the limit of liability, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

EXAMPLE #1 (UNDERINSURANCE) The value of the property is \$250,000; the coinsurance percentage for it is 80%; the limit of liability for it is \$100,000; the deductible is \$250; and the amount of loss is \$40,000.

Step (1) $\$250,000 \times 80\% = \$200,000$ (the minimum amount of insurance to meet your coinsurance requirements); Step (2) $\$100,000 \div \$200,000 = .50$; Step (3) $\$40,000 \times .50 = \$20,000$; and Step (4): $\$20,000 - \$250 = \$19,750$. The Insurer(s) will pay no more than \$19,750. The remaining \$20,250 is not covered.

EXAMPLE #2 (ADEQUATE INSURANCE) The value of the property is \$250,000; the coinsurance percentage for it is 80%; the limit of liability for it is \$200,000; the deductible is \$250; the amount of loss is \$40,000; and the minimum amount of insurance to meet your coinsurance requirement is \$200,000.

$(\$250,000 \times 80\%)$. Therefore, the limit of liability in this example is adequate and no penalty applies. The Insurer(s) will pay no more than \$39,750 (\$40,000 amount of loss minus the deductible of \$250).

All other terms and conditions, Named Insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

POLICYHOLDER NOTIFICATION

QUESTIONS OR COMPLAINTS ABOUT YOUR INSURANCE?

For information or questions about your insurance, coverage, or assistance in resolving complaints, you may call, write, or email us at:

Velocity Specialty Insurance Company

Email: complaints@velocityrisk.com

Mail: 10 Burton Hills Blvd. Suite 300 B
Nashville, TN 37215

Certain Underwriters at Lloyd's and Other
Insurers Subscribing to Binding Authority
UMR B604510568622025

Email: complaints@lloyds.com

Mail: 18th Floor, 125 Old Broad Street,
London EC2N 1AR, United Kingdom

Fortegra Specialty Insurance Company

Email: consumercomplaints@fortegra.com

Mail: 10751 Deerwood Park Blvd., Suite 200
Jacksonville FL 32256

National Fire & Marine Insurance Company

Email: complaints@velocityrisk.com

Mail: 1314 Douglas Street, Suite 1400, Omaha,
NE 68102-1944

United Specialty Insurance Company

Email: legalcompliance@statenational.com

Mail: 1900 L. Don Dodson Drive Bedford, TX
76201

Emerald Bay Specialty Insurance Company

Email: compliance@emeraldbayrisk.com

Mail: 177 Madison Ave, Suite 1004,
Morristown, NJ 07960

If your questions, concerns, or problems have not been resolved after contacting Velocity Risk Underwriters, LLC., your insurance company, or your insurance agent, you have the right to file a complaint with your state's department of insurance. You may find your state insurance department complaint information by visiting content.naic.org/consumer.htm.

POLICYHOLDER NOTICE CLAIMS REPORTING INFORMATION

All claims shall be reported to Velocity Risk Underwriters Claims via

1. E-mail: **smallbusiness.claims @velocityrisk.com**
(email is preferable for quickest response); or
2. Phone: 1-844-VRU-CLMS (1-844-878-2567)

and/or its adjusters assigned to the respective claim(s). The costs of such adjustments shall be borne by us in proportion to its pro-rata participation in this policy.

Many occurrences result in damages which require immediate attention in order to prevent further loss. Please contact Velocity Risk Underwriters Claims at the e-mail address listed above as soon as possible to report the claim. Please try to have the following information available:

1. Insured name and policy number
2. Exact location of the occurrence
3. Detailed description of the occurrence
4. Type of loss
5. A contact number for someone at the location of the occurrence

SMALL COMMERCIAL PROPERTY FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we," "us," and "our" refer to the Insurer(s) providing this insurance.

Other words and phrases that appear in *italics* have special meaning. Refer to Section I. Definitions.

A. Coverages

The Coverage Territory under this policy applies within the United States of America being the fifty (50) states of the Union, its territories and possessions and the District of Columbia.

We will pay for sudden and accidental direct physical damage to Covered Property at the *locations* described in the Declarations caused by or resulting from any Covered Cause of Loss, during the policy period shown in the Declarations.

This policy only insures against losses resulting from the Covered Causes of Loss of sudden and accidental direct physical damage to Covered Property, except as excluded. Damage from all other causes of loss, whether caused directly or indirectly, are excluded from coverage under this policy, including, but not limited to, any pre-existing building damage at the time of any damage for which claim is made under this policy.

The Covered Causes of Loss are indicated on the Declarations, Coverage Information Section, with a selection of "Yes" in Coverages Selected or added by endorsement. If the word "NO" is shown on the Declarations Coverage Information Section – Coverage Selected, then no coverage is provided for that coverage or Covered Cause of Loss.

If there is no limit for Coverage A, B, C or D on the declarations, the additional coverage that relates to Coverage A, B, C, or D has a \$0 sublimit for all packages.

1. Coverage A - Covered Property

Covered Property, as used in this Coverage Part, means the type of property described in this Covered Property Section and limited in the Property Not Covered Section, if a Limit of Insurance is shown in the Declarations for that type of property.

a. **Building**, meaning the building or structure described in the Declarations, including:

- 1) Completed additions;
- 2) Fixtures, including outdoor fixtures;
- 3) Permanently installed:
 - a) Machinery; and / or
 - b) Equipment;
- 4) **Hard costs**, meaning:
 - a) Foundations, fixtures, attachments and similar property that has become or intended to become a permanent part of the building(s) or structure(s); and / or
 - b) Materials, supplies and similar property owned by others for which you are responsible for. This property must be used in the construction operations insured under this policy and be located at the premise(s) described in the schedule of values.
- 5) **Business Personal Property** owned by you that is used to maintain or service the building or structure or its *locations*, including:
 - a) Fire-extinguishing equipment;

- b) Floor coverings; and / or
 - c) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering.
- 6) If not covered by other insurance:
 - a) Additions under construction, alterations and repairs to the building or structure; and / or
 - b) Materials, equipment, supplies and temporary structures, on or within 1,000 feet of the described *locations*, used for making additions, alterations or repairs to the building or structure.
- b. **Coverage B – Other Buildings / Structures** - Additional Building Property(ies) and / or structure(s) as described on the Declarations.
 - 1) Includes swimming pools, detached garages, sheds, signs, pump houses
 - 2) Includes all fixed outdoor property, and some categories are subject to sublimits.
- c. **Coverage C - Your Business Personal Property** consists of the following property located in or on the building(s) or structure(s) described in the Declarations, in the open, or in a vehicle within 1,000 feet of the covered building or structure or within 1,000 feet of the *locations* described in the Declarations, whichever distance is greater.
 - 1) Furniture and fixtures;
 - 2) Machinery and equipment;
 - 3) *Stock*;
 - 4) All other Business Personal Property owned by you and used in your business;
 - 5) Labor, materials or services furnished or arranged by you on Business Personal Property of others;
 - 6) Your use interest as tenant in improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions:
 - a) Made a part of the building or structure you occupy but do not own; and / or
 - b) You acquired or made at your expense but cannot legally remove;
 - 7) Leased Business Personal Property for which you have a contractual responsibility to insure, unless otherwise provided for under Business Personal Property of Others and / or
 - 8) Animals, owned by others and boarded by you, or if owned by you, only as stock while inside of buildings.

2. Property Not Covered

Covered Property does not include:

- a. Accounts, bills, currency, cryptocurrency, food stamps or other evidences of debt, money, notes or securities. Lottery tickets held for sale are not securities;
- b. Animals, unless owned by others and boarded by you, or if owned by you, only as *stock* while inside of buildings;
- c. Air, *land*, *land* values, and any substance in or on *land*, or any alteration to the natural condition of the *land*. This does not apply to the cost of reclaiming, restoring or repairing *land* improvements, provided the loss is from a Covered Cause of Loss;
- d. Water, except water which is normally contained within any type of tank, piping system or other process equipment;
- e. Standing timber, growing crops, turf, grass and / or lawns;
- f. Bridges, boardwalks, roadways, drainage systems, walks, patios or other paved surfaces;

- g. Contraband, or property during illegal transportation or trade;
- h. The cost of excavations, grading, backfilling or filling;
- i. Foundations of buildings, structures, machinery or boilers if their foundations are below:
 - 1) The lowest basement floor; or
 - 2) The surface of the ground, if there is no basement;
- j. Business Personal Property while airborne or waterborne;
- k. Property shipped by mail;
- l. Bulkheads, pilings, piers, wharves, boathouses, docks, jetties, quays, and breakwaters;
- m. Property that is covered under another coverage form of this or any other policy where it is more specifically described, except for the excess of the amount due (whether you can collect on it or not) from that other insurance;
- n. Property sold by you under conditional sale, trust agreement, installment plan or other deferred payment plan after delivery to customers;
- o. Property in transit, except expressly as provided elsewhere in this policy;
- p. Dams, dikes, levees, bridges, tunnels, reservoirs, sea walls, property lines, revetments, flood retaining walls and canals; except when scheduled on the Declarations;
- q. Underground mines or mining shafts and any related mining property and equipment while underground;
- r. Underground pipes, flues, drains or tanks;
- s. Offshore oil rigs, platforms and property contained therein or thereon;
- t. Satellites and spacecraft while on the launch pad, or after time of a launch;
- u. Collision between astronomical objects, including but not limited to: asteroids, meteor and meteorites and satellites;
- v. Transmission and distribution lines, including support structures, of every type and description; except when located on the insured *locations* or within 1,000 feet;
- w. Property of unit owners within individual residential condominium units, consisting of:
 - 1) Personal property and improvements & betterments; and / or
 - 2) Floor coverings, wall coverings and ceiling coverings which only serve that unit.

However, this exclusion shall not apply to:

- 3) Appliances; refrigerators; air conditioning equipment (including air conditioning compressors); heating equipment; cooking ranges; dishwashers; clothes washers/dryers; and fixtures, installations or permanent additions initially installed in accordance with the original plans and specifications; all contained within the units.
- x. Electronic data, except as provided under the Additional Coverages, Electronic Data. Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data. This paragraph does not apply to your *stock* of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system;

- y. The cost to replace or restore the information on valuable papers and records, including those which exist as electronic data. Valuable papers and records include but are not limited to proprietary information, books of account, deeds, manuscripts, abstracts, drawings and card index systems. Refer to the Additional Coverages for Valuable Papers and Records (Other Than Electronic Data) for limited coverage for valuable papers and records other than those which exist as electronic data;
- z. Vehicles or self-propelled machines (including aircraft, watercraft and railroad rolling *stock*) that:
 - 1) Are held for sale or lease; and / or
 - 2) Are licensed for use on public roads; and / or
 - 3) Are operated principally away from the described *locations*.

This paragraph does not apply to:

- a) Vehicles or self-propelled machines or autos you manufacture, process or warehouse;
 - b) Rowboats or canoes out of water at the described *locations*;
- aa. The following property while outside of buildings:
 - 1) Grain, hay, straw or other crops; and / or
 - 2) Smokestacks, silos or their contents, windmills, wind pumps, wind generators or their towers;
 - bb. Greenhouses, hothouses, gazebos, slat houses, trellises, pergolas, cabanas, and outdoor equipment pertaining to the services of these *locations*.
 - cc. Gas station pumps and gas station canopies.
 - dd. Solar Panels, solar panel systems, and/or any related equipment.

3. Coverage D - Business Income Coverages

This policy is extended to cover Business Income Coverages and Additional Business Income Coverages for the Actual Loss Sustained by you up to the annual limits shown in the Declarations, during the Period of Interruption directly resulting from a Covered Cause of Loss to Covered Property at *location(s)* to which Business Income Coverages apply.

- a. **Actual loss sustained** occurs in the event you are prevented from producing goods or from continuing business operations or services and are unable to:
 - 1) Make up lost production within 365 continuous days after the Period of Interruption, or
 - 2) Continue business operations or services:
 - a) through the use of any property or service owned or controlled by you; or
 - b) obtainable from other sources, whether the property or service is at an insured *location* ; or
 - c) through working extra time or overtime at any other substitute *locations*, including any other *locations* acquired or for this purpose;

then subject to all other conditions of this policy, for the Actual Loss Sustained of the following during the Period of Interruption shall be Covered Property.

- b. The **Period of Interruption**, not to exceed 365 continuous days, is
 - 1) from the time of physical damage insured against by this policy to the time when, with the exercise of due diligence and dispatch, to either:
 - a) Resume normal operations; or
 - b) Repair, replace, or prepare for operations, the physically damaged covered buildings and equipment, to the same or equivalent physical and operating conditions that existed prior to the damage, whichever is less.

- c) Such period of time shall not be cut short by the expiration or earlier termination date of the policy.
- 2) In addition, if applicable, such time as may be required with the exercise of due diligence and dispatch:
 - a) To restore *stock* in process to the same state of manufacture in which it stood at the time of the initial interruption of production or *suspension* of business operations or services; or
 - b) To replace physically damaged or destroyed mercantile *stock* necessary to resume operations; or
 - c) To replace raw materials and supplies in order to continue operations.

However, the inability to procure destroyed mercantile stock or suitable raw materials and supplies to replace similar stock or materials and supplies physically damaged or destroyed shall not increase the Period of Interruption.

- 3) For Property Under Construction: The time period between the anticipated date of substantial completion had no covered loss occurred and the actual date of completion. In calculating the amount of loss, due consideration will be given to the actual experience of the business compiled after substantial completion and start-up.

The Period of Interruption does not include any additional time:

- a) Required for re-staffing or re-training employees; or
- b) Required due to your inability to resume operations for reasons other than those enumerated in 2.a. through 2.b. above; or
- c) Required for making change(s) to the covered buildings, structures, or equipment for any reason except as provided in the Ordinance or Law coverage.

Consideration will be given to the experience of the business prior to the *occurrence* of the Covered Cause of Loss and the probable experience had no loss occurred. Only normal charges and expenses that would have existed had no interruption of production or *suspension* of business operations or services occurred will be covered.

- c. **Business Income Monthly Limitation of Indemnity:** The most we will pay each month during the Period of Interruption for Business Income Coverage Actual Loss Sustained by you resulting directly from a Covered Cause of Loss will be not greater than 1/12 of the annual limit for Business Income Coverages shown on the Declarations. There shall be no liability under this policy for more than the Business Income Monthly Limitation of Indemnity shown on the Declarations for all Business Income Coverages, except for those that have a sublimit on the Additional Coverages and Sublimits Endorsement. Business Income Monthly Limitation of Indemnity is payable each period of thirty (30) consecutive days after the beginning of the Period of Interruption.
- d. **Business Income Coverages** will be:
 - 1) **Gross Earnings**, which in the event of a loss and for the purpose of this coverage are:
 - a) For manufacturing operations: The net sales value of production less the cost of all raw *stock*, materials and supplies utilized in such production; or
 - b) For mercantile or non-manufacturing operations: The total net sales less cost of merchandise sold, materials and supplies consumed in the operations or services rendered by you;
 - c) Plus, all other earnings derived from the operation of the business;
 - d) Less all charges and expenses which do not necessarily continue during the interruption of production or *suspension* of business operations or services.

- 2) **Net Sales**, which in the event of loss at mercantile or non-manufacturing operations, and for the purpose of this coverage, are determined as the amount for which merchandise could have been sold to your regular customers if there was no damage to merchandise.
- 3) **Ordinary Payroll**, which is the entire payroll expense for all your employees except officers, executives, department managers, employees under contract, and other essential employees. The specified number of days that Ordinary Payroll expense is covered is shown on the Additional Coverages and Sublimits Endorsement. The number of days need not be consecutive but must fall within the Period of Interruption of production or *suspension* of business operations or services, or fall within the extension of that period, if an extension is provided.
- 4) **Rental Value**: In respect to Covered Property held for rental to others, this policy is extended to cover the Actual Loss Sustained during the Period of Interruption but not exceeding the reduction in *rental value* less charges and expenses which do not necessarily continue. Due consideration will be given to the historic rental expenses prior to the loss and the probable expenses.

e. **Additional Business Income Coverages** will be:

- 1) **Contingent Business Income Costs** will be covered up to the Sublimits shown on the Additional Coverages and Sublimits Endorsement if sudden and accidental direct physical damage to the real or personal property of a direct supplier or direct customer of you is damaged by a Covered Cause of Loss under this policy, and such damage:
 - a) wholly or partially prevents any of your direct suppliers from supplying their goods and/or services to you; or
 - b) wholly or partially prevents any of your direct customers from accepting your goods and/or services;

This policy is extended to cover the Actual Loss Sustained by you during the Period of Interruption with respect to such real or personal property, if the property of the supplier or customer which sustains damage is of the type of property which would be Covered Property under this policy.

This coverage applies to your direct suppliers or direct customers located within the Coverage Territory.

- 2) **Extended Period of Indemnity** coverage is provided for such additional length of time required to restore you to the same condition as existed had no loss occurred. This will commence with the later of the following dates:
 - a) the date on which the coverage for damage would otherwise terminate; or
 - b) the earliest date on which either normal operations resume, or repair, replacement, or rebuilding of the property that has been damaged is actually completed;

but in no event for a period of time exceeding the number of days specified in the Additional Coverages and Sublimits Endorsement starting with the later of a) or b) above. The Extended Period of Indemnity does not apply to any Additional Business Income Coverages.

However, Extended Period of Indemnity does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described *location(s)* are located. Loss of Business Income must be caused by direct physical damage to Covered Property at the described *location* caused by or resulting from a Covered Cause of Loss.

- 3) **Extra Expense** covers expenses, during the Period of Interruption, over and above normal operating expenses, necessarily incurred by you to avoid or minimize the *suspension* of business at the described *location* or at replacement *locations* or temporary *locations*, including relocation expenses and costs to equip and operate the replacement *location* or

temporary *location* and to minimize *suspension* of business if you cannot continue operations up to the Sublimits shown on the Additional Coverages and Sublimits Endorsement.

You will agree to use any suitable property or service owned or controlled by you or obtainable from other sources in reducing the Extra Expense incurred under this policy.

- 4) **Ingress and Egress:** This policy is extended to cover the Actual Loss Sustained during the Period of Interruption when ingress to or egress from your covered *location* is prohibited as a direct result of a Covered Cause of Loss to real property not insured. The insured physical damage must occur within five (5) statute miles from your covered *location* in order for coverage to apply. Such period of time begins on the date that ingress to or egress from real or personal property is prohibited and ends when ingress or egress is no longer prohibited, but no more than the number of days shown on the Sublimits of the Additional Coverages and Sublimits Endorsement.
- 5) **Interruption by Civil or Military Authority:** This policy is extended to cover the Actual Loss Sustained during the Period of Interruption when access to your covered *location* is prohibited by an order of civil or military authority, if, such order is a direct result of a Covered Cause of Loss to real property not insured. Your physical damage must occur within five (5) statute miles from your covered *location* for coverage to apply. Such period of time begins with the effective date of the order of civil or military authority and ends when the order expires, but no more than the number of days shown on the Additional Coverages and Sublimits Endorsement.
- 6) **Royalties:** This policy is extended to cover loss of income sustained by you under a royalty, licensing fee, or commission agreement between you and another party during the Period of Interruption arising out of sudden and accidental direct physical damage by a Covered Cause of Loss during the term of this policy to real or personal property of such other party, only if such Royalties are up to the Sublimits shown on the Additional Coverages and Sublimits Endorsement. When determining the amount payable, consideration will be given to the amount of income derived by you from such agreements before, and the probable amount of income after, the date of damage.
- 7) **Service Interruption:** This policy is extended to cover the damage to Covered Property and Business Income Coverage resulting from sudden and accidental direct physical damage from a Covered Cause of Loss to: (1) incoming electrical, gas, water and telecommunication equipment and outgoing sewer; or (2) electrical, telecommunication, fuel, water, steam, refrigeration, or other service transmission lines; all situated outside the insured *locations*.
 - a) However, Service Interruption DOES NOT apply to any loss caused by damage to any utility service listed Additional Coverages, Contingent Business Income Costs above, if located more than five (5) statute miles from the covered *location*.
 - b) There shall be no loss payable under this Additional Business Income Coverage unless the interruption exceeds the qualifying period shown on the Additional Coverages and Sublimits Endorsement. In such case, the loss shall be measured from date and time of the loss. With respect to any Business Income Coverage provided, the Period of Interruption ends when: (1) incoming electrical, gas, water, or telecommunication equipment or outgoing sewer or (2) electrical, telecommunication, fuel, water, steam, refrigeration, or other service transmission lines, is restored.
 - c) The Sublimit of Insurance shown on the Additional Coverages and Sublimits Endorsement applies to all damage to Covered Property and/or Business Income Coverages, combined arising out of one Service Interruption. None of the Additional Business Income Coverages apply to the Business Income Coverage provided herein, except *rental value*.

Service Interruption does not include coverage for any increase in loss due to fines or damages for breach of contract or for late or non-completion of orders, or penalties of any nature.

f. Business Income Not Covered:

The following are excluded from Business Income Coverages:

1) **Berth and/or Port Blockage:**

Any loss due to blockage of a port or berth. Blockage means a blockage of any part of the port or berth arising from an *occurrence* which results in the sinking or stranding of a ship, or the inability of a ship to gain access to a berth.

2) **Finished Products:**

Any loss resulting from damage to finished products manufactured by you nor for the time required for their reproduction.

3) **Idle Periods:**

Any loss during any period in which goods would not have been produced, or business operations or services would not have been maintained, for any reason other than physical damage from a Covered Cause of Loss to which this coverage applies.

4) **Remote Loss:**

- a) Any increase in loss due to the suspension, cancellation, or lapse of any lease, contract, license or order; and / or
- b) Any loss due to fines or damages for breach of contract; or for late, or non-completion of orders or penalties of whatever nature; and / or
- c) Any increase in loss due to interference at your *location* by strikers or other persons with rebuilding, repairing, or replacing the property damaged or destroyed, or with the resumption or continuation of business, or with the re-occupancy of the *locations*.
- d) Nor shall there be any liability under this policy for any other consequential or remote loss, other than as specifically stated in the Additional Business Income Coverages in this policy.

5) **Transit:**

Any Business Income loss resulting from damage to property in transit.

B. Covered Causes of Loss

The Covered Causes of Loss included in this policy means all damage arising from the following:

- 1. **Windstorm or Hail** which means direct action of wind or direct action of hail, accompanied by wind or not, which causes damage.
 - a. Windstorm or Hail excludes:
 - 1) Frost or cold weather, and / or
 - 2) Accumulation of ice, snow, sleet, water or any other form of precipitation.

C. Additional Coverages

The following Additional Coverages are subject to the terms and conditions of this policy, including the Deductibles and Sublimits of Insurance corresponding to each Additional Coverage as included on the Additional Coverages and Sublimits Endorsement. These Additional Coverage items are either included or excluded Sublimits of Insurance and are part of, and not in addition to the Limits of Insurance of this policy.

1. **Accounts Receivable**

This policy covers any shortage in the collection of Accounts Receivable directly resulting from a Covered Cause of Loss to Accounts Receivable records.

- a. This additional coverage does not apply to loss due to:
 - 1) Bookkeeping, accounting or billing errors and omissions; and / or

- 2) Alteration, falsification, manipulation, concealment, destruction, or disposal of Accounts Receivable records committed to conceal the wrongful giving, taking, obtaining or withholding of money, securities or other property, but only to the extent of such wrongful giving, taking, obtaining or withholding.

2. Business Personal Property Temporarily in Portable Storage Units

- a. You may extend the insurance that applies to Your Business Personal Property to apply to such property while temporarily stored in a portable storage unit (including a non-owned detached trailer) located within 1,000 feet of the building or structure described in the Declarations.
- b. If the applicable Covered Causes of Loss form or endorsement contains a limitation or exclusion concerning damage from sand, dust, sleet, snow, ice or rain to property in a structure, such limitation or exclusion also applies to property in a portable storage unit.
- c. This Additional Coverage does not apply to damage otherwise covered under this policy or any endorsement to this policy and does not apply to damage to the storage unit itself.

3. Debris Removal

- a. We will pay your expense to remove debris of Covered Property and other debris that is on the described *location(s)*, when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of the sudden and accidental direct physical damage.
- b. Debris Removal does not apply to costs to:
 - 1) Remove debris of property owned by or leased to the landlord of the building where your described *location(s)* are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;
 - 2) Remove any property that is Property Not Covered, including property addressed under the Outdoor Signs, Fences, Antennas, and Vegetation Additional Coverage;
 - 3) Remove property of others;
 - 4) Remove deposits of mud or earth from the grounds of the described *locations*;
 - 5) Extract *pollutants or contaminants* from *land* or water; and / or
 - 6) Remove, restore or replace polluted *land* or water.

4. Electronic Data

- a. Under this Additional Coverage, electronic data has the meaning described under Property Not Covered, Electronic Data. This Additional Coverage does not apply to your *stock* of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system.
- b. Subject to the provisions of this Additional Coverage, we will pay for the cost to replace or restore electronic data which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that electronic data is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the electronic data was stored, with blank media of substantially identical type.
- c. The Covered Causes of Loss applicable to Your Business Personal Property apply to this Additional Coverage, Electronic Data, subject to the following:
 - 1) Coverage under this Additional Coverage, Electronic Data, includes *collapse*.
 - 2) The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. There is no coverage for damage caused by or resulting from manipulation of a computer system (including electronic data) by any employee, including a temporary or leased

employee, or by an entity retained by you or for you to inspect, design, install, modify, maintain, repair or replace that system.

- 3) The most we will pay under this Additional Coverage, Electronic Data, is on the Sublimit in the Additional Coverages and Sublimits Endorsement for all damage sustained in any one policy year, regardless of the number of *occurrences* of damage, the number of *locations*, or the number of computer systems involved. If loss payment on the first *occurrence* does not exhaust this amount, then the balance is available for subsequent damage sustained in but not after that policy year.

6. **Fine Arts**

This policy is extended to cover sudden and accidental direct physical damage from a Covered Cause of Loss to *Fine Arts*. However, no coverage is provided for:

- a. Breakage, marring, scratching, chipping or denting of *Fine Arts*, unless such breakage, marring, scratching, chipping or denting is caused by a Covered Cause of Loss; and / or
- b. Physical damage as a result of restoring, repairing or retouching processes.

7. **Fire Department Service Charge**

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay for services at each *location* described in the Declarations. The Sublimit in the Additional Coverages and Sublimits Endorsement is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

This Additional Coverage applies to your liability for fire department service charges:

- a. Assumed by contract or agreement prior to loss; and/ or
- b. Required by local ordinance.

No Deductible applies to this Additional Coverage. There is no coverage for any costs incurred as a result of a false alarm.

8. **Fungus, Mold(s), Mildew, Spores, or Yeast**

Associated losses will be covered if you establish that the *Fungus, Mold(s), Mildew, Spores, or Yeast* is a direct result of a Covered Cause of Loss and this loss is reported within twelve (12) months from the expiration date of the policy.

9. **Gems and Jewelry**

We will pay for sudden and accidental direct physical damage from a Covered Cause of Loss to precious stones, gems and jewelry.

10. **Leased or Rented Equipment**

This policy is extended to cover sudden and accidental direct physical damage at insured *locations* from a Covered Cause of Loss to equipment that you have leased and/or rented for which you are legally liable.

11. **Leasehold Improvements and Betterments**

This policy is extended to cover the value of undamaged tenant improvements and betterments when your lease is cancelled by the lessor acting under a valid condition of the lease due to sudden and accidental direct physical damage to a building and/or personal property caused by or resulting from a Covered Cause of Loss at an insured *location*.

12. **Leasehold Interest**

If Covered Property is: (1) rendered wholly or partially untenantable by a Covered Cause of Loss during the policy period and (2) your lease is canceled by a party, other than you, or an entity with any common ownership with you, in accordance with the conditions of the lease or as a result of a statutory requirement of the appropriate jurisdiction in which the damaged or destroyed Covered Property is

located, then this policy is extended to cover "The Interest of the Insured as Lessee"(as defined below) or "The Interest of the Insured as Lessor" (as defined below), whichever is applicable, but only for the first three (3) months succeeding the date of the loss and the "Net Lease Interest" (as defined below) shall be paid for the remaining months of the unexpired lease.

- a. Recovery under this additional coverage shall be the pro-rata proportion from the date of loss to expiration date of the lease (to be paid without discount) on your interest in:
 - 1) The amount of bonus paid by you for the acquisition of the lease not recoverable under the terms of the lease;
 - 2) Improvements and betterments to real property which are not covered under any other section of this policy; and / or
 - 3) The amount of advance rental paid by you and not recoverable under the terms of the lease.
- b. Definitions: The following terms, wherever used in this Paragraph 12, shall mean:
 - 1) The "The Interest of the Insured as Lessee" is defined as:
 - a) the excess of the *rental value* of similar *locations* over the actual rental payable by the lessee (including any maintenance or operating charges paid by the lessee) during the unexpired term of the lease; and
 - b) the rental income earned by you from sublease agreements, to the extent not covered under any other section of this policy, over and above the rental expenses specified in the lease between you and the lessor.
 - 2) The "The Interest of the Insured as Lessor" is defined as the difference between the rents payable to the lessor under the terms of the lease in effect at the time of loss and the actual rent collectible by the lessor during the unexpired term of the lease provided the lease is canceled by the lessee, to the extent not covered under any other section of this policy.
 - 3) "Net Lease Interest" is defined as that sum, which placed at 6% interest compounded annually will be equivalent to the "The Interest of the Insured as Lessee or Lessor."
 - 4) There shall be no liability under this policy for any increase of loss which may be occasioned by the suspension, lapse or cancellation of any license or by you exercising any option to cancel the lease. Furthermore, you shall use due diligence, including all things reasonably practicable, to diminish loss under this additional coverage.

13. Limited Pollutant or Contaminant Clean-up and Removal

We will pay your reasonable and necessary additional expense incurred to extract, dispose of or clean up actual presence of *pollutants or contaminants* from *land* or water at the described *locations* if the discharge, dispersal, seepage, migration, release or escape of the *pollutants or contaminants* are caused by or results from a Covered Cause of Loss that occurs during the policy period. The additional expense will be paid only if reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of *pollutants or contaminants*. We will pay for testing which is performed in the course of extracting the *pollutants or contaminants* from the *land* or water.

The most we will pay under this Additional Coverage is the Sublimit in the Additional Coverage s and Sublimits Endorsement for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12-month period of this policy.

14. Loading and Unloading of Property for Transit

This policy is extended to cover your Business Personal Property only while being loaded and unloaded for transit.

15. Lock and Key Replacement

This policy covers the necessary expense to repair or replace the exterior or interior door locks and keys of a covered building when there is sudden and accidental direct physical damage from a Covered Cause of Loss:

- a. If the door keys are stolen in a covered theft loss; and / or
- b. When the Covered Property is damaged, and the door keys are stolen by burglars.

16. Moveable Equipment and Inventory in the Open

We will pay for sudden and accidental direct physical damage from a Covered Cause of Loss to moveable equipment and inventory that is not in a fully enclosed structure.

17. Newly Acquired or Constructed Property

a. Buildings

If this policy covers buildings, you may extend insurance to apply to:

- 1) Your new buildings while being built on the described *locations*; and / or
- 2) Buildings you acquire at *locations*, other than the described *locations*, intended for:
 - a) Similar use as the building described in the Declarations; or
 - b) Use as a warehouse.

b. Your Business Personal Property

- 1) If this policy covers Your Business Personal Property, you may extend insurance to apply to:
 - a) Business personal property, including such property that you newly acquire, at any *location* you acquire other than at fairs, trade shows or exhibitions; and / or
 - b) Business personal property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the *location* described in the Declarations.
- 2) This Additional Coverage does not apply to:
 - a) Personal property of others that is temporarily in your possession in the course of installing or performing work on such property; or
 - b) Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities.

c. Period of Coverage

With respect to insurance provided under this Additional Coverage for Newly Acquired or Constructed Property, coverage will end when any of the following first occurs:

- 1) This policy expires;
- 2) 60 days after you acquire the property or begin construction of that part of the building that would qualify as covered property;
- 3) You report values to us; or
- 4) When we notify you that we will not bind the newly acquired property.

There is no coverage for any property that is partially or wholly insured under any other insurance.

We will charge additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

18. Ordinance or Law

In the event of sudden and accidental direct physical damage from a Covered Cause of Loss under this policy that results in the enforcement of any law, ordinance, governmental directive or standard in effect at the time of damage regulating the construction, repair or use and occupancy of the property, the following is covered under this policy:

- a. **Coverage A – Coverage for Loss to Undamaged Portion of the Building** - For the loss in value of the undamaged portion of the building due to the enforcement of an Ordinance or Law that requires demolition of undamaged parts of the same building.
- b. **Coverage B – Demolition Cost Coverage**- For the cost to demolish and clear the site of undamaged parts of the same building, due to the enforcement of an Ordinance or Law that requires demolition of such undamaged property.
- c. **Coverage C - Increased Cost of Construction** - For the increased cost of repair or replacement of the damaged and undamaged building on the same or another site, limited to the cost that would have been incurred to comply with the minimum requirements of such Ordinance or Law regulating the repair or reconstruction of the damaged property on the same site. However, there is no coverage for any increased cost of construction loss unless the damaged property is rebuilt or replaced.

19. Outdoor Signs, Fences, Antennas, and Vegetation

You may extend the insurance provided by this policy to apply to your outdoor signs, fences, radio and television antennas (including satellite dishes), trees, shrubs and plants (other than trees, shrubs or plants which are *stock* or are part of a vegetated roof), including debris removal expense.

Subject to all terms and limitations of coverage, this Additional Coverage includes the expense of removing from the described *locations* the debris of trees, shrubs and plants which are the property of others, except when you are a tenant and such property is owned by the landlord of the described *locations*.

Outdoor Signs, Fences, Antennas, and Vegetation has a sublimit within Coverage B, Other Buildings and Structures.

20. Pairs or Sets

If two or more components or parts are necessary for a whole or complete product, then this policy covers the reduction in value of insured components or parts of products due to sudden and accidental direct physical damage from a Covered Cause of Loss insured against by this policy to the other insured components or parts of such products.

21. Personal Effects and Property of Others

If this policy covers Your Business Personal Property, you may extend insurance to apply to:

- a. Personal effects owned by you, your officers, your partners or members, your managers or your employees. This Additional Coverage does not apply to damage by theft.
- b. Personal property of others in your care, custody or control.

Our payment for damage to personal property of others will only be for the account of the owner of the property.

22. Professional Fees

This policy is extended to cover reasonable and necessary Claim Preparation Costs (as defined below) incurred by you at our request to determine the extent or amount of insured r damage as a result of a Covered Cause of Loss under this policy, provided that you obtain the prior written approval for the vendor to be engaged.

- a. Claim Preparation Costs means:
 - 1) The cost of taking inventory and the cost of gathering and preparing other data to substantiate the extent or amount of damage; and
 - 2) The cost of services provided by accountants, contractors, and engineers solely to determine the extent or amount of loss.
- b. Claim Preparation Costs and Professional Fees does not mean and excludes:
 - 1) Legal fees, charges and expenses;

- 2) Fees and costs of a public claims adjuster, claim consultant, insurance broker or agent (except forensic accounting services), or any person acting for or on behalf of a public claims adjuster, claim consultant, or insurance broker or agent;
- 3) Costs associated with negotiation or presentation of any claim or part of a claim that is disputed or denied;
- 4) Costs associated with establishing that any claim or part of a claim is covered by the policy; and / or
- 5) Costs which represent overhead or operating expense of yours, including salaries of your such employees.

23. Property Removed from Insured *Locations*

- a. You may extend the insurance provided by this policy to apply to your Covered Property while it is away from the insured *locations*, if it is:
 - 1) Temporarily at a *location* you do not own, lease or operate;
 - 2) In storage at a *location* you lease, provided the lease was executed after the beginning of the current policy term; and / or
 - 3) At any fair, trade show or exhibition.

24. Protection and Preservation of Property

If it is necessary to move Covered Property from the described *locations* to preserve it from damage by a Covered Cause of Loss, we will pay for any sudden and accidental direct physical damage to that property:

- a. While it is being moved or while temporarily stored at another *location*; and
- b. Only if the damage occurs within 30 days after the property is first moved.

25. Reclaiming, Restoring, or Repairing *Land* Improvements

This policy is extended to cover the cost of reclaiming, restoring or repairing *land* improvements, provided the loss is from a Covered Cause of Loss.

26. Reward Reimbursement

This policy covers monetary rewards for information that leads to a criminal conviction in connection with damage to Covered Property by a Covered Cause of Loss, up to amounts agreed by you and us.

27. Seasonal Inventory

We will cover temporary increases in Business Personal Property as stated on the Additional Coverages and Sublimits Endorsement during the months of November to May due to seasonal fluctuations as reflected on your historical inventory, or if not available, based on similar industry fluctuations.

28. Sewer or Water Back Up

We will pay for sudden and accidental direct physical damage due to a Covered Cause of Loss to Covered Property, caused by or resulting from discharge of water or waterborne material from a sewer, drain or sump located at the described *location(s)*, provided such discharge is not induced by *flood* or *flood* related conditions.

29. Sidewalks, Paved Surfaces and Roadways

We will pay for sudden and accidental direct physical damage due to a Covered Cause of Loss to Covered Property to any Sidewalks, Paved Surfaces or Roadways you own or are responsible for repairs or replacement.

30. Spoilage

This policy is extended to cover Spoilage as a direct result of a Covered Cause of Loss. This policy will pay for sudden and accidental direct physical damage to:

- a. Perishable Goods due to Spoilage;
- b. Perishable Goods due to contamination from the release of refrigerant, including but not limited to ammonia; and / or
- c. Perishable Goods due to Spoilage caused by a Covered Cause of Loss to equipment that is owned by a utility, landlord, or other supplier of any of the following services: electrical power, communications, waste disposal, air conditioning, refrigeration, heating, gas, air, water or steam.

If you are unable to replace the Perishable Goods before their anticipated sale, payment will be determined based on the sales price of the Perishable Goods at the time of the loss, less discounts and expenses that otherwise would have been incurred. Otherwise, payment will be determined in accordance with the Loss Settlement Conditions of this policy.

Perishable Goods means personal property:

- 1) maintained under controlled conditions for its preservation, and
- 2) susceptible to damage if the controlled conditions change.

Spoilage Exclusions: There shall be no coverage under this policy for loss or damage caused by or resulting from:

- 1) The disconnection of any refrigerating, cooling or humidity control system from the source of power; and/ or
- 2) The deactivation of electrical power caused by the manipulation of any switch or other device used to control the flow of electrical power or current.

31. Tenant's Glass

We will pay for sudden and accidental direct physical damage due to a Covered Cause of Loss to glass that the insured is responsible to cover as a tenant.

32. Valuable Papers and Records (Other Than Electronic Data)

- a. You may extend the insurance that applies to Your Business Personal Property to apply to the cost to replace or restore the lost information on valuable papers and records for which duplicates do not exist. This Additional Coverage does not apply to valuable papers and records which exist as electronic data. Electronic data has the meaning described under Property Not Covered, Electronic Data.
- b. Coverage under this Additional Coverage includes *collapse*.
- c. We will also pay for the cost of blank material for reproducing the records (if duplicates exist) and (when there is a duplicate) for the cost of labor to transcribe or copy the records. The costs of blank material and labor are subject to the applicable Limit of Insurance on Your Business Personal Property and, therefore, coverage of such costs is not additional insurance.

D. Exclusions and Limitations

The stated exclusions (or failure to include other exclusions) shall in no way expand the coverage provided by this policy or provide coverage for perils not named in this policy. Further, loss, damage, costs, and expenses associated with the exclusions are similarly excluded from coverage under this policy, whether or not a Covered Cause of Loss contributes concurrently or in any sequence to such loss, damage, costs and expenses.

For each Covered Cause of Loss shown on the Declarations Coverage Information section, the respective endorsement contains the policy details relating to the respective peril. If the coverage is selected "Yes" in the Declarations, the peril as defined in the respective endorsement attached to this policy shall be a Covered Cause of Loss and not be excluded. If the coverage is selected "No" in the Declarations, the peril as defined in the respective endorsement attached to this policy shall be excluded from coverage under

this policy.

Any Covered Cause of Loss added by endorsement, shall only provide coverage as defined in the respective endorsement. Any other exclusion contained in this policy shall be an exclusion if not specifically defined in the policy forms or attached endorsements.

There is no coverage under this policy for loss or damage caused directly or indirectly by any of the following exclusions. Such loss or damage is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss or damage.

1. Asbestos Exclusion

- a. Loss, damage or remediation expenses caused by or resulting from the presence of asbestos or asbestos-containing materials is excluded. As used in this exclusion, remediation expenses are expenses incurred for or in connection with the investigation, monitoring, removal, increased cost of reconstruction, disposal, treatment, abatement or neutralization of asbestos or asbestos-containing materials to the extent required by federal, state or local laws, regulations or statutes or any subsequent amendments to address asbestos.
- b. However, this asbestos exclusion does not apply to the extent that coverage is provided under the following:
 - 1) This policy insures asbestos located within an insured building or structure, and then only that part of the asbestos which has been physically damaged during the policy period by a Covered Cause of Loss.
 - 2) This coverage is subject to all limitations in the policy and, in addition, to each of the following specific conditions to coverage:
 - a) The said building or structure must be insured under this policy for damage by this Covered Cause of Loss.
 - b) The Covered Cause of Loss must be the immediate, sole cause of the damage to the asbestos.
 - c) Insurance under this policy in respect of asbestos shall exclude any sum relating to:
 - i. Any faults in the design, manufacture or installation of the asbestos; or
 - ii. Asbestos not physically damaged by a Covered Cause of Loss including any governmental or regulatory authority direction or request of whatsoever nature relating to undamaged asbestos.

2. Collapse Exclusion

Loss or damage caused by *collapse* is excluded.

3. Defect Exclusion

Loss or damage caused by faulty or defective workmanship, material, construction, installation, or design from any cause; or faulty planning, zoning, development, surveying or siting is excluded.

In addition, loss or damage caused by fault, defect, error, deficiency or omission in design, plan or specification is excluded.

4. Delay, Loss of Market or Loss of Use Exclusion

Loss or damage caused by the delay, loss of market, or loss of use, other than as expressly set forth in this policy, is excluded.

5. Depletion Exclusion

Loss or damage caused by deterioration, depletion, rust, corrosion, erosion, wet or dry rot, decay, evaporation, leakage, animal, insect or vermin damage, inherent vice or latent defect, shrinkage or change in color, flavor, texture or finish, extremes or changes of temperature damage or changes in relative humidity damage, whether atmospheric or not is excluded.

6. Drought Exclusion

Drought or any effect of *drought* are excluded for all coverages afforded under this policy, no matter how caused; unless physical damage not otherwise excluded by this policy results, in which event, this policy shall cover only such resulting damage.

7. Earth Movement Exclusion

Loss or damage caused by *earth movement* is excluded.

8. EIFS Exclusion

Loss or damage caused by or resulting from the design, manufacture, installation, or use of any Exterior Insulation and Finish System (EIFS), Dryvit construction, or similar synthetic stucco finishing surfaces are excluded. However, this exclusion shall not apply to sudden and accidental direct physical damage to EIFS or Dryvit or similar synthetic stucco finishing surfaces as the direct result of a Covered Cause of Loss.

9. Electrical Surge Exclusion

Loss or damage caused by or resulting from any of the following is excluded:

- a. Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

- 1) Electrical or electronic wire, device, appliance, system or network; or
- 2) Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

- a) Electrical current, including arcing;
- b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- c) Pulse of electromagnetic energy; or
- d) Electromagnetic waves or microwaves.

10. Electronic Data Exclusion

- a. Loss or damage caused by exposure to cyber liability.
- b. Loss, damage destruction, distortion, erasure, corruption, alteration, loss of use, reduction in functionality, cost, or expense caused by or resulting from a *computer virus* is excluded.
- c. However, if a Covered Cause of Loss results from any of the matters described in this Electronic Data Exclusion paragraphs a. and b. above, this policy, subject to all its terms, conditions and exclusions, will cover sudden and accidental physical damage occurring during the policy period to property insured by this policy directly caused by such Covered Cause of Loss.

11. Electronic Date Recognition Exclusion

Loss, damage, cost, claim or expense is excluded whether preventative, remedial or otherwise, directly or indirectly arising out of or relating to:

- a. the calculations, comparison, differentiation, sequencing or processing of data involving any date change, including leap year calculations, by any computer system, hardware, program or software and/or any microchip, integrated circuit or similar device in computer equipment or non-computer equipment, whether the it is your property or not; or
- b. any change, alteration or modification involving any other date change, including leap year calculations, to any such computer system, hardware, program or software and/or any microchip, integrated circuit or similar device in computer equipment or non-computer equipment, whether the property of the Insured or not.

- c. This clause applies regardless of any other cause or event that contributes concurrently or in any sequence to the loss, damage, cost, claim or expense.

12. Electromagnetic/Geomagnetic Storm

The policy does not insure any loss, damage, claim, cost, expense or other sum, directly or indirectly arising out of, attributable to, or occurring concurrently or in any sequence with Geomagnetic or Electromagnetic storm(s) or disturbances and/or any Space Weather phenomenon as classified by National Oceanic and Atmospheric Administration (NOAA).

13. Equipment Breakdown or Explosion Exclusion

Loss or damage caused by *equipment breakdown* or *explosion* is excluded.

14. Equipment Breakdown to Vehicles Exclusion

Loss or damage caused by *equipment breakdown* to vehicles (or any equipment on vehicles), draglines, cranes, excavation or construction equipment is excluded.

15. Equipment Testing Exclusion

Loss or damage caused by hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel, or an electrical insulation breakdown test of any type of electrical equipment is excluded.

16. Erosion Exclusion

Loss or damage caused by erosion of graded or planted finish or rough grades which results from normally expected or predictable precipitation and surface water runoff is excluded.

17. Fines or Penalties Exclusion

Costs, expenses, fines or penalties incurred or sustained by or imposed on you at the order of any government agency, court or other authority arising from any cause whatsoever are excluded.

18. Flood Exclusion

Loss or damage caused by *flood* is excluded.

19. Fraudulent or Dishonest Act or Acts Exclusion

Loss or damage from any Fraudulent or Dishonest Act or Acts intended to result in financial gain, loss or damage to Covered Property committed alone or in collusion with others: by any proprietor, partner, director, trustee, officer or employee of yours (including leased employees), or by any party to whom the property may have been entrusted (other than a carrier for hire) is excluded.

20. Fungus, Mold(s), Mildew, Spore(s), Yeast or Toxins Exclusion

Loss or damage in the form of, caused by, arising out of, contributed to, or resulting from *fungus, mold(s), mildew, spore(s), yeast* or toxins created or produced by or emanating from such *fungus, mold(s), mildew, spore(s), yeast* or toxins is excluded. However, this exclusion shall not apply provided you establish that the *fungus, mold(s), mildew, spore(s), yeast* or toxins is a direct result of a covered loss from a Covered Cause of Loss or *Flood* (provided *Flood* is a Covered Cause of Loss) and as a condition of coverage under this policy, this loss is reported within twelve (12) months from the expiration date of the policy, and the Limit of Insurance shall then be limited to the Sublimits on the Additional Coverages and Sublimits Endorsement.

21. Government Authority Seizure Exclusion

Loss or damage due to seizure or destruction of property by order of governmental authority is excluded. However, coverage is provided for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire is a Covered Cause of Loss.

22. Ground Water Seepage Exclusion

Loss or damage from water under the ground surface pressing on, or flowing or seeping through:

- a. Foundations, walls, floors or paved surfaces;
 - b. Basements, whether paved or not; or
 - c. Doors, windows or other openings
- is excluded.

23. High Hazard Exclusion

Loss or damage from explosives, fireworks, or high hazard material stored or maintained on the property is excluded.

24. Hot Testing Exclusion

Loss or damage from Hot Testing is excluded.

Hot Testing;

- a. which means:
 - 1) Startup, commissioning or performance testing;
 - 2) Any testing involving the introduction of flammable or explosive feedstock or similar media beginning when such feedstock is first introduced; or
 - 3) The rotational operation of any turbine or generator, except for rotational operation by turning gear only when the turbine or generator is not energized.
- b. Hot Testing does not mean the startup, commissioning or performance testing of:
 - 1) Heating;
 - 2) Cooling;
 - 3) Air handling; or
 - 4) Electrical systems that are part of building systems.

25. Infestation, Disease, Freeze, Drought, Weight of Ice or Snow or any Damage Caused by Insects, Vermin, Rodents or Animals Exclusion

Loss or damage caused by the infestation, disease, freeze, drought, weight of ice or snow or any damage caused by insects, vermin, rodents or animals to plants, lawns, trees, or shrubs is excluded.

26. Lack of Utility Supply Exclusion

Loss or damage caused by the lack of incoming electricity, fuel, water, gas, steam, refrigerant, or outgoing sewerage, or incoming or outgoing data or telecommunications all of which are caused by an *occurrence* away from any *location* insured under this policy, unless specifically provided and only to the extent provided is excluded.

27. Loss Due to Virus or Bacteria Exclusion

- a. The exclusion set forth in subparagraph b. below, applies to all coverage under all forms and endorsements that comprise this policy, including but not limited to forms or endorsements that cover property damage to building(s) or personal property and forms or endorsements relating to Business Income Coverages.
- b. Loss or damage caused by or resulting from any virus, bacterium or other microorganism that induces or is capable of inducing physical distress, illness or disease is excluded.

However, this exclusion does not apply to loss or damage caused by or resulting from *fungus, mold(s), mildew, spore(s) or yeast*. Such loss or damage is addressed in a separate exclusion in this policy.

- 1) With respect to any loss or damage subject to the exclusion in subparagraph b. above, such exclusion supersedes any exclusion relating to *pollutants or contaminants*.

- 2) The terms of the exclusion in subparagraph b. above, or the inapplicability of this exclusion to a particular loss, do not serve to create coverage for any loss that would otherwise be excluded by this policy.

28. Manufacturing Damage to Stock or Materials Exclusion

Loss or damage attributable to *manufacturing* or processing operations which result in damage to *stock* or materials while such *stock* or materials are being processed, manufactured, tested or otherwise being worked upon is excluded.

29. Mysterious Disappearance Exclusion

Mysterious disappearance, loss, or shortage disclosed on taking inventory or any unexplained losses is excluded.

30. Named Storm Exclusion

Loss or damage directly or indirectly caused by a *Named Storm* that is in existence at the time that written request to bind is given to us, until coverage for such *Named Storm* has been bound by written agreement between us and the Named Insured is excluded. In addition, no increase in limits or additional coverages will be provided for any insured *location(s)* threatened by such *Named Storm*, until coverage for such *Named Storm* has been bound by written agreement between us and the Named Insured.

31. Nuclear, Biological, Chemical and Radiological Exclusions

This Policy will not pay for any loss, damage, cost or expense, whether real or alleged, that is caused, results from, is exacerbated by or otherwise impacted by, either directly or indirectly, any of the following (including the threatened use of the following):

- a. Nuclear Hazard - including, but not limited to, nuclear reaction, nuclear detonation, nuclear radiation, radioactive contamination and all agents, materials, products, or substances, whether engineered or naturally occurring, involved therein or released thereby;
- b. Biological Hazard - including, but not limited to, any biological and/or poisonous or pathogenic agent, material, product or substance, whether engineered or naturally occurring, that induces or is capable of inducing physical distress, illness, or disease;
- c. Chemical Hazard - including, but not limited to, any chemical agent, material, product or substance;
- d. Radioactive Hazard - including, but not limited to, any electromagnetic, optical, or ionizing radiation or energy, including all generators and emitters thereof, whether engineered or naturally occurring.

32. Pollution / Contamination Exclusion

Except as otherwise specifically provided in Additional Coverages,

- a. any loss, damage, cost or expense,
- b. any increase in insured loss, damage, cost or expense, and / or
- c. any loss, damage, cost, expense, fine or penalty, which is incurred, sustained or imposed by order, direction, instruction or request of, or by any agreement with, any court, government agency or any public, civil or military authority, or threat, (and whether or not as a result of public or private litigation),

which arises from any kind of seepage or any kind of pollution and/or contamination, or threat, whether or not caused by or resulting from a peril insured, or from steps or measures taken in connection with the avoidance, prevention, abatement, mitigation, remediation, clean-up or removal of such seepage or pollution and/or contamination or threat is excluded.

The term "any kind of seepage or any kind of pollution and/or contamination" as used in this clause includes (but is not limited to):

- a. seepage of, or pollution and/or contamination by, anything, actual, alleged or threatened release, discharge, escape or dispersal of *pollutants or contaminants*, all whether direct or indirect, proximate or remote or in whole or in part caused by, contributed to or aggravated by any sudden and accidental direct physical loss or damage from a Covered Cause of Loss insured by this policy including but not limited to, any material designated as a "hazardous substance" by the United States Environmental Protection Agency or as a "hazardous material" by the United States Department of Transportation, defined as a "toxic substance" by the Canadian Environmental Protection Act for the purposes of Part II of that Act, or any substance designated or defined as toxic, dangerous, hazardous or deleterious to persons or the environment under any other Federal, State, Provincial, Municipal or other law, ordinance or regulation; and
- b. the presence, existence, or release of anything which endangers or threatens to endanger the health, safety or welfare of persons or the environment.

33. Pre-Existing Damage Exclusion

Loss or damage arising out of pre-existing damage as outlined below is excluded:

- a. Damages which occurred prior to policy inception regardless of whether such damages were apparent at the time of the inception of this Policy or discovered at a later date including any continuation, change or recommencement of such loss during the policy period; or
- b. Claims or damages arising out of workmanship, repairs or lack of repairs arising from damage which occurred prior to policy inception; or
- c. A building or any part of a building that is in danger of *collapse*, falling down or caving in, or
- d. Any part of a building that has separated from another part of the building, or
- e. A building or any part of a building that is standing which shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

34. Property in the Open Exclusion

Loss or damage from rain, snow, ice or sleet to personal property in the open is excluded.

35. Rain, Snow, Sleet, Sand or Dust Exclusion

Loss or damage caused by rain, snow, sleet, sand or dust to the interior of a building or property contained in a building is excluded unless a covered peril first damages the building causing an opening in a roof or outside wall, door or window and the rain, snow, sleet, sand or dust enters through this opening.

36. Remote or Consequential Loss or Damage Exclusion

Remote or consequential loss or damage, including but not limited to liquidated damages, performance penalties, penalties for non-completion, delay in completion, or noncompliance with contract conditions whether caused by an insured peril or otherwise is excluded. This exclusion does not apply to Business Income Coverages when it is covered under this policy.

37. **Sanction Limitation and Exclusion Clause** means no (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

38. Smoke and Smog Exclusion

Loss or damage caused by smog, smoke, vapor or gas from agricultural smudging or industrial operations is excluded.

39. Subsidence and Settling Exclusion

Loss or damage from subsidence, settling, cracking, shrinking, bulging, or expansion of pavements, foundations, walls, floors, or ceilings is excluded.

40. Tenant Relocation Cost Exclusion

The cost or expense to move your tenants to a temporary *location* due to the Covered Property becoming uninhabitable or unusable is excluded.

41. Terrorism Exclusion

Loss, damage, cost or expense of any nature directly or indirectly caused by, resulting from or in connection with any act of terrorism, regardless of any other cause or event contributing concurrently or in any other sequence to the loss is excluded.

For the purpose of this exclusion, an "act of terrorism" means an act, including but not limited to the use of force or violence and/or the threat, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to put the public, or any section of the public, in fear.

This clause also excludes loss, damage, cost or expense of any nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to any act of terrorism. Such loss or damage is excluded regardless of any other cause, event or intervention that contributes concurrently or in sequence to the loss or damage.

When coverage is denied due to this exclusion, any loss, damage, cost or expense is not covered by this insurance and it is agreed the burden of proving the contrary shall be upon you.

In the event, any portion of this exclusion is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

42. Vegetated Roof Exclusion

Loss or damage to lawns, trees, shrubs or plants which are part of a vegetated roof is excluded when caused by or resulting from:

- a. Dampness or dryness of atmosphere or of soil supporting the vegetation;
- b. Changes in or extremes of temperature;
- c. Disease;
- d. Frost or hail; or
- e. Rain, snow, ice or sleet

43. Voluntary Parting with Title or Possession Exclusion

Loss, damage, cost or expense from the voluntary parting with the title or possession of any property including voluntary parting which is the result of any fraudulent scheme, trick, devise, false pretenses, or any other similar act is excluded.

44. War and Terrorism Exclusions

Damage, loss, cost or expense from the following is excluded:

- a. War, hostile, terrorist or warlike action in time of peace or war, whether or not declared, including action in hindering, combating, or defending against an actual, impending, or expected attack:
 - 1) By any government or sovereign power (de jure or de facto) or by any authority maintaining or using military, naval, or air forces;
 - 2) By military, naval, or air forces; and / or
 - 3) By an agent of any such government, power, authority, or force;
- b. Any weapon of war employing atomic fission or radioactive force, whether in time of peace or war, whether or not its discharge was accidental; and / or

- c. Insurrection, rebellion, revolution, civil war, usurped power, or action taken by governmental authority in hindering, combating, or defending against such *occurrence*, seizure or destruction;

Including any consequence of Subparagraphs a.1., a.2., a.3., above.

45. **Warranty Exclusion**

Loss, damage, cost, or expense covered under any express or implied guarantee or warranty from a manufacturer or supplier, whether or not such manufacturer or supplier is a Named Insured under this policy, is excluded.

46. **Wear and Tear Exclusion**

Loss or damage from wear and tear is excluded.

47. **Wiring Exclusion**

We will not pay for loss or damage caused by or resulting from the existence/use of pigtail wiring, aluminum wiring or Federal Pacific Electrical Panels.

E. Limits of Insurance

The total maximum limit in any one *occurrence* as a result of a Covered Cause of Loss regardless of the number of *location(s)*, coverages, or perils insured under this policy shall not exceed the lesser amount of the Actual Loss Sustained or the limit provided on the Declarations, Locations and Building Detail section, after the application of any Deductible.

The Sublimits of Insurance as stated on the Additional Coverages and Sublimits Packages Endorsement, are included within, and not in addition to the Limit of Insurance. The Sublimits of Insurance and the specified limits of insurance contained in the forms, endorsements and extensions attached, if any, are per *occurrence*, unless otherwise indicated.

If the word "No" is shown on the Declarations Coverage Information Section – Coverages Selected, then no coverage is provided for that coverage or Covered Cause of Loss.

F. Deductible

If the amount of loss is less than or equal to the Deductible, we will not pay for that loss. If the amount of loss exceeds the Deductible, we will then subtract the Deductible from the adjusted amount of loss and will pay the resulting amount or the Limit of Insurance, whichever is less.

A *Named Storm* Deductible will apply to the covered perils of wind & hail and ALL *flood* and / or *earthquake* losses, with a minimum *occurrence* deductible of \$10,000. A *Named Storm* Deductible applies as an aggregate percentage of the total of all Coverages (A, B, C and D) at the damaged location, on a per *occurrence* basis.

The *Named Storm* Deductible amount will be determined by multiplying the percentage in the Declarations by the aggregate sum of Coverage A, Coverage B, Coverage C and Coverage D values for each location as defined in the Building Details in the Declaration and applying the policy percentage for the *Named Storm* Deductible to that amount to determine the applicable deductible.

If two or more locations are indicated in the Declarations, then the applicable *Named Storm* Deductible will be applied separately at each location against the sum of all losses or damages incurred at each location on a per *occurrence* basis.

An All Other Wind and Hail Deductible will apply to all other wind and hail losses that are not caused by a *Named Storm*. The deductible will apply as stated in the declarations and will apply per *occurrence*. Only one All Other Wind and Hail Deductible will apply per *occurrence*.

An All Other Peril Deductible will apply if the covered perils are other than wind, hail, *flood* and / or earthquake. The All Other Peril Deductible applies per *occurrence*.

G. Policy Conditions

1. **Assignment**

You may not assign this policy without prior written consent from us.

2. Cancellation, Non-Renewal and Additions or Deletions

- a. If we do not receive the premium owed at policy issuance for this policy we may cancel the policy as of the policy's effective date and a cancellation notice will be issued. If this policy is cancelled back to the policy's date of inception, it means that no coverage will be afforded to anyone under the policy.
- b. This policy can be canceled by you by providing:
 - 1) An advanced written request for cancellation stating when the cancellation shall be effective; except that you may not cancel the policy back to the policy's effective date if the policy has been in effect for 60 days or more; and
 - 2) The original policy or a lost policyholder release signed by you or your legal representative; or
 - 3) Proof of a replacement policy with the request for cancellation if this policy's coverage is being replaced by another policy.
 - 4) Minimum earned premium may apply to policy cancellations, per Minimum Earned Premium Endorsement SMB 415.
- c. We may cancel this policy by giving you at least thirty (30) days written notice of cancellation for all cancellation reasons except non-payment of premium.
- d. We may cancel this policy by giving you at least ten (10) days written notice of cancellation for non-payment of premium that:
 - 1) Is due on an installment payment; or
 - 2) Becomes due and payable because of changes made to coverages or limits.
- e. Notwithstanding paragraph c. above, we may void this policy, meaning that coverage is cancelled as of the inception date of this policy, without providing advance notice if you or your representatives have concealed or misrepresented any material fact or circumstance, or made a material misstatement and/or a material misrepresentation when applying for this policy; and / or committed fraud, or false swearing as it relates to this policy. We may provide written notice if this policy is voided ab initio per the foregoing, but such notice shall not be required to be provided in advance of the void or cancellation effective date.
- f. The cancellation will be effective even if a refund has not been made or offered.
- g. If you cancel this policy, we will send you any premium refund due subject to any earned premium and fees provisions affixed to this policy.
- h. The policy may be non-renewed on the anniversary of the policy. This policy will be non-renewed by us, in compliance with state statutes controlling non-renewal, if applicable, and will include the reason for non-renewal. If there is no controlling law or regulation, the written non-renewal notice will be mailed at least thirty (30) days prior to the end of the policy period, and proof of mailing will be sufficient proof of notice of the non-renewal. If a notice conditioning renewal on changes to the offered limits, covered perils, premium, terms, conditions, and/or exclusions is sent, such notice shall not be deemed a non-renewal, unless that renewal is not accepted. If the conditional offer is not accepted, the policy will end, and all coverage cease at the expiration of the policy period. Failure to pay the premium applicable to any renewal term will mean that you have not accepted the renewal offer, and this policy will expire, and all coverage will cease at the end of the policy period. Proof of mailing of any cancellation and/or non-renewal notice mailed to any additional Insureds, loss payees, or mortgagee endorsed onto this policy shall be sufficient proof of notice.
- i. Expiration. This policy will automatically end, and all coverage cease at the expiration of the policy period if no offer to renew is extended or an offer to renew with changed terms, coverage, premiums, or limits is not accepted.
- j. Additions and Deletions:

- 1) Coverage cannot be increased, nor additional *locations* added, if a *Named Storm* is in existence, unless with our express written consent.
- 2) Nothing will act to provide coverage for the Newly Acquired Property
 - a) beyond a period of sixty (60) days from the date of acquisition or lease of such property or
 - b) when we notify you that we will not bind the Newly Acquired policy.

k. Proof of mailing will be sufficient proof of notice of cancellation.

3. **Control of Property**

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this policy at any one or more locations will not affect coverage at any *location* where, at the time of damage, the breach of condition does not exist.

4. **Currency**

Any amount of money specified in the policy, including Limits of Insurance, Deductibles and Premiums shall be in the currency of the United States of America.

5. **Increase in Hazard**

If the circumstances in which this insurance was entered shall be altered or if the risk shall be materially increased, you shall give us notice as soon as possible.

6. **Inspection and Audit**

You shall permit inspections of all Covered Property at reasonable times during this policy period. Neither the right to make inspections, nor making inspections nor any report on behalf of or your benefit or others, will warrant that such property is safe or healthful or that the operations comply with any law, rule, or regulation.

You shall also permit examination and audit of your books and records at any reasonable time during the policy period and within one year after the policy termination, if such examination and audit relate to the subject matter of this policy.

In the event that we obtain information, whether via inspection, audit, or any other means, regarding the risks insured under this policy that contradicts information provided to us when this policy was applied for, we may modify the terms of the policy, including the premium charged, based on such information.

7. **Action Against Us**

No person or organization may commence, cause to be commenced, or assert any action for arbitration against us unless:

- a. There has been full compliance with all terms and conditions of this Policy;
- b. Any action is brought within one (1) year after the date of the *occurrence* or event which occasioned the sudden and accidental direct physical loss or damage from a Covered Cause of Loss.
- c. Any action asserted that relates to an arbitration award is not subject to Subsection (b) of this provision. Such an action must be brought within 180 days of the final award being entered, but no sooner than 45 days after the final award is entered.
- d. In the event any part of this provision is considered unenforceable, invalid, or void, any action against us must be brought within the shortest limit of time permitted by the applicable statute of the state in which the loss occurred.

Nothing in this provision impacts your Duties in the Event of Damage, including, but not limited to, the duty to provide prompt notice of damage.

8. **Location and Building Details**

The *locations* and buildings, as provided by you at policy inception and each subsequent anniversary date of this policy, as listed on the Location and Building Detail, of the Declarations, shall consist 100% of the Property and Business Income Values for all insured *locations*.

Such values shall be reported separately for each *location*, with separate figures shown for each type of coverage at each *location*. The property values shall be shown on a *replacement cost* basis for property which is covered on a *replacement cost* basis and on an *actual cash value* basis for other property. The value of *stock* and supplies to be included in the property values shall be in accordance with the Loss Settlement Conditions clause contained in this policy and shall be based on the approximate average of the *stock* and supplies on hand during the twelve months immediately preceding the annual review of values. Business Income Values (if covered) shall be provided in accordance with the terms of the applicable Business Income Coverages provisions.

9. Misrepresentation and Fraud

This entire policy shall be void if you or your representative have

- a. concealed or misrepresented any material fact or circumstance; and / or
- b. made a material misstatement or a material misrepresentation when applying for this policy, committed fraud, or false swearing as it relates to this policy.

We are not required to provide you with advance notice that this policy has been voided.

10. No Benefit to Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

11. Other Insurance/ Excess Insurance / Underlying Insurance

If there is Other Insurance covering the same loss or damage insured under this policy, then this policy shall apply only as excess and in no event as contributory insurance (unless this policy is specifically written to be contributory insurance), and then only after all other insurance has been exhausted, whether or not such insurance is collectible, but in no case, more than the Sublimits or Limits of Insurance. Permission is granted for you to purchase Excess Insurance over the limits provided by this policy, and underlying insurance on all or any part of the Deductibles of this policy.

12. Reinstatement of Limits

Except for any Covered Cause of Loss which is subject to an annual aggregate limit or Sublimit of Insurance, payment of a claim will not reduce the amount payable under this policy for any subsequent covered loss.

13. Several Liability Clause

Our Limit of Insurance under this policy for covered losses is several and not joint with other insurers party to this contract. We are liable only for the proportion of insurance we have underwritten. We are not jointly liable for the proportion of insurance underwritten by any other insurer. Nor are we otherwise responsible for any liability of any other insurer that may underwrite this policy.

Our liability may not be increased if any other insurer or other party to this contract who for any reason does not satisfy all or part of its obligations.

14. Titles of Paragraphs

The titles of the various paragraphs of this policy (and of endorsements included in this policy) are solely for reference and shall not in any way affect the provisions to which they relate.

15. Vacancy

- a. Description of Terms

- 1) As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in (1)(a) and (1)(b) below:

- a) When this policy is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough business personal property to conduct customary operations.
 - b) When this policy is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:
 - i. Rented to a lessee or sub lessee and used by the lessee or sub lessee to conduct its customary operations; and/or
 - ii. Used by the building owner to conduct customary operations.
- 2) Buildings under construction or renovation are not considered vacant.
- b. **Vacancy Provisions**
- If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:
- 1) We will not pay for any loss or damage caused by any of the following, even if they are Covered Causes of Loss:
 - a) Vandalism;
 - b) Sprinkler leakage, unless you have protected the system against freezing;
 - c) Building glass breakage;
 - d) Water damage;
 - e) Theft; and / or
 - f) Attempted theft.
 - 2) With respect to Covered Causes of Loss other than those listed in the Vacancy Provisions paragraphs above, we will reduce the amount we would otherwise pay for the loss or damage by 15%.

H. **Property Loss Conditions**

The following Property Loss Conditions apply:

1. **Abandonment**

There can be no abandonment of any property to us.

2. **Adjustment of Loss and Named Insured Clause**

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

The first Named Insured shown in the Declarations is responsible for the payment of all premiums.

If this policy insures more than one entity, the First Named Insured is authorized to act on behalf of all other insureds with respect to their rights, obligations and duties under this policy. Payment of loss or return premium under this policy shall constitute payment under this policy with respect to all insureds.

3. **Arbitration Agreement and Choice of Law**

Any and all matters in difference between and/or among the Parties, as defined in this provision, in relation to this insurance, including, but not limited to, its formation, validity, and the arbitrability of any dispute, and whether arising during or after the period of this insurance, shall be referred to an Arbitration Tribunal in the manner hereinafter set out. A party must give advanced written notice to the other party of their intent to request arbitration of a matter in difference. This Agreement contains a delegation provision requiring the Arbitration Tribunal to resolve all issues arising out of, relating to,

involving, and/or resulting from this insurance, including, but not limited to, questions involving this agreement. It is the Parties' intent to delegate all issues to the Arbitration Tribunal.

1. This is an agreement to arbitrate (the "Agreement"). The Parties to the Agreement include the Insurers listed on the Policy's Declarations Pages (the "Insurers"), you, any insured, additional insureds, mortgagees, loss payees, assignees, lienholders, and/or any person and/or entity claiming rights and/or benefits related to the Policy (the "Parties"). This Agreement shall be considered a separate agreement that is enforceable, irrespective of any other provision contained in this Policy.
2. This Agreement governs the appointment of the Arbitration Tribunal. The Arbitration Tribunal shall consist of qualified and disinterested persons. The Arbitrators may not have any interest or claimed interest in the outcome of the arbitration, including any contingency interest or an assignment of any portion of the claim.

The Claimant (the party requesting arbitration) shall appoint his or her Arbitrator and give written notice thereof to the Respondent (the party receiving a request for arbitration). Within thirty (30) days of receiving such notice, the Respondent shall appoint his or her Arbitrator and give written notice of his or her selection to the Claimant. If the Respondent does not provide written notice of his or her Arbitrator within thirty (30) days of receiving the Claimant's notice, the Claimant may nominate an Arbitrator on behalf of the Respondent. The Arbitrators selected by the Parties must be currently or formerly employed in a senior position in insurance underwriting or claims at an insurer. The two Arbitrators shall then select an Umpire. The Umpire must be currently or formerly employed at an insurer as one of the following or an equivalent position: president, vice-president, assistant vice-president, general counsel, assistant general counsel, chief operating officer, or chief risk officer. If the two Arbitrators fail to agree on the selection of the Umpire within thirty (30) days of the appointment of the second named Arbitrator, each Arbitrator shall submit to the other a list of three Umpire candidates. Each Arbitrator shall then select one name from the list submitted by the other. The Umpire shall be selected from the two names chosen by a lot drawing procedure to be agreed upon by the Arbitrators.

The Arbitration Tribunal consists of the Umpire, the Claimant's selected Arbitrator, and the Respondent's selected Arbitrator.

3. The Arbitration Tribunal shall have the power to fix all procedural rules for the Arbitration, including discretionary power to make orders as to any matter which it may consider proper in the circumstances of the case with regard to pleadings, discovery, inspection of documents, examination of witnesses, and any other matter whatsoever relating to the conduct of the Arbitration. The Arbitration Panel may receive and act upon such evidence in its discretion, regardless of whether that evidence is oral or written or strictly admissible or not. The Arbitration Panel, in fixing the procedural rules for Arbitration, must ensure due process and that the Parties are able to fully present their claims and defenses at the arbitration hearing. The Arbitration Tribunal should initially meet with the Parties to discuss the procedural issues at an Organizational Meeting and should continue to meet with the Parties as needed to address procedural issues.
4. All aspects of the Arbitration shall be confidential, and the Parties and the Arbitrator's, the Umpire and the Arbitration Tribunal shall neither disclose nor permit the disclosure of any information related to the proceedings, including but not limited to discovery, testimony, evidence, briefs, decisions, and any award, except as the Arbitration Tribunal may authorize in writing. The Arbitration Tribunal shall only authorize disclosure of information to the extent disclosure is necessary to further the proceeding and/or to comply with applicable law. Any such authorization shall be as limited in scope as the Arbitration Tribunal deems practicable.
5. The seat of the Arbitration shall be in New York, and the final arbitration hearing shall be held in New York, unless some other location is agreed to by the Parties and the Arbitration Tribunal. The Arbitration Tribunal shall apply the law of New York when resolving all matters in difference between the Parties, regardless of the location of the Arbitration.

6. The Parties shall each bear their own costs, expenses and attorney's fees in any Arbitration proceeding. The Parties will also bear the costs of their own Arbitrator and will bear, jointly and equally with each other, the costs of the Umpire.
7. The award of the Arbitration Tribunal shall be in writing and binding upon the Parties, who covenant to carry out the same. Any valid award shall be paid within forty-five days of receiving the Arbitration Tribunal's written decision. If any Party fails to carry out any award within forty-five days (45), the other may apply for its enforcement as permitted by law.
8. All Insurers shall be included and participate in any Arbitration proceeding, including sharing the Insurers' portion of the arbitration costs. Further, irrespective of whom is sued and/or any purported waiver of claims, all Insurers shall have the right to participate in any litigation that relates to and/or concerns this Agreement, this Policy and/or the enforceability of any award issued by the Arbitration Tribunal. Nothing in this paragraph shall affect the Insurers' several liability for losses covered under this Policy.
9. The provisions in this Arbitration Agreement are severable, and if any portion is found to be unenforceable, the other paragraphs, or parts thereof, shall remain full, valid, and enforceable.

4. Brands and Labels

If branded or labeled merchandise covered by this policy is physically damaged and we elect to take all or any part of such merchandise at the value established by the terms of this policy, you may, at your own expense, stamp "SALVAGE" on the merchandise or its containers, or may remove or obliterate the brands or labels, if such stamp, removal or obliteration will not physically damage the merchandise. You must relabel the merchandise or containers in compliance with the requirements of law.

5. Control of Damaged Merchandise

Exercising reasonable discretion, you shall be the sole judge as to whether the goods involved in any loss under this policy are fit for normal intended use or consumption. No goods deemed by you to be unfit for consumption shall be sold or otherwise disposed of except by you or with your consent, but you shall allow us any salvage obtained by you on any sale or other disposition of such goods. You shall have full right to the possession of and retain control of all goods involved in any loss under this policy.

6. Divisible Contract

Subject to 16.c.17. Mortgage holders Section below, if the *locations* described in this policy include two or more buildings or the contents of two or more buildings, the breach of any condition of this policy in respect to any one or more of the buildings insured or containing the Covered Property, shall not prejudice the right to recover for physical damage occurring in any building insured or containing the Covered Property where, at the time of such damage, a breach of condition does not exist.

7. Duties in the Event of Damage

- a. You must see that the following are done in the event of damage to Covered Property:
 - 1) Notify the police if a law may have been broken.
 - 2) Give us prompt notice of the damage, including a description of the property involved.
 - 3) As soon as possible, give us a description of how, when and where the damage occurred.
 - 4) Take all reasonable steps to protect the Covered Property from further damage, mitigate additional losses (e.g. Business Income), and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. If feasible, set the damaged property aside and in the best possible order for examination. However, we will not pay for
 - a. any subsequent damage resulting from a cause of loss that is not a Covered Cause of Loss; and / or

- b. any expenses relating to inspection, testing, determining the Cause of Loss or extent of damage, engineers, or any other expense that is incurred without our prior written consent solely to protect Covered Property.
- 5) At our request, give us complete inventories of the damaged and undamaged property, including quantities, costs, values and amount of loss claimed.
- 6) As often as may be reasonably required, permit us to inspect the property proving the damage and examine your books and records.
Also, permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.
- 7) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 90 days after our request and include the following:
 - a. The time and origin of the loss;
 - b. Your interest and the interest of all others in the property;
 - c. The value of each item determined in accordance with the Loss Settlement Conditions of this policy, the amount of loss, and all related encumbrances;
 - d. All other contracts of insurance, whether collectible or not, covering any of said property; and
 - e. Any changes in the title, use, occupation, *location*, possession, or exposures of Covered Property after the issuance of this policy, by whom and for what purpose any building described and the several parts were occupied at the time of loss, and whether or not it then stood on leased ground.
- 8) Cooperate with the Insurer(s) and any other person or persons designated by the Insurer(s) in the investigation, adjustment or settlement of any claim.
- b. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

8. **Protection and Preservation of Property**

In case of actual or imminent sudden and accidental direct physical damage by a Covered Cause of Loss, the expenses incurred by you in taking reasonable and necessary actions for the temporary protection and preservation of Covered Property shall be added to the total physical damage otherwise recoverable under this policy and be subject to the applicable Deductible, Sublimit of Insurance, and policy limit.

9. **Recovered Property**

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, the property will be returned to you. You must then return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limit of Insurance.

10. **Salvage and Recoveries**

All Business Income Values, *Replacement Cost* Basis, Recoveries and payments, excluding proceeds from subrogation and underlying insurance recovered or received prior to a loss settlement under this policy, shall reduce the loss accordingly.

11. **Settlement of Claims**

The amount of loss under this policy shall be payable within thirty (30) days after valid proof of loss is received, accepted, and ascertainment of the amount of loss is made either by agreement with you or an amount is determined by binding Arbitration in accordance with the provisions of this policy.

We shall have the option to take all or any part of the property at the agreed or arbitrated value, or to repair, rebuild or replace the property physically lost or damaged with other of like kind and quality, within a reasonable time, on giving notice of its intention to do so within sixty (60) days after receipt of the proof of loss required.

12. Subrogation

An assignment of all rights of recovery against any party for loss may be required from you to the extent that payment has been made, but the assignee shall not acquire any rights of recovery which you have expressly waived in writing prior to loss nor shall such waiver in writing affect your rights under this policy. We waive the rights of recovery against any Mortgagee listed on the Declaration. However, notwithstanding the foregoing, we shall be subrogated to all your rights of recover against:

- a. any Architect or Engineer, whether named as a Named Insured or not, for any damage arising out of the performance of professional services in their capacity as such and caused by an error, omission, deficiency or act of the Architect or Engineer, by any person employed by them or by any others for whose acts they are legally liable, and
- b. any manufacturer or supplier of machinery, equipment or other property, whether named as a Named Insured or not, for the cost of making good any damage which said party has agreed to make good under a guarantee or warranty, whether expressed or implied.

Any recovery as a result of subrogation proceedings arising out of an *occurrence*, after expenses incurred in such subrogation proceedings are deducted, shall accrue in the proportion that the Deductible amount and/or any provable uninsured loss amount bears to the entire provable loss amount.

You will cooperate with us and, upon our request, will:

- a. Attend hearings and trials; and
- b. Assist in effecting settlements, securing and giving evidence, obtaining the attendance of witnesses, and conducting suits.

13. Transfer of Rights of Recovery Against Others to Us

If any person or organization to or for whom we make payment under this policy has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. You may waive your rights against another party in writing:

- a. Prior to a loss to your Covered Property.
- b. After a loss to your Covered Property or Covered Income only if, at time of loss, that party is one of the following:
 - 1) Someone insured by this insurance;
 - 2) A business firm:
 - a) Owned or controlled by you; or
 - b) That owns or controls you; or
 - 3) Your tenant.

This will not restrict your insurance.

14. Undamaged Material

We will not pay to replace undamaged material due to mismatched material between undamaged material and new material used to repair or replace damaged material. We do not cover the loss in value to any property due to mismatched material between undamaged material and new material used to repair or replace damaged material.

15. Loss Settlement Conditions

We will pay no more than the *actual cash value* of covered damages until actual repair or replacement is complete. Once actual repair or replacement is complete, we will pay the applicable and supported *replacement cost* up to, but not in excess of, any applicable policy limits, subject to the following conditions: You must notify the Insurers of your intent to repair, rebuild or replace the property within one hundred eighty (180) days of the date of loss to recover *replacement cost*. You must also complete the repairs, rebuilds, and/or replacements within two (2) years of the date of loss (unless such requirement is waived in writing) to recover *replacement cost*. If there is an applicable law that is shorter than the two-year requirement of completing repairs, rebuilds, and/or replacement noted above, the Insured must complete the repairs, rebuilds, and/or replacements within that specific time period in order to recover *replacement cost*.

We will pay for covered damage within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this policy, and (1) we have reached agreement with you on the amount of (2) an arbitration award has been made.

We shall have the option to take all or any part of the property at the agreed or arbitrated value, or to repair, rebuild or replace the property physically lost or damaged with other of like kind and quality, within a reasonable time, on giving notice of its intention to do so within sixty (60) days after receipt of the proof of loss herein required.

We will determine the value of Covered Property in the event of damage as follows:

- a. The total maximum limit paid in any one *occurrence* as a result of a Covered Cause of Loss regardless of the number of *locations*, coverages, or perils insured under this policy shall not exceed the lesser amount of the Actual Loss Sustained or the limit provided on the Declarations, Locations and Building Detail section, after the application of any Deductible.
- b. If one Limit of Insurance applies to two or more separate items, this condition will apply to the total of all property to which the limit applies.
- c. Unless otherwise endorsed, the property, as described below, will be valued as follows:
 - 1) Accounts Receivable: the amount owed to you which you are unable to collect from customers, and shall include:
 - a) Any collection expenses over and above the normal collection costs;
 - b) Interest charges on any loan to offset impaired collections pending repayment of such sums that cannot be collected; and
 - c) Other reasonable and necessary expenses incurred by you to recreate Accounts Receivable records.

Unearned interest and service charges on deferred payment accounts and normal credit/losses on bad debts shall be deducted in determining the recovery.

After payment of loss, all amounts you recover on Accounts Receivable for which you have been paid will belong to and will be paid to you up to the total amount of loss paid. All recoveries more than such amounts will belong to you.

In the event it is possible to reconstruct your Accounts Receivable records after they have been physically lost or damaged, so that no shortage in collection of Accounts Receivable is sustained, the only recoverable loss will be the costs of the material and the time required to reconstruct such records, with the exercise of due diligence and dispatch, but only to the extent that such amounts are not covered by any other insurance.

- 2) Contractor's tools, machinery (including spare parts and accessories), equipment and vehicles (if covered): will be valued at *actual cash value*, unless an agreed value applies.
- 3) Electronic Data and Media: the cost of the blank media, plus the costs of copying the Electronic Data and Media from back-up or from originals of a previous generation. These costs will not include research and engineering nor any costs of recreating, gathering or assembling such Electronic Data and Media. If the Electronic Data and Media is not repaired, replaced or

restored, the basis of valuation shall be the cost of the blank media. However, this policy does not insure any amount pertaining to the value of such Electronic Data and Media to you or any other party, even if such Electronic Data and Media cannot be recreated, gathered or assembled.

4) *Fine Arts*:

a) The value of the *Fine Arts* shall be the lesser of:

- i. The cost to repair or replace the *Fine Arts*, or
- ii. The appraised value, which will be determined as of the time of the loss.

(a) If a *Fine Arts* article is part of a pair or set, and a physically damaged article cannot be replaced, or cannot be repaired or restored to the condition that existed immediately prior to the loss, the appraised value will be used in the settlement of such pair or set. You will surrender the damaged pair or set.

5) Finished Goods manufactured by you: the regular cash selling price at the *location* where the loss occurs, less all discounts and charges to which the merchandise would have been subject had no loss occurred.

6) Jigs and Fixtures, dies, small tools, patterns, employees' jigs and fixtures personal property; and jigs and fixtures personal property of third parties: *thereplacement cost* if *replacement cost* values have been reported and if replaced; otherwise the *actual cash value*, but not to exceed the cost to repair or replace the property with material of like kind and quality.

7) Leasehold Improvements and Betterments:

a) If repaired or replaced at your expense within two (2) years after the date of the loss, the cost to repair or replace the damaged improvements and betterments.

b) If not repaired or replaced within two (2) years after the date of the loss, a proportion of your original cost.

The proportionate value will be determined as follows:

- i. Multiply the original cost by the number of days from the date of loss to the expiration of the lease; and
- ii. Divide the amount determined in subparagraph i. above by the number of days from the installation of improvements to the expiration of the lease.
- iii. If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure; or

c) Nothing, if others pay for repairs or replacement.

8) A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable policy provisions including Limits of Insurance, Loss Settlement Conditions and all other provisions and conditions of this policy. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of the Transfer of Rights of Recovery Against Others to Us Condition in this policy.

9) Property for Sale : If, at the time of the loss, any real property is being offered for sale, the damage to such property will be valued at the lesser of:

a) The cost to repair or replace the damaged property, or

- b) The price at which the property is offered for sale less the market value of the *land*.
- 10) Raw materials, supplies and other merchandise not manufactured by you: the *replacement cost*.
- 11) *Stock in Progress*: the cost of raw materials and labor expended, plus the proper proportion of overhead charges.
- 12) Business Income Value is determined by calculating the "Average Daily Value" (ADV). ADV means the total 100% Business Income Value that would have been projected for the Period of Interruption for the *locations* where the physical damage occurs, had no physical damage occurred, divided by the number of working days in such Period of Interruption. The sum shall include all Business Income Values to which the operations of the *locations* directly or indirectly contribute.
- 13) Valuable Papers and Records: the cost to replace or restore the property with like kind and quality including the cost to research, gather and assemble information. If not replaced, this policy will only pay the blank value of the Valuable Papers and Records.
- 14) All Other Property: Will be valued at *replacement cost* if replaced; otherwise, will be valued at the *actual cash value*, but not to exceed the cost to repair or replace the property with material of like kind and quality.

With respect to Subparagraphs 1 through 14, inclusive, unless otherwise specifically stated, the valuations will be computed at the time and place of the loss.

- 15) The following property will always be valued at the *actual cash value*, even when attached to the building:
 - a) Awnings or floor coverings;
 - b) Appliances for refrigerating, ventilating, cooking, dishwashing or laundering; and / or
 - c) Outdoor equipment or furniture.
 - 16) Glass at the cost of replacement with safety-glazing material if allowed by law.
 - 17) Mortgage holders
 - a) The term mortgage holder includes trustee.
 - b) We will pay for covered damage to buildings or structures to each mortgage holder shown in the Declarations in their order of precedence, as interests may appear.
 - c) The mortgage holder has the right to receive loss payment even if the mortgage holder has started foreclosure or similar action on the building or structure.
 - d) If we deny your claim because of your acts or because you have failed to comply with the terms of this policy, the mortgage holder will still have the right to receive loss payment if the mortgage holder:
 - i. Pays any premium due under this policy at our request if you have failed to do so;
 - ii. Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and
 - iii. Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgage holder.
- All the terms of this Coverage Part will then apply directly to the mortgage holder.
- e) If we pay the mortgage holder for any damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:
 - i. The mortgage holder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

- ii. The mortgage holder's right to recover the full amount of the mortgage holder's claim will not be impaired.

At our option, we may pay to the mortgage holder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

- f) If we cancel this policy, we will give written notice to the mortgage holder at least:
 - i. 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
 - ii. 30 days before the effective date of cancellation if we cancel for any other reason.
- g) If we elect not to renew this policy, we will give written notice to the mortgage holder at least 30 days before the expiration date of this policy.

16. **Roof Replacement Conditions**

Partial repairs, recoating or temporary repairs are considered maintenance only and do not determine the age of the roof.

I. **Definitions**

1. **Actual Cash Value** means the amount it would cost to repair or replace Covered Property, at the time of loss or damage, with material of like kind and quality, subject to a deduction for deterioration, depreciation and obsolescence. *Actual cash value* applies to valuation of Covered Property regardless of whether that property has sustained partial or total loss or damage.

The *actual cash value* of the lost or damaged property may be significantly less than its *replacement cost*.
2. **Actual Total Loss** means a loss that occurs when the insured property is totally destroyed or damaged in such a way that it can be neither recovered nor repaired for further use.
3. **Cloud computing** means on-demand network access to a shared pool of computing resources via networks, servers, storage, applications and services provided by an organization with whom you have a contract with using the following service models: Software as a Service (SaaS), Platform as a Service (PaaS) and Infrastructure as a Service (IaaS) on the following deployment models: public cloud, community cloud, hybrid cloud and private cloud.
4. **Collapse** means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its current intended purpose.
5. **Computer equipment** means electronic computer or other data processing equipment, including peripherals used in conjunction with such equipment and electronic media and records.
6. **Computer virus** means a set of corrupting, harmful or otherwise unauthorized instructions or code including a set of maliciously introduced unauthorized instructions or code, programmatic or otherwise, that propagate themselves through a computer system or network of any nature. *Computer Virus* includes, but is not limited to, "Trojan Horses," "worms" and "time or logic bombs."
7. **Cosmetic Damage** means any kind of marring, pitting or other superficial damage which may alter the appearance, but does not prohibit it from functioning as intended.
8. **Drought** is an event of prolonged shortages in the water supply, whether atmospheric (below-average precipitation), surface water or ground water.
9. **Earth Movement** means:
 - a. Any natural or manmade landslide, mudslide, mudflow, rock falls, including any earth sinking, rising or shifting related to such event;
 - b. Subsidence of a man-made mine, whether or not mining activity has ceased; and

- c. Earth sinking, rising or shifting, including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.
 - d. **Earthquake**, meaning quaking, vibratory or undulating movement of a portion of the earth's crust, produced by tectonic or underground volcanic forces or by breaking, shaking, trembling or shifting of rock beneath the earth's crust. The definition of *earthquake* does not include subsidence, landslide, rockslide, mudflow, earth rising, earth sinking, earth shifting or settling, unless as a direct result of such *earthquake*.
 - e. **Earthquake Shock**, meaning the sum of all your losses attributable directly from the peril of *earthquake* sustained during any period of one hundred sixty-eight (168) consecutive hours due to one *Earthquake Shock* or a series of *Earthquake Shocks*.
 - f. **Volcanic eruption**, meaning the eruption, *explosion* or effusion of a volcano, excluding tsunami. All volcanic eruptions that occur within any one hundred sixty-eight (168) hour period will constitute a single *occurrence*.
10. **Electronic equipment** means devices which operate using many small electrical parts such as, but not limited to, microchips, transistors, or circuits.
11. **Electronic equipment deficiency** means the quality or condition inside of *electronic equipment* which renders this equipment unexpectedly inoperable and which is operable again once a piece of *electronic equipment* has been replaced.

However, *electronic equipment deficiency* will not include replacement of *electronic equipment* for any condition that could have been resolved without replacement of the *electronic equipment* including but not limited to *computer equipment* maintenance or the reinstallation or incompatibility of software.

12. **Equipment Breakdown** means:

- a. Physical loss or damage both originating within:
 - 1) Boilers, fired or unfired pressure vessels, vacuum vessels, and pressure piping, all normally subject to vacuum or internal pressure other than static pressure of contents, excluding:
 - a) Waste disposal piping;
 - b) Any piping forming part of a fire protective system;
 - c) Furnaces; and
 - d) Any water piping other than
 - i. Boiler feed water piping between the feed pump and the boiler;
 - ii. Boiler condensate return piping; or
 - iii. Water piping forming part of a refrigerating or air conditioning system used for cooling, humidifying or space heating purposes.
 - 2) All mechanical, electrical, fiber optic equipment or "electronic equipment"; and
- b. Caused by, resulting from, or consisting of:
 - 1) Mechanical breakdown;
 - 2) Electrical or electronic breakdown and "electronic equipment deficiency"; or
 - 3) Rupture, bursting, bulging, implosion, or steam explosion.

However, *equipment breakdown* will not mean:

- a. Physical loss or damage caused by or resulting from any of the following:
 - 1) Wear and Tear;

- 2) Rust or other corrosion, decay, deterioration, hidden or latent defect, mold or any other quality in property that causes it to damage or destroy itself;
 - 3) Smog;
 - 4) Settling, cracking, shrinking or expansion;
 - 5) Nesting or infestation, or discharge or release of waste products or secretions, by birds, rodents or other animals;
 - 6) Any accident, loss, damage, cost, claim, or expense, whether preventative, remedial, or otherwise, directly or indirectly arising out of or relating to the recognition, interpretation, calculation, comparison, differentiation, sequencing, or processing of data by any computer system including any hardware, programs or software;
 - 7) Scratching and marring.
- b. Loss, damage, cost or expense directly caused by, contributed to, resulting from, or arising out of the following causes of loss:
- Fire, lightning, combustion, *explosion*, windstorm or hail, weight of snow, ice or sleet, freezing, falling objects, smoke, aircraft or vehicles, riot or civil commotion, vandalism, *collapse*, *earthquake*, leakage from fire extinguishing equipment, water, water damage, or *flood*.
13. **Explosion** means a sudden, accidental and destructive shattering or eruption. *Explosion* does not include damage occasioned by or incident to explosion in or relating to the following equipment you own, operate or control:
- a. Steam boiler, steam turbines, steam engines, and steam pipes interconnecting any of the foregoing;
 - b. Moving or rotating machinery or parts when direct damage is caused by centrifugal force or mechanical breakdown;
 - c. Combustion gas turbines;
- To the extent of the loss to products any products you manufacture or other property attached to these products or forming a part of these products, including those products and property undergoing pressure tests. *Explosion* will include damage arising or resulting from:
- a. The *explosion* of accumulated combustible gases or unconsumed fuel within the furnace of a boiler or pressure vessel, other than combustion gas turbines, or within the flues or passages which conduct the gases of combustion;
 - b. A combustion *explosion* occurring outside of any equipment excluded above, even though such combustion *explosion* may have been the direct result of the *explosion* or such excluded equipment.
- The following are not *explosion*s within the intent or meaning of this definition:
- a. Electric arcing or any coincident rupture of electrical equipment due to such arcing;
 - b. Bursting or rupture caused by freezing;
 - c. Sonic shock waves, generally known as Sonic Boom;
 - d. Bursting, rupture or collapse of any safety disc, rupture diaphragm or fusible link.
14. **Fine Arts** means works of art, paintings, etchings, pictures, statuary, tapestries, stained glass, and other bona fide works of art which have rare or historical value, or artistic merit on temporary exhibit.
15. **Flood** means, whether natural or manmade, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow or rupture of any body of water, dam, levee, dike, floodgate or other surface containment structure, including *storm surge* which rise, overflow or break the boundaries of natural or manmade bodies of water or the debris and/or spray from any of the foregoing, all whether driven by wind or not. Tsunami induced flooding is considered *flood*.

Water which backups or discharges from sewers, drains or sumps on your *location* is not considered *flood*, unless such backup or discharge was due to *flood* as defined above.

- a. **Storm Surge** means water that is pushed toward the shore due to the force of winds swirling around a storm advancing across a body of water.
16. **Fungus, mold, mildew, spores or yeast** means any type or form of *fungus*, including *mold* or *mildew*, and any mycotoxins, *spores*, scents, *yeast* or by-products produced or released by fungi.
 - a. **Fungus** includes, but is not limited to, any of the plants or organisms belonging to the major group fungi, lacking chlorophyll, and including *mold(s)*, rusts, *mildew*, smuts and mushrooms.
 - b. **Mold** includes, but is not limited to, any superficial growth produced on damp or decaying organic matter or on living organisms, and fungi that produce *mold(s)*.
 - c. **Mildew** includes but is not limited to any of similar coatings or discolorations, caused by fungi, as that which appears on fabric, paper, leather, etc. when exposed to moisture.
 - d. **Spore** means any dormant or reproductive body produced by or arising or emanating out of any *fungus, mold(s), mildew*, plants, organisms or microorganisms.
 - e. **Yeast** includes any of various small, single-celled fungi that reproduces by fission or budding.
17. **Land** means *land* (except *Land* for which values are reported and premiums are charged), such as dikes, levees, and other surface containment structures. Surface containment structures are not *land* to a depth of six inches below such surface containment structures.
18. **Location(s)** is/are defined as specified in the Declarations on file with us; but if not so specified, *locations* mean any building(s), or any group of buildings bounded on all sides by public streets, clear *land* space or open waterways, each not less than two hundred feet wide. Any bridge or tunnel crossing such street, space or waterway shall render such separation inoperative for the purpose of this definition.
19. **Named Storm** means a storm that has been declared by the National Weather Service or the National Oceanic Atmospheric Administration to be a Hurricane, Typhoon, Tropical Cyclone, Tropical Storm, or Tropical Depression.
20. **Occurrence(s)** means any one loss, disaster, casualty, incident or series of losses, disasters, casualties or incidents, arising out of a single event, and includes all resultant or concomitant insured losses. However:
 - a. All earthquake shocks or volcanic eruptions that occur within any 168-hour period will constitute a single earthquake or volcanic eruption, and will be considered a single *occurrence*. The expiration of this policy will not reduce the 168-hour period.
 - b. With respect to *flood*, *occurrence* means the sum of all *flood* losses arising during a continuous period of 72 hours during the policy period. You may elect the moment when the 72-hour period begins, but no two such periods shall overlap; and
 - c. With respect to Named Windstorm, *occurrence* means the sum of all Named Windstorm losses arising during a continuous period of 72 hours during the policy period. You may elect the moment when the 72-hour period begins, but no two such periods shall overlap.
 - d. With respect to an *occurrence* which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the *occurrence* began.
 - e. The *occurrence* must begin during the policy period.
21. **Perishable goods** means stock preserved and maintained under controlled conditions and susceptible to damage if the controlled conditions change.
22. **Pollutants or Contaminants** means any solid, liquid, gaseous or thermal irritant or contaminant, including smog, smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste, which after its release can cause or threaten damage to human health or human welfare or causes or threatens damage,

deterioration, loss of value, marketability or loss of use to property insured, including, but not limited to, bacteria, virus, or hazardous substances as listed in the Federal Water Pollution Control Act, Clean Air Act, Resource Conservation and Recovery Act of 1976, and Toxic Substances Control Act or as designated by the U. S. Environmental Protection Agency. Waste includes materials to be recycled, reconditioned or reclaimed.

23. **Production machinery** means any machine which processes, forms, shapes, or transports raw materials, materials in process, waste materials or finished products.
24. **Reasonable extra cost** shall mean the extra cost of temporary repair and of expediting the repair of such damaged equipment of the insured, including overtime and the extra cost of express or other rapid means of transportation.
25. **Rental Value** means the sum of:
 - a. The total anticipated gross rental income from tenant occupancy of the described property as furnished and equipped by you including taxes, rent based on percentage of sales, and other charges paid by tenants in respect of the leased *locations*; and
 - b. The amount of all charges which, by the terms of a written lease, are the legal obligation of the tenant(s) and which would otherwise be obligations of you; and
 - c. The fair *rental value* of any portion of such property which is occupied by you.
26. **Replacement Cost** means the actual cost of repairs or replacement without deduction for depreciation, subject to limitations stated in the policy. Repairs or replacement will restore the property to the same current function using today's repairs and construction material up to any applicable policy sublimits or limits.
27. **Roof Replacement** means removal and replacement of the entire *roof surface*
28. **Roof Surface** means the *roof surface* material type (slate, composition, wood, tile, metal, all other *roof surface* material types) of the building or other structures covered under this policy and all other roof components, including, but not limited to:
 - a. Flashing, caps, vents, drips edges, and ice shields;
 - b. Sheathing, felt and membranes;
 - c. Modified bitumen, bitumen, rubber, built-up and sprayed polyurethane foam roofing;
 - d. Foam inserts and elastomeric coating;
 - e. Finials, eave, and gable trim and snow guards;
 - f. Battens, counter battens, bird stops, gravel stops; and
 - g. Coatings, adhesives, adherents and other finishing materials for *roof surface* materials and all other roof components.
29. **Stock** means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.
30. **Suspension** means:
 - a. the slowdown or cessation of your business activities; and / or
 - b. a part of or all of the described *location* is rendered untenable, if coverage for Business Income including *rental value* applies.

REASONABLE EMERGENCY SERVICES ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

We will pay for reasonable costs incurred by you for *emergency services* taken solely to protect covered property under Coverage **A**, Coverage **B** and Coverage **C** from further damage, as described and covered in **Section B. Covered Causes of Loss** and **SMB 402 1712 CW ALL OTHER PERILS**, subject to following conditions:

1. Reasonable *emergency services* are limited to a combined \$100,000 for any and all services unless prior written approval is obtained from the carrier assigned Claims Handler in accordance with the conditions of paragraph 2.
2. Any reasonable *emergency services* totaling in excess of \$100,000 for any and all services must be approved in writing by the carrier assigned Claims Handler prior to the commencement of the work. The assigned Claims Handler may only approve reasonable *emergency services* in excess of \$100,000 for all services subject to the following conditions:
 - a. Any reasonable *emergency services* must be supported by a written itemized estimate provided to the carrier assigned Claims Handler prior to the commencement of the work.
 - b. Any reasonable *emergency services* in excess of those included in a written itemized estimate pursuant to subparagraph a. must be supported by a supplemental written itemized estimate provided to the carrier assigned Claims Handler prior to the commencement of any supplemental work.
3. Any water/fire/smoke mitigation regarding cleaning, inspection and restoration must follow current IICRC guidelines in order for coverage to be applicable. The mitigation provider must provide all the following to be considered for coverage:
 - a) Photos of damages before, during and after performing *emergency services*
 - b) Moisture mapping
 - c) IICRC calculations for equipment installation (air movers, dehumidifiers, and air scrubbers)
 - d) Drying logs
 - e) Invoices and receipts
4. Reasonable *emergency services* are only compensable if the provider of the services is appropriately licensed in the state where the work is being performed.
5. Reasonable *emergency services* allows only non-destructive temporary tarping of the roof or similar non-destructive measures. The following exceptions also apply:
 - a) Destructive tarping such as nailing or screwing a temporary roof cover is specifically excluded under this policy unless prior written approval is obtained from the carrier assigned Claims Handler prior to services being performed. Further, the Insured must

incur the cost to remove and reset the tarp for our inspection(s) if destructive tarping is utilized by the insured;

- b) Any type of shrink wrap roof coverings are specifically not covered under this policy for any reason. Further, the Insured must incur the cost to remove and reset the tarp for our inspection(s) if shrink wrap is utilized by the insured;
- c) We will reimburse you for the cost to remove and reset a tarp to allow for our inspection(s) if the claim is reported within 30 days of the reported date of loss. If reported after 30 days from the reported date of loss, the insured must incur the cost to remove and reset the tarp for our inspection(s);
- d) We will not reimburse you for the cost to remove and reset a tarp to allow you or your consultants to inspect;
- e) In the event the tarp is blown off or damaged by a subsequent weather event, we will reimburse you for the cost to reset a tarp.

6. This endorsement does not increase the amount of the Coverage **A**, **B** or **C** limits.

Definitions: The following term, wherever used in this endorsement, shall mean:

Emergency Services – Any and all services taken solely to protect the property covered under Coverage **A**, **B**, or **C** from further damage in the case of an emergency, including by not limited to: water mitigation, fire mitigation, smoke mitigation, temporary roof covering/tarping, board-up of any openings, mold testing and remediation, demolition or removal, structural stabilization, mechanical or electrical service, equipment rental, contents manipulation, contents storage, or contents cleaning.

All other terms and conditions, insured coverage and exclusions of this policy remain unchanged, including other applicable limits, sub-limits and deductibles, and apply in full force and effect to the coverage provided by this policy.

ALL OTHER PERILS

THIS ENDORSEMENT CHANGES THE POLICY, PLEASE READ IT CAREFULLY

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

B. COVERED CAUSE OF LOSS:

In addition to the Covered Causes of Loss in the policy, the following Causes of Loss are included:

1. Covered Causes of Loss shall include all other perils, which means all sudden and accidental direct physical loss unless the loss is excluded or limited in this policy.
 - a. All Other Peril excludes *collapse*.

All other terms and conditions, insured coverage, and exclusions of this insurance policy remain unchanged, including applicable limits, sublimits, and deductibles, and apply in full force and effect to the coverage provided by this policy.

EQUIPMENT BREAKDOWN ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

B. Covered Causes of Loss

In addition to the Covered Causes of Loss in the policy, the following Causes of Loss are included:

1. *Equipment Breakdown*

C. Additional Coverages

The following is added to the Additional Coverages section of the policy. Each item with a sublimit of coverage will be a sublimit of the limits provided by the policy and not in addition to the limits provided in the policy.

1. ***Equipment Breakdown Pollutant Clean Up and Removal***

We will pay for the Pollutant Clean Up and Removal for loss resulting from *equipment breakdown*. The most we will pay for the Pollutant Clean Up and Removal is \$250,000.

This Additional Coverage does not apply to costs to test for, monitor, or assess the existence, concentration, or effects of *pollutants*. We will pay for testing which is performed in the course of extracting the *pollutants* from the land or water.

2. **Expediting Expenses**

We will pay for the expediting expense loss resulting from *equipment breakdown* with respect to your damaged Covered Property. We will pay the *reasonable extra cost* to:

- a. Make temporary repairs;
- b. Expedite permanent repairs; and
- c. Expedite permanent replacement.

The most we will pay for Expediting Expense is the Limit of Insurance shown on the Declarations.

3. **Refrigerant Contamination**

We will pay the loss from contamination by refrigerant used in refrigerating, cooling, or humidity control equipment at the described premises as a result of *equipment breakdown*.

The most we will pay for Refrigerant Contamination is \$250,000.

4. **Spoilage**

We will pay for loss of *perishable goods* due to spoilage resulting from lack of power, light, heat, steam, or refrigeration caused by *equipment breakdown*.

However, we will not pay for any loss, damage, cost, or expense directly caused by, contributed to by, resulting from, or arising out of the following causes of loss:

Fire, lightning, combustion explosion, wind-storm or hail, weight of snow, ice or sleet, freezing, falling objects, smoke, aircraft or vehicles, riot or civil commotion, vandalism, sinkhole collapse, volcanic action, leakage from fire extinguishing equipment, water, water damage, earth movement, or flood.

If you are unable to replace the *perishable goods* before their anticipated sale, payment will be determined based on the sales price of the *perishable goods* at the time of the loss, less discounts and expenses that otherwise would have been incurred. Otherwise, payment will be determined in accordance with the Loss Settlement Conditions of the policy, to which this endorsement is attached, up to a maximum limit of \$250,000.

5. Temperature Fluctuation

We will pay for loss of *perishable goods* only caused by or resulting from any condition or event to Covered Property that can be resolved by calibrating, resetting, tightening, adjusting or cleaning.

However, we will not pay for loss of *perishable goods* as a result of resetting the power supply to the Covered Property containing the *perishable goods*.

If you are unable to replace the *perishable goods* before their anticipated sale, payment will be determined based on the sales price of the *perishable goods* at the time of the loss, less discounts and expenses that otherwise would have been incurred. Otherwise, payment will be determined in accordance with the Loss Settlement Conditions of the policy, to which this endorsement is attached, up to a maximum limit of \$5,000.

6. CFC Refrigerants

We will pay for the *additional costs* to repair or replace Covered Property because of the use or presence of a refrigerant containing CFC (chlorofluorocarbon) substances caused by *equipment breakdown*.

We also pay for additional loss as described under the Spoilage Coverage provided by this endorsement and the Business Income Coverage as described in the policy to which this endorsement attached, caused by the presence of a refrigerant containing CFC substances.

We pay no more than the least of the following:

- a. The cost to repair the damaged property and replace any lost CFC refrigerant;
- b. The cost to repair the damaged property, retrofit the system to accept a non-CFC refrigerant, and charge the system with a non-CFC refrigerant; or
- c. The cost to replace the system with one using a non-CFC refrigerant.

The most we will pay for CFC Refrigerants is the Limit of Insurance shown on the Ancillary Coverages and Sublimits.

7. Computer Equipment

We will pay for loss or damage to your *computer equipment* caused by *equipment breakdown*.

The most we will pay for Computer Equipment is the Limit of Insurance shown on the Declarations.

8. Data Restoration

We will pay for your reasonable and necessary cost to research, replace and restore the lost information on electronic media and records as a result of *equipment breakdown*.

The most we will pay for Data Restoration is \$100,000.

9. Computer Virus

We will pay for loss or damage to your *computer equipment* caused by a *computer virus* which results in *equipment breakdown*.

The most we will pay for Computer Virus is the Limit of Insurance shown on the Declarations.

10. Service Interruption

Any insurance provided for Service Interruption, Spoilage, or Data Restoration is extended to apply to your loss, damage or expense caused by *equipment breakdown* to equipment that is owned by a utility, landlord or other supplier with whom you have a contract to supply you with any of the following services: electrical power, waste disposal, air conditioning, refrigeration, heating, natural gas, compressed air, water, steam, internet access, telecommunications services, wide area networks, data transmission or *cloud computing*. The equipment must meet the definition of *equipment breakdown* except that it is not Covered Property.

The most we will pay for Service Interruption is the Sublimit of Insurance shown on the Ancillary Coverage and Sublimits Endorsement. The most we will pay for Spoilage or Data Restoration is the sublimit under each Additional Coverage as provided in this endorsement.

11. Risk Improvement

If Covered Property suffers direct physical loss or damage due to *equipment breakdown*, we will pay for the insured to improve the *power quality* of the electrical system or equipment at the loss location where the *equipment breakdown* occurred.

We will pay the reasonable extra cost to improve *power quality* for the following electrical systems and/or equipment improvements:

- a. Installation of surge protection devices (SPD's) which are installed at the loss location's line disconnect, load disconnect, or on specific pieces of equipment and that are certified by Underwriter Laboratories (UL) or has an equivalent certification. However, SPD's do not include any SPD's which are cord-connected surge strips, direct plug-in SPD's or receptacle SPD's;
- b. An upgrade and/or replacement of; electrical panels, switchgear and/or circuit breakers; or
- c. Electrical wire and wiring improvements which include installation of; flexible conduit, junction boxes and/or ground wiring.

We will not pay more than 10%, to a maximum limit of \$10,000, of the loss amount paid. An invoice for implementation of this Additional Coverage must be sent to us within 180 days after the payment of the loss is received.

12. Off-Premises Coverage

We will pay for loss or damage to Covered Property resulting from a covered *equipment breakdown* while temporarily at a *location* that is not a described *location*.

The most we will pay for Off-Premises Coverage is \$25,000.

D. Exclusions and Limitations

1. With respect to coverage provided by this endorsement only, the following Exclusions do not apply:
 - a. **Electrical Surge Exclusion**
 - b. **Equipment Breakdown and Explosion Exclusion**

G. Policy Conditions

The following is added to the Policy Conditions section of the policy:

1. Suspension

Whenever Covered Property is found to be in, or exposed to, a dangerous condition, any of our representatives may immediately suspend the insurance against loss to that Covered Property for the perils covered by this endorsement. Coverage can be suspended and possibly reinstated by delivering or mailing a written notice of suspension / coverage reinstatement to:

- a. Your last known address; or

- b. The address where the property is located.

If we suspend your insurance, you will get a pro rata refund of premium. The suspension will be effective even if we have not yet made or offered a refund.

2. Jurisdictional Inspections

If any Covered Property under this endorsement requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

3. Environmental, Safety, and Efficiency Improvements

If Covered Property requires replacement due to equipment breakdown, we will pay your additional cost to replace with equipment that is better for the environment, safer, or more energy efficient than the equipment being replaced.

However, we will not pay more than 150% of what the cost would have been to repair or replace with like kind and quality. This Condition does not apply to any property to which actual cash value applies.

4. Green Environmental and Efficiency Improvements

If Covered Property requires repair or replacement due to equipment breakdown, we will pay:

- a. The lesser of the reasonable and necessary additional cost incurred by the insured to repair or replace physically damaged Covered Property with equipment of like kind and quality which qualifies as *green*. Like kind and quality includes similar size and capacity.
- b. The additional reasonable and necessary fees incurred by the insured for an accredited professional certified by a *green authority* to participate in the repair or replacement of physically damaged Covered Property as *green*.
- c. The additional reasonable and necessary cost incurred by the insured for certification or recertification of the repaired or replaced Covered Property as *green*.
- d. The additional reasonable and necessary cost incurred by the insured for *green* in the removal, disposal or recycling of damaged Covered Property.
- e. The Business Income Coverage, if covered within the Policy to which this *Equipment Breakdown* Endorsement is attached, loss during the additional time required for repair or replacement of Covered Property, consistent with *green*, in the coverages above.

We will not pay more than 150% of what the cost would have been to repair or replace with equipment of like kind and quality inclusive of fees, costs, subject to a maximum limit of \$100,000 per *occurrence*, in addition to any Business Income Coverage loss incurred as stated above.

Green Environmental and Efficiency Improvements does not cover any of the following:

- a. Covered Property does not include *stock*, raw materials, finished goods, *production machinery*, merchandise, electronic data processing equipment not used in the functional support of the real property, process water, molds and dies, property in the open, property of others for which the insured is legally liable, or personal property of others.
- b. Any loss adjusted on any valuation basis other than a repair or replacement basis as per the Loss Settlement Conditions section of this policy.
- c. Any loss covered under any other section of this policy.
- d. Any cost incurred due to any law or ordinance with which the insured was legally obligated to comply prior to the time of the *equipment breakdown*.

I. Definitions

With respect to this endorsement only, the following Definitions are added:

1. *Green* means products, materials, methods and processes certified by a *green authority* that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.
2. *Green Authority* means an authority on *green* buildings, products, materials, methods or processes certified and accepted by Leadership in Energy and Environmental Design (LEED®), Green Building Initiative Green Globes®, Energy Star Rating System or any other recognized *green* rating system.
3. *Power quality* means the conditions that allow electrical systems or equipment to operate as intended by limiting voltage fluctuations and other power influences that would adversely affect the operational performance and/or reduce the reliability, or the life-span of the electrical system.
4. *Additional costs* mean those in excess of what would have been required to repair or replace Covered Property, had no CFC refrigerant been involved.

All other terms and conditions, insured coverage, and exclusions of this insurance policy remain unchanged, including applicable limits, sublimits, and deductibles, and apply in full force and effect to the coverage provided by this policy.

ADDITIONAL COVERAGES & SUBLIMIT OPTIONS

THIS ENDORSEMENT CHANGES THE POLICY, PLEASE READ IT CAREFULLY

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

The following items shall be sublimits of coverage as provided by the policy. Each value stated shall be the maximum this policy shall pay in any one *occurrence*, regardless of the types or number of items lost or damaged, unless further stated below. This endorsement does not create coverage not otherwise stated in the Declarations and provided in the policy. All values are sublimits of the limits provided by the policy, and not in addition to the limits provided in the policy.

If there is no limit for Coverage A, B, C or D on the declarations, the additional coverages and sub-limits that relate to Coverage A, B, C, or D have a \$0 sublimit for all packages (no coverage afforded.)

Section I: Additional Coverages and Sublimit Options by Package Level

The following items are specific to the coverage level shown on the Declarations and further defined in the policy for Additional Coverages and Sublimits.

Description	Sublimit of Coverage	Bronze Package Limits	Silver Package Limits	Gold Package Limits
A. Accounts Receivable:	C	\$10,000	\$25,000	\$50,000
B. Debris Removal: (lessor of % of the amount paid for direct physical loss or damage to Covered Property or the amount stated) (Amounts are Maximum Annual Aggregate Amount) a. Maximum limit per <i>location</i> for Debris Removal of other property if no Covered Property sustained direct physical loss or damage	A, B, C	25% or \$250,000 \$5,000	25% or \$500,000 \$10,000	25% or \$1,000,000 \$25,000
C. Extended Period of Indemnity	D	30 Days	90 Days	180 Days
D. Fine Arts:	C	\$10,000	\$25,000	\$50,000
E. Leasehold Improvements and Betterments:	A	\$50,000	\$100,000	\$250,000

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Description	Sublimit of Coverage	Bronze Package Limits	Silver Package Limits	Gold Package Limits
F. Loading and Unloading Property for Transit:	C	\$25,000	\$50,000	\$100,000
G. Moveable Equipment and Inventory in the Open:	C	\$10,000	\$25,000	\$50,000
H. Ordinance or Law: Coverage A -Coverage for Loss to the Undamaged Portion of the Building (lessor of % Coverage A-Covered Property or fixed dollar amount if indicated)	A	100% or \$250,000	100%	100%
I. Ordinance or Law: Coverage B – Demolition Cost Coverage (% of Coverage A- Covered Property)	A	10%	15%	20%
J. Ordinance or Law: Coverage C – Increased Cost of Construction (lessor of % Coverage A – Covered Property or fixed dollar amount)	A	5%	10%	15%
K. Ordinary Payroll:	D	1 Month	2 Months	3 Months
L. Outdoor Signs, Fences, Antennas, and Vegetation (lessor of \$ amount given or Coverage B limit) a. Sublimit for each tree, shrub or plant (per item and occurrence maximum) b. Sublimit for fences	B	\$50,000 a) \$250/ \$5,000 b) \$10,000	\$100,000 a) \$250/ \$5,000 b) \$20,000	\$250,000 a) \$250/ \$5,000 b) \$30,000
M. Personal Effects and Personal Property of Others:	C	\$25,000	\$50,000	\$100,000
N. Property Removed from Insured Locations:	C	\$10,000	\$25,000	\$50,000
O. Seasonal Inventory: % of Business Personal Property	C	0%	25%	50%
P. Sewer or Water Back Up:	A, B, C, D	\$15,000	\$35,000	\$50,000
Q. Spoilage:	C	\$5,000	\$25,000	\$50,000
R. Tenant's Glass	C	\$5,000	\$10,000	\$25,000
S. Valuable Papers and Records:	C	\$10,000	\$25,000	\$100,000

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Section II: Additional Coverages and Sublimits for Coverage A, B, C as applicable for All Additional Coverage Package Levels

The following items apply to Coverage A, B, and C as shown on the declarations and to all Package levels shown on the Declarations for Additional Coverages and Sublimits.

Description	Limits for All Packages
A. Animals:	\$500 per Animal \$25,000 Per Occurrence
B. Business Personal Property Temporarily in Portable Storage Units:	Annual Aggregate: \$100,000
C. Electronic Data and Media:	Annual Aggregate: \$50,000
D. Fire Department Services Charges:	\$15,000
E. Fungus, Molds, Mildew, Spores Yeast: Per Occurrence and Annual Aggregate	\$15,000
F. Gems and Jewelry	\$5,000
G. Leased or Rented Equipment:	Any one item: \$5,000 Per Occurrence: \$25,000
H. Leasehold Interest:	\$25,000
I. Limited Pollutant or Contaminant Clean-up and Removal Coverage:	Annual Aggregate: \$15,000
J. Lock and Key Replacement:	\$5,000
K. Newly Acquired or Constructed Property: (not more than 60 days from date of acquisition or construction): Subject to all other Sublimits contained herein a) Buildings b) Business Personal Property	Each Annual Aggregate: \$250,000 \$100,000
L. Pair or Sets:	\$25,000
M. Professional Fees for Covered Claims Preparation Costs: Per Occurrence and Annual Aggregate	\$10,000
N. Protection and Preservation of Property:	\$100,000
O. Reclaiming, Restoring, or Repairing Land Improvements:	\$10,000

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Description	Limits For All Packages
P. Reward Reimbursement:	\$25,000
Q. Sidewalks, Paved Surfaces, Roadways and / or Attached Patios: Includes cost of excavation, grading, backfilling, filling	\$50,000
R. Sinkhole Loss: For insureds with Earthquake Coverage only; in states other than Florida	\$10,000

Section III: Additional Coverages and Sublimits for Business Income Coverage

The following items apply to all coverage levels shown on the Declarations for Additional Coverages and Sublimits and further specific to Coverage D: Business Income Coverage.

If there is no limit for Coverage D on the declarations, the additional coverages and sublimits below will have a \$0 or 0 day sublimit (no coverage afforded).

Description	Limits for All Packages
A. Contingent Business Income: The lessor of:	30 Days, or \$50,000
B. Extra Expense:	\$100,000
C. Ingress / Egress Coverage: The lessor of: but in no event, will this policy pay more than the amount subject to a 72-hour qualifying period. The qualifying period does not apply wind / hail, flood, and / or earthquake events	30 Days, or \$100,000
D. Interruption by Civil or Military Authority: The lessor of: but in no event will this policy pay more than the amount subject to a 72-hour qualifying period. The qualifying period does not apply wind / hail, flood, and / or earthquake events	30 Days, or \$100,000
E. Royalties:	\$10,000
F. Service Interruption: The lessor of: but in no event will this policy pay more than the amount subject to a 72-hour qualifying period. The qualifying period does not apply wind / hail, flood, and / or earthquake events	3 Weeks, or \$100,000

All other terms and conditions, insured coverage and exclusions of this policy, including applicable limits and deductibles, remain unchanged and apply in full force and effect to the Coverage provided by this policy.

ROOF VALUATION

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

H. Property Loss Conditions

The following Property Loss Condition is added to the policy Property Loss Conditions:

1. Any damage to a *roof surface* that has an age greater than the years listed in the table below will be subject to *actual cash valuation*, as defined by the policy.

Partial repairs, recoating, or temporary repairs are considered maintenance only and do not determine the age of the roof for purposes of this endorsement. Only a *roof replacement* will alter the age of the *roof surface* for purposes of this endorsement.

Primary Roof Protection Material	Years
Clay concrete tile, Slate, or similar performing material	11
Light metal panels, Standing seam metal, or similar performing material *	11
Asphalt composite shingle, Built-up with gravel or without gravel, Single-ply membrane, Single-ply membrane ballasted, similar performing material, and All other	11

* Metal roofing material of any definition shall not be covered for *cosmetic damage*.

All other terms and conditions, insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

MULTIPLE BUILDING VALUATION ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY, PLEASE READ IT CAREFULLY

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

H. Property Loss Conditions

The following Property Loss Condition is added to the policy Property Loss Conditions:

If the property involved consists of multiple buildings, and the latest Locations & Building Detail on the Declarations does not report values by individual building, in no case shall the loss for the building, including all Additional Coverages other than Debris Removal, exceed that building's respective proportional value of the total building value for that location.

The building's respective proportional value shall be calculated by:

1. Dividing the building values reported for the *location* by the square footage reported to arrive at a dollar per square foot for the *location*; then
2. multiply the dollar per square foot calculated above by the square footage of the specific building(s) damaged.

All other terms and conditions, insured coverage and exclusions of this insurance policy remain unchanged, including applicable limits, sublimits, and deductibles, and apply in full force and effect to the coverage provided by this policy.

PROTECTIVE SAFEGUARDS ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY, PLEASE READ IT CAREFULLY

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

D. Exclusions and Limitations

The following is added to the Exclusions and Limitations section of the policy:

1. Lack of Maintenance to Protective Safeguard Exclusion

We will not pay for loss or damage caused by or resulting from fire if, prior to the fire, you failed to maintain any protective safeguard represented as present at a building and listed in the Schedule below, and over which you had control, in complete working order.

H. Property Loss Conditions

The following Property Loss Condition is added to the policy Property Loss Conditions:

1. In consideration of the premium charged and based on the protection of the premises by the protective safeguard systems described in the submission / application, it is a condition of this policy that you shall exercise due diligence in maintaining in complete working order all equipment and services, affirmed to be part of the Covered Property, and pertaining to the system(s) which are under your control, including maintenance and service requirements.
2. The protective safeguards to which this endorsement applies are identified as:
 - a. *Automatic Fire Protection Sprinkler System*, including related supervisory services.
 - 1) If part of an *Automatic Fire Protection Sprinkler System* is shut off due to breakage, leakage, freezing conditions or opening of sprinkler heads, notification to us will not be necessary if you can restore full protection within 48 hours.
 - b. *Automatic Central Monitored Fire Alarm*
 - c. *Central Monitored Burglar Alarm*
3. You shall give us immediate notice of any impairment in or suspension of any equipment or service pertaining to the system within your knowledge. If part of an *Automatic Fire Protection Sprinkler System* is shut off due to breakage, leakage, freezing conditions or opening of sprinkler heads, notification to us will not be necessary if you can restore full protection within 48 hours.

I. Definitions

The following definitions are added to the policy definitions:

1. ***Automatic Fire Protection Sprinkler System*** means
 - a. any automatic fire protective or extinguishing system, including connected:
 - 1) Sprinklers and discharge nozzles;
 - 2) Ducts, pipes, valves and fittings;
 - 3) Tanks, their component parts and supports; and
 - 4) Pumps and private fire protection mains.
 - b. When supplied from an automatic fire protective system:
 - 1) Non-automatic fire protective systems; and
 - 2) Hydrants, standpipes and outlets.
2. ***Automatic Central Monitored Fire Alarm*** means an automatic fire alarm protecting the entire building that is:
 - a. Connected to a central station, or
 - b. Reporting to a public or private fire alarm station.
3. ***Central Monitored Burglar Alarm*** means a *central monitored burglar alarm* that is protecting all entryways and windows that is:
 - a. Activated and operational
 - b. Reporting to a public or private burglar alarm station; and
 - c. In the "on" position during all non-working hours or when the insured premises are unoccupied.

All other terms and conditions, insured coverage and exclusions of this insurance policy remain unchanged, including applicable limits, sublimits, and deductibles, and apply in full force and effect to the coverage provided by this Policy.

MINIMUM EARNED PREMIUM AND FEES – GULF COAST

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

This endorsement modifies insurance provided under the following:
SMALL COMMERCIAL PROPERTY FORM

A. Minimum Earned Premium

If this policy is cancelled, we will refund premium only as stated herein:

1. If we cancel, the refund will be prorated based on the number of days remaining in the policy period.
2. If you cancel and the policy was not in force at any time between June 1 and November 30, then the premium refund will be equal to the pro rata unearned premium as of the effective date of the cancellation, subject to a minimum earned premium of 25% of the annual premium.
3. If you cancel and the policy was in force any time between June 1 and November 30, the premium refund will be equal to the pro rata unearned premium as of the effective date of the cancellation, subject to a minimum earned premium of 85% of the annual premium.

B. Minimum Earned Fees

Any policy, inspection, reinstatement, or installment fees charged under this policy are fully earned and are not refundable in the event the policy is cancelled.

All other terms and conditions, Named Insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

POLICYHOLDER DISCLOSURE NOTICE OF TERRORISM INSURANCE COVERAGE

This notice applies to the type(s) of insurance provided under this policy that are subject to the Terrorism Risk Insurance Act, as amended ("The Act"). You are hereby notified that under The Act, you have a right to purchase insurance coverage for losses arising out of certified acts of terrorism, as defined in Section 102(1) of The Act: The term certified act of terrorism means any act or acts that are certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, as amended, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property; or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of an air carrier or vessel or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

YOU SHOULD KNOW THAT WHEN COVERAGE IS PROVIDED BY THIS POLICY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM, SUCH LOSSES MAY BE PARTIALLY REIMBURSED BY THE UNITED STATES GOVERNMENT UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THE FORMULA, THE UNITED STATES GOVERNMENT GENERALLY REIMBURSES 80% OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURANCE COMPANY PROVIDING THE COVERAGE. THE PREMIUM CHARGED FOR THIS COVERAGE IS PROVIDED BELOW AND DOES NOT INCLUDE ANY CHARGES FOR THE PORTION OF LOSS THAT MAY BE COVERED BY THE FEDERAL GOVERNMENT UNDER THE ACT.

YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A \$100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURER'S LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS \$100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEEDS \$100 BILLION, YOUR COVERAGE MAY BE REDUCED.

To Reject this offer, do ALL of the following:

(1) Communicate your decision to your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.

(2) Mark the REJECT option below, sign and date below, and return the originally signed document to your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.

To Accept this offer, do ALL of the following:

- (1) Communicate your decision to your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.
- (2) Mark the ACCEPT option below, sign and date below, and return the originally signed document to your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.
- (3) Pay the premium by the due date shown on your premium billing.

Please note that any coverage mandated by applicable law in your state will not be affected by your rejection below of terrorism coverage.

If you have any questions about this or any other insurance matter, please contact your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.

TERRORISM COVERAGE ELECTION

() I REJECT COVERAGE FOR LOSSES DUE TO TERRORIST ACTS, AS DEFINED IN THE ACT.

() I ACCEPT COVERAGE FOR LOSSES DUE TO TERRORIST ACTS, AS DEFINED IN THE ACT.

Policyholder / Applicant _____

Signature: _____

Title: _____

Date: _____

Please return this form to your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.

SEVERAL LIABILITY CLAUSE

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

The liability of an insurer under this contract is several and not joint with other insurers party to this contract. An insurer is liable only for the proportion of liability it has underwritten. An insurer is not jointly liable for the proportion of liability underwritten by any other insurer. Nor is an insurer otherwise responsible for any liability of any other insurer that may underwrite this contract.

The proportion of liability under this contract underwritten by an insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown in this contract.

In the case of a Lloyd's syndicate, each member of the syndicate (rather than the syndicate itself) is an insurer. Each member has underwritten a proportion of the total shown for the syndicate (that total itself being the total of the proportions underwritten by all the members of the syndicate taken together). The liability of each member of the syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other insurer that may underwrite this contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Although reference is made at various points in this clause to "this contract" in the singular, where the circumstances so require this should be read as a reference to contracts in the plural.

All other terms and conditions, insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

ALLOCATION ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

In consideration of the premium charged for this policy as outlined by the Insurer(s) in the declarations, the applicable participation of each Insurer(s) as a percentage (%) of the limit of liability shown in the policy is as follows:

Perils (As Per Policy)	Insurer	Contract	Carrier ID	Participation (as a %)
All Covered Causes of Losses Except Equipment Breakdown and Cyber	Velocity Specialty Insurance Company	VSIC2025	VSI-SMB-801944-05	14.70%
All Covered Causes of Losses Except Equipment Breakdown and Cyber	National Fire & Marine Insurance Company	IC23-17-24	VNI-CU-801944-05	11.10%
All Covered Causes of Losses Except Equipment Breakdown and Cyber	Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025	B604510568622025	VRR-CU-801944-05	14.80%
All Covered Causes of Losses Except Equipment Breakdown and Cyber	United Specialty Insurance Company	USIC2025	VVX-CU-801944-05	41.50%
All Covered Causes of Losses Except Equipment Breakdown and Cyber	Fortegra Specialty Insurance Company	FS24-06-24	FSV-CPP-801944-05	2.90%
All Covered Causes of Losses Except Equipment Breakdown and Cyber	Emerald Bay Specialty Insurance Company	EB24-09-24	VEB-CPP-801944-05	15.00%
Equipment Breakdown - if shown as elected on the Declaration	Velocity Specialty Insurance Company	VSIC2025	VSI-SMB-801944-05	100%

Perils (As Per Policy)	Insurer	Contract	Carrier ID	Participation (as a %)
Cyber Liability - if shown as elected on the Declaration	Velocity Specialty Insurance Company	VSIC2025	VSI-SMB-801944-05	100%

Please note that carriers and/ or carrier participation are subject to change at binding.

The contracts herein cover mutually exclusive perils. The maximum limit of liability is not to exceed the per occurrence participation stated in the policy, regardless of whether multiple perils and multiple contracts are involved. Recognition of liability by either of the contracts reduces the limit of liability of any corresponding contract..

The liability otherwise determined to exist under the terms and conditions of this policy shall be borne by the contract covering the proximate cause of loss identified in the allocation of security. Covered perils shall be defined by the applicable forms attached to this policy.

The Insurer's liability under this policy for covered losses is several and not joint with other insurers party to this contract. The Insurer is liable only for the proportion of liability it has underwritten. The Insurer is not jointly liable for the proportion of liability underwritten by any other insurer. Nor is the Insurer otherwise responsible for any liability of any other insurer that may underwrite this policy.

The Insurer's liability may not be increased in the event that any other insurer or other party to this contract who for any reason does not satisfy all or part of its obligations.

This contract shall be constructed as a separate contract between the Named Insured and each of the Insurers. This evidence of coverage consists of separate sections of a composite insurance for all Underwriters at Lloyd's combined and separate policies issued by the Insurer(s), all as identified above. This evidence of coverage does not constitute in any manner or form a joint certificate of coverage by Underwriters at Lloyd's with any other Insurer(s).

All other terms and conditions, Named Insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

Cyber Liability Coverage Endorsement

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

PLEASE NOTE THAT THE DEFENSE COSTS ARE SUBJECT TO THE APPLICABLE LIMIT AND DEDUCTIBLE. SPECIFICALLY, DEFENSE COSTS ARE SUBJECT TO THE CYBER LIABILITY COVERAGE ANNUAL AGGREGATE LIMIT. THIS MEANS THAT THE CYBER LIABILITY COVERAGE ANNUAL AGGREGATE LIMIT MAY BE COMPLETELY EXHAUSTED BY DEFENSE COSTS.

ANY THIRD-PARTY COVERAGE PROVIDED UNDER THE TERMS OF THIS ENDORSEMENT WILL BE ON A CLAIMS-MADE BASIS.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed and to the extent that coverage is duplicated under this endorsement and the policy or another endorsement, coverage will be applied so as to avoid duplication of coverage for any single loss or claim. This endorsement is a part of this insurance policy and takes effect on the effective date of the insurance policy unless another effective date is shown on the Declarations Page.

Throughout this Coverage Endorsement (hereinafter referred to as "Cyber Coverage"), the words "you" and "your" refer to the Named Insured(s) shown on the Declarations Page and any other person(s) or organization(s) qualifying as a Named Insured under this Cyber Coverage. The words "we", "us" and "our" refer to the company providing this insurance.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and this endorsement.

The terms and conditions of the Cancellation and Additions or Deletions Clause of the Policy Conditions and any amendment to such terms incorporated by endorsement are hereby incorporated herein and shall apply to coverage as is afforded by this Cyber Coverage, unless specifically stated otherwise in an endorsement(s) attached hereto.

When this endorsement and the SMB 424 2105 CW ALL Property Cyber and Data Exclusion Endorsement both apply, the SMB 424 2105 Property Cyber and Data Exclusion and any Data Exclusion in that endorsement will not apply to the extent that it would exclude coverage provided under this Cyber Liability Suite Coverage Endorsement.

Cyber Liability Coverage Schedule

Cyber Liability Coverage Annual Aggregate Limit :	\$ 50,000
Cyber Liability Coverage Deductible Per Occurrence:	\$ 1,000
Data Compromise Response Expenses	Included
Sublimits Per Occurrence	
Forensic IT Review:	\$ 25,000
Legal Review:	\$ 25,000
Public Relations:	\$ 5,000

SMB 423 2501 CW ALL Cyber Liability Coverage Endorsement

Regulatory Fines and Penalties:	\$ 25,000
PCI Fines and Penalties:	\$ 25,000
Computer Attack	Included
Sublimits Per Occurrence	
Loss of Business:	\$ 25,000
Public Relations:	\$ 5,000
Cyber Extortion	Included
Sublimit Per Occurrence:	\$ 10,000
Data Compromise Liability	Included
Network Security Liability	Included
Identity Recovery	
Annual Aggregate Limit Per <i>Identity Recovery Insured</i>:	\$25,000
Identity Recovery Deductible Per Occurrence:	None
Sublimits Per Occurrence	
Lost Wages and Child and Elder Care Expenses:	\$5,000
Mental Health Counseling:	\$1,000
Miscellaneous Unnamed Costs:	\$1,000

Solely with respect to coverage provided under this endorsement, **C. Additional Coverage**, is amended as follows:

C. Additional Coverage

This section lists the Cyber Liability coverages that apply if indicated on the Declarations Page.

1. Data Compromise Response Expenses

a. Data Compromise Response Expenses applies only if all of the following conditions are met:

- (1) There has been a *personal data compromise*; and
- (2) Such *personal data compromise* took place in the *coverage territory*; and
- (3) Such *personal data compromise* is first discovered by you during the *policy period*; and
- (4) The *personal data compromise* is reported to us as soon as practicable, but in no event more than sixty (60) days after the date it is first discovered by you.

b. If the conditions listed in **1.a.** above have been met, we will provide coverage for the following reasonable and necessary expenses if they are a direct result of a *personal data compromise*. We reserve the right to determine what is reasonable and necessary. Items **(4)** and **(5)** below apply only if after a *personal data compromise* there has been a notification to the *affected individuals* as required by item **(3)** below.

(1) Forensic IT Review

We will pay the reasonable cost for a professional information technologies review if needed to determine, within the constraints of what is possible and reasonable, the nature and extent of the *personal data compromise* and the number and identities of the *affected individuals*.

This does not include costs to analyze, research or determine any of the following:

- (a) Vulnerabilities in systems, procedures or physical security;
- (b) Compliance with Payment Card Industry or other industry security standards; or
- (c) The nature or extent of *loss* or damage to data that is not *personally identifying information* or *personally sensitive information*.

If there is reasonable cause to suspect that a covered *personal data compromise* may have

occurred, we will pay for costs covered under Forensic IT Review, even if it is eventually determined that there was no covered *personal data compromise*. However, once it is determined that there was no covered *personal data compromise*, we will not pay for any further costs.

(2) Legal Review

We will pay the reasonable cost for a professional legal counsel review of *personal data compromise* to obtain legal advice on how you should best respond to it. We reserve the right to determine the reasonable cost.

If there is reasonable cause to suspect that a *personal data compromise* may have occurred, we will pay for costs covered under Legal Review, even if it is eventually determined that there was no covered *personal data compromise*. However, once it is determined that there was no covered *personal data compromise*, we will not pay for any further costs.

(3) Notification to Affected Individuals

We will pay your necessary and reasonable costs to provide notification of *personal data compromise* to affected individuals.

(4) Services to Affected Individuals

We will pay the necessary and reasonable costs to provide the following services to affected individuals. Services (c) and (d) below apply only to affected individuals due to *personal data compromise* events involving personally identifying information:

(a) Informational Materials

A packet of loss prevention and customer support information.

(b) Help Line

A toll-free telephone line for affected individuals with questions about the *personal data compromise*. Where applicable, the line can also be used to request additional services as listed in (c) and (d) below.

(c) Credit Report and Monitoring

A credit report and an electronic service automatically monitoring for activities affecting an individual's credit records. Credit monitoring service is subject to enrollment by the affected individual in the service directly with the designated service provider.

(d) Identity Restoration Case Management

As respects any affected individual who is or appears to be a victim of *identity theft* that may reasonably have arisen from the *personal data compromise*, the services of an identity restoration professional who will assist that affected individual through the process of correcting credit and other records and restoring control over his or her personal identity. We reserve the right to limit the services provided under this provision (4)(d) to what is possible and reasonable.

(5) Public Relations

We will pay for the reasonable and necessary costs of a professional public relations firm review of, and response to, the potential impact of the *personal data compromise* on your business relationships.

This includes costs deemed necessary and reasonable to implement the public relations recommendations of such firm. This may include advertising and special promotions designed to retain your relationship with affected individuals. However, we will not pay for:

(a) Promotions provided to any of your directors, employees or other persons doing work on your behalf; or

(b) Promotion costs exceeding \$25 per affected individual.

(6) Regulatory Fines and Penalties

We will pay for any fine or penalty imposed by law, to the extent that payment of such fine or penalty is legally insurable under the law or public policy of the applicable jurisdiction.

(7) Payment Card Industry (PCI) Fines and Penalties

We will pay for any Payment Card Industry fine or penalty imposed under a contract to which you

are a party. PCI Fines and Penalties do not include any increased transaction costs.

2. Computer Attack

a. Computer Attack applies only if all of the following conditions are met:

- (1) There has been a *computer attack*; and
- (2) Such *computer attack* occurred in the *coverage territory*; and
- (3) Such *computer attack* is first discovered by you during the *policy period*; and
- (4) Such *computer attack* is reported to us as soon as practicable, but in no event more than sixty (60) days after the date it is first discovered by you.

b. If the conditions listed in **2.a.** above have been met, we will provide the following coverages for *loss* caused by such *computer attack*. We reserve the right to determine the reasonable and necessary costs for the following:

(1) Data Restoration

We will pay your necessary and reasonable *data restoration costs*.

(2) Data Re-creation

We will pay your necessary and reasonable *data re-creation costs*.

(3) System Restoration

We will pay your necessary and reasonable *system restoration costs*.

(4) Loss of Business

We will pay your actual *business income and extra expense* loss incurred during the *period of restoration*.

(5) Extended Income Recovery

If you suffer a covered *business income and extra expense* loss resulting from a *computer attack* on a *computer system* owned or leased by you and operated under your control, we will pay your actual *extended income loss*.

(6) Public Relations

If you suffer a covered *business income and extra expense loss*, we will pay for the services of a professional public relations firm to assist you in communicating your response to the *computer attack* to the media, the public and your customers, clients or members.

3. Cyber Extortion

a. Cyber Extortion applies only if all of the following conditions are met:

- (1) There has been a *cyber extortion threat*; and
- (2) Such *cyber extortion threat* is first made against you during the *policy period*; and
- (3) Such *cyber extortion threat* is reported to us as soon as practicable, but in no event more than sixty (60) days after the date it is first made against you.

b. If the conditions listed in **3.a.** above have been met, we will pay for your necessary and reasonable *cyber extortion expenses* arising directly from such *cyber extortion threat*. We reserve the right to determine the reasonable and necessary expenses. The payment of *cyber extortion expenses* must be approved in advance by us. We will not pay for *cyber extortion expenses* that have not been approved in advance by us. We will not unreasonably withhold our approval.

c. You must make every reasonable effort not to divulge the existence of this Cyber Extortion coverage.

4. Data Compromise Liability

a. Data Compromise Liability applies only if all of the following conditions are met:

- (1) During the *policy period* or the Extended Reporting Period, you first receive notice of one of the following:
 - (a) A *claim*; or
 - (b) A *regulatory proceeding*.
- (2) Such *claim* or *regulatory proceeding* must arise from a *personal data compromise* that:

- (a) Took place during the *coverage term*; and
 - (b) Took place in the *coverage territory*; and
 - (c) Was submitted to us and insured under Data Compromise Response Expenses.
- (3) Such *claim* or *regulatory proceeding* is reported to us as soon as practicable, but in no event more than sixty (60) days after the date it is first received by you.
- b. If the conditions listed in a. above have been met, we will pay on your behalf any covered:
 - (1) Loss directly arising from the *claim*; or
 - (2) *Defense costs* directly arising from a *regulatory proceeding*.
- c. All *claims* and *regulatory proceedings* arising from a single *personal data compromise* or interrelated *personal data compromises* will be deemed to have been made at the time that notice of the first of those *claims* or *regulatory proceedings* is received by you.

5. Network Security Liability

- a. Network Security Liability applies only if all of the following conditions are met:
 - (1) During the *policy period* or the Extended Reporting Period, you first receive notice of a *claim* which arises from a *network security incident* that:
 - (a) Took place during the *coverage term*; and
 - (b) Took place in the *coverage territory*; and
 - (2) Such *claim* is reported to us as soon as practicable, but in no event more than sixty (60) days after the date it is first received by you.
- b. If the conditions listed in a. above have been met, we will pay on your behalf any covered *loss* directly arising from the *claim*.
- c. All *claims* arising from a single *network security incident* or interrelated *network security incidents* will be deemed to have been made at the time that notice of the first of those *claims* is received by you.

6. Identity Recovery

- a. Identity Recovery applies only if all of the following conditions are met:
 - (1) There has been an *identity theft* involving the personal identity of an *identity recovery insured* under this Cyber Coverage; and
 - (2) Such *identity theft* took place in the *coverage territory*; and
 - (3) Such *identity theft* is first discovered by the *identity recovery insured* during the *policy period*; and
 - (4) Such *identity theft* is reported to us within sixty (60) days after it is first discovered by the *identity recovery insured*.
- b. If the conditions listed in a. above have been met, then we will provide the following to the *identity recovery insured*:
 - (1) **Case Management Service**
We will pay for the services of an *identity recovery case manager* as needed to respond to the *identity theft*; and
 - (2) **Expense Reimbursement**
We will pay for reimbursement of necessary and reasonable *identity recovery expenses* incurred as a direct result of the *identity theft*.

D. Exclusions and Limitations

The following exclusions are added and apply to coverage provided by this endorsement:

We will not pay for costs or *loss* arising out of the following:

- 1. Nuclear reaction or radiation or radioactive contamination, however caused.
- 2. War and hostile action including any of the following and any consequence of any of the following:
 - a. Cyber warfare, whether or not occurring in combination with physical combat;
 - b. Undeclared war;
 - c. Civil war;

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- d. Hostile action by military force or cyber measures, including action in hindering or defending against an actual or expected attack, by any Combatant; or
- e. Insurrection, rebellion, revolution, usurped power, political violence or action taken by governmental authority in hindering or defending against any of these, including cyber action in connection with any of the foregoing.

For purposes of this exclusion, cyber warfare, cyber measures and cyber action include, but are not limited to, the use of disruptive digital activities against a computer network or system with the intention to cause harm in order to further political or similar objectives, or to intimidate any person(s) in furtherance of such objectives, committed by a Combatant.

The attribution of an action to a Combatant will be determined by relying on reasonable evidence such as:

- a. Statements by an impacted government, sovereign or other authority;
- b. Statements by widely recognized international bodies (such as the United Nations) or alliances (such as the North Atlantic Treaty Organization); or
- c. Consensus opinion within relevant expert communities such as the cyber security industry.

Decisions about the presence or absence of war, hostile action, and other terms used in this exclusion will take into consideration the full range of available tactics, weapons and technologies at the time of the event giving rise to the "loss".

Combatant means, for purposes of this exclusion, a government, sovereign or other authority, or agents acting on their behalf.

- 3. Total or partial failure or interruption of, reduction in performance or damage to, any electrical power supply network or telecommunications network ~~not~~ owned and operated by you including, but not limited to, satellites the internet, internet service providers, Domain Name System (DNS) service providers, cable and wireless providers, internet exchange providers, search engine providers, internet protocol networks (and similar networks that may have different designations) and other providers of telecommunications or ~~internet~~ infrastructure.
- 4. Any attack on, incident involving, or loss to any computer or system of computers that is not a *computer system*.
- 5. Costs to research or correct any deficiency.
- 6. Any fines or penalties other than those explicitly covered under Data Compromise Response Expenses.
- 7. Any criminal investigations or proceedings.
- 8. Your intentional or willful complicity in a covered *loss* event.
- 9. Your reckless disregard for the security of your *computer system* or data, including confidential or sensitive information of others in your care, custody or control.
- 10. Any criminal, fraudulent or dishonest act, error or omission, or any intentional or knowing violation of the law by you.
- 11. Any *personal data compromise*, *computer attack*, *cyber extortion threat* or *wrongful act* occurring before the *coverage term*.
- 12. That part of any *claim* seeking any non-monetary relief. However, this exclusion does not apply to *defense costs* arising from an otherwise insured *wrongful act*.
- 13. The propagation or forwarding of malware, including viruses, worms, Trojans, spyware and keyloggers in connection with hardware or software created, produced or modified by you for sale, lease or license to third parties.
- 14. *Property damage* or *bodily injury*.
- 15. The theft of a professional or business identity.
- 16. Any fraudulent, dishonest or criminal act by an *identity recovery insured* or any person aiding or abetting an *identity recovery insured*, or by any *authorized representative* of an *identity recovery insured*, whether acting alone or in collusion with others. However, this exclusion will not apply to the interests of an *identity recovery insured* who has no knowledge of or involvement in such fraud, dishonesty or criminal act.
- 17. An *identity theft* that is not reported in writing to the police.

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18. Any amount not insurable under applicable law.

19. Any provision of coverage under this Cyber Coverage to the extent that such provision would expose us or violation of economic or trade sanctions, laws or regulations of the United States of America or any jurisdiction with whose laws we are legally obligated to .

E. Limits of Insurance

1. Aggregate Limits

Except for post-judgment interest, the Cyber Liability Coverage Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above is the most we will pay for all *loss* under all applicable coverage sections, except Identity Recovery, in any one *policy period* or any applicable Extended Reporting Period. The Cyber Liability Coverage Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above applies regardless of the number of insured events first discovered or *claims* or *regulatory proceedings* first received during the *policy period* or any applicable Extended Reporting Period.

The Identity Recovery Coverage is subject to the Identity Recovery Annual Aggregate Limit as shown in the Cyber Liability Coverage Schedule above.

2. Coverage Sublimits

a. Data Compromise Response Expenses Sublimits

The most we will pay under Data Compromise Response Expenses for Forensic IT Review, Legal Review, Public Relations, Regulatory Fines and Penalties and PCI Fines and Penalties coverages for *loss* arising from any one *personal data compromise* is the applicable sublimit for each of those coverages shown in the Cyber Liability Coverage Schedule above.

These sublimits are part of, and not in addition to, the Cyber Liability Coverage Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above. Public Relations coverage is also subject to a limit per *affected individual* as described in **A.1.b.(5)**.

b. Computer Attack Sublimits

The most we will pay under Computer Attack for Loss of Business and Extended Income Recovery coverages for *loss* arising from any one *computer attack* is the applicable Loss of Business sublimit shown in the Cyber Liability Coverage Schedule above. The most we will pay under Computer Attack for Public Relations coverage for *loss* arising from any one *computer attack* is the applicable Public Relations sublimit shown in the Cyber Liability Coverage Schedule above.

These sublimits are part of, and not in addition to, the Cyber Liability Coverage Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above.

c. Cyber Extortion Sublimit

The most we will pay under Cyber Extortion coverage for *loss* arising from one *cyber extortion threat* is the applicable sublimit shown in the Cyber Liability Coverage Schedule above.

This sublimit is part of, and not in addition to, the Cyber Liability Coverage Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above.

d. Identity Recovery Sublimits

The following provisions are applicable only to the Identity Recovery Coverage.

(1) Case Management Service is available as needed for any one *identity theft* for up to 12 consecutive months from the inception of the service. Expenses we incur to provide Case Management Services do not reduce the Identity Recovery Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above.

(2) Costs covered under item d. (Legal Costs) of the definition of *identity recovery expenses* are part of, and not in addition to, the Identity Recovery Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above.

(3) Costs covered under item e. (Lost Wages) and item f. (Child and Elder Care Expenses) of the definition of *identity recovery expenses* are jointly subject to the Lost Wages and Child and Elder Care sublimit shown in the Cyber Liability Coverage Schedule above. This sublimit is part of, and not in addition to, the Identity Recovery Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above. Coverage is limited to wages lost and expenses incurred within 12 months after the first discovery of the *identity theft* by the *identity recovery insured*.

(4) Costs covered under item g. (Mental Health Counseling) of the definition *identity recovery expenses* is subject to the Mental Health Counseling sublimit shown in the Cyber Liability Coverage Schedule above. This sublimit is part of, and not in addition to, the Identity Recovery Aggregate Limit shown in the Cyber Liability Coverage Schedule above. Coverage is limited to counseling that takes place within 12 months after the first discovery of the *identity theft* by the *identity recovery insured*.

(5) Costs covered under item h. (Miscellaneous Unnamed Costs) of the definition of *identity recovery expenses* is subject to the Miscellaneous Unnamed Costs sublimit shown in the Cyber Liability Coverage Schedule above. This sublimit is part of, and not in addition to, the Identity Recovery Annual Aggregate Limit shown in the Cyber Liability Coverage Schedule above. Coverage is limited to costs incurred within 12 months after the first discovery of *identity theft* by the *identity recovery insured*.

3. Application of Limits

- a. A *computer attack, cyber extortion threat, personal data compromise* or *identity theft* may be first discovered by you in one *policy period*, but it may cause insured *loss* in one or more subsequent *policy periods*. If so, all insured *loss* arising from such *computer attack, cyber extortion threat, personal data compromise* or *identity theft* will be subject to the limit of insurance applicable to the *policy period* when the *computer attack, cyber extortion threat, personal data compromise* or *identity theft* was first discovered by you.
- b. You may first receive notice of a *claim* or *regulatory proceeding* in one *policy period*, but it may cause insured *loss* in one or more subsequent *policy periods*. If so, all insured *loss* arising from such *claim* or *regulatory proceeding* will be subject to the limit of insurance applicable to the *policy period* when notice of the *claim* or *regulatory proceeding* was first received by you.
- c. The limit of insurance for the Automatic Extended Reporting Period will be part of, and not in addition to, the limit of insurance for the immediately preceding *policy period*.
- d. Coverage for Services to Affected Individuals under Data Compromise Response Expenses is limited to costs to provide such services for a period of up to one (1) year from the date of the notification to the *affected individuals*. Notwithstanding, coverage for Identity Restoration Case Management services initiated within such one (1) year period may continue for a period of up to one year from the date such Identity Restoration Case Management services are initiated.

F. Deductible

1. We will not pay for *loss* until the amount of the insured *loss* exceeds the deductible amount shown in the Cyber Liability Coverage Schedule above. We will then pay the amount of *loss* in excess of the applicable deductible amount, subject to the applicable limits shown in the Cyber Liability Coverage Schedule above. You will be responsible for the applicable deductible.
2. The deductible will apply to all:
 - a. Loss arising from the same insured event or interrelated insured events under Data Compromise Response Expenses, Computer Attack or Cyber Extortion.
 - b. Loss resulting from the same *wrongful act* or interrelated *wrongful acts* insured under Data Compromise Liability or Network Security Liability.
3. In the event that *loss* is insured under more than one coverage section, only the single highest deductible applies.
4. Insurance coverage under Identity Recovery is not subject to a deductible.

G. Policy Conditions

The following conditions apply in addition to the Common Policy Conditions:

1. Bankruptcy

The bankruptcy or insolvency of you, your business, or your estate, will not relieve you or us of obligation under this Cyber Coverage.

H. Loss Conditions

The following Loss Conditions are added and apply only to *loss* and coverage provided under this endorsement:

1. Defense And Settlement

- a. We shall have the right and the duty to assume the defense of any applicable *claim* or *regulatory*

proceeding against you. You shall give us such information and cooperation as we may reasonably require.

- b. You shall not admit liability for or settle any *claim* or *regulatory proceeding* or incur any defense costs without our prior written consent.
- c. At the time a *claim* or *regulatory proceeding* is first reported to us, you may request that we appoint a defense attorney of your choice. We will give full consideration to any such request.
- d. If you refuse to consent to any settlement recommended by us and acceptable to the claimant, we may then withdraw from your defense by tendering control of the defense to you. From that point forward, you shall, at your own expense, negotiate or defend such *claim* or *regulatory proceeding* independently of us. Our liability shall not exceed the amount for which the *claim* or suit could have been settled if such recommendation was consented to, plus *defense costs* incurred by us, and *defense costs* incurred by you with our written consent, prior to the date of such refusal.
- e. We will not be obligated to pay any *loss* or *defense costs*, or to defend or continue to defend any *claim* or *regulatory proceeding* after the applicable limit of insurance has been exhausted.
- f. We will pay all interest on that amount of any judgment within the applicable limit of insurance which accrues:
 - (1) After entry of judgment; and
 - (2) Before we pay, offer to pay or deposit in court that part of the judgment within the applicable limit of insurance or, in any case, before we pay or offer to pay the entire applicable limit of insurance.

These interest payments will be in addition to and not part of the applicable limit of insurance.

2. Due Diligence

You agree to use due diligence to prevent and mitigate any *loss* insured under this Cyber Coverage. This includes, but is not limited to, complying with, and requiring your vendors to comply with applicable state and/or federal laws, as well as any reasonable and/or industry-accepted protocols for:

- a. Providing and maintaining appropriate physical security for your premises, *computer systems* and hard copy files;
- b. Providing and maintaining appropriate computer and Internet security;
- c. Maintaining and updating at appropriate intervals backups of computer data;
- d. Protecting transactions, such as processing credit card, debit card and check payments; and
- e. Appropriate and proper disposal of files containing *personally identifying information*, *personally sensitive information* or *third-party corporate data*, including but not limited to, shredding hard copy files and destroying physical media used to store electronic data.

3. Duties in the Event of a Claim, Regulatory Proceeding or Loss

- a. If, during the *policy period*, incidents or events occur which you reasonably believe may give rise to a *claim* or *regulatory proceeding* for which coverage may be provided hereunder, such belief being based upon either written notice from the potential claimant or the potential claimant's representative; or notice of a complaint filed with a federal, state or local agency; or upon an oral *claim*, allegation or threat, you shall give written notice to us as soon as practicable and either:
 - (1) Anytime during the *policy period*; or
 - (2) Anytime during the Extended Reporting Period (if applicable).
- b. If a *claim* or *regulatory proceeding* is brought against you, you must:
 - (1) Immediately record the specifics of the *claim* or *regulatory proceeding* and the date received;
 - (2) Provide us with written notice, as soon as practicable, but in no event more than sixty (60) days after the date the *claim* or *regulatory proceeding* is first received by you;
 - (3) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the *claim* or *regulatory proceeding*;
 - (4) Authorize us to obtain records and other information;
 - (5) Cooperate with us in the investigation, settlement or defense of the *claim* or *regulatory proceeding*;
 - (6) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to you because of *loss* or *defense costs* to which this insurance may also apply;

- (7) Not take any action, or fail to take any required action, that prejudices your rights or our rights with respect to such *claim* or *regulatory proceeding*.
- c. In the event of a *personal data compromise*, *computer attack*, *cyber extortion threat* or *identity theft*, insured under this Cyber Coverage, you and any involved *identity recovery insured* must see that the following are done:
 - (1) Notify the police if a law may have been broken.
 - (2) Notify us as soon as practicable, but in no event more than sixty (60) days after the *personal data compromise*, *computer attack*, *cyber extortion threat* or *identity theft*. Include a description of any property involved.
 - (3) As soon as possible, give us a description of how, when and where the *personal data compromise*, *computer attack*, *cyber extortion threat* or *identity theft* occurred.
 - (4) As often as may be reasonably required, permit us to:
 - (a) Inspect the property proving the *personal data compromise*, *computer attack*, *cyber extortion threat* or *identity theft*;
 - (b) Examine your books, records, electronic media and records and hardware;
 - (c) Take samples of damaged and undamaged property for inspection, testing and analysis; and
 - (d) Make copies from your books, records, electronic media and records and hardware.
 - (5) Send us signed, sworn proof of *loss* containing the information we request to investigate the *personal data compromise*, *computer attack*, *cyber extortion threat* or *identity theft*. You must do this within sixty (60) days after our request. We will supply you with the necessary forms.
 - (6) Cooperate with us in the investigation and/or settlement of the *personal data compromise*, *computer attack*, *cyber extortion threat* or *identity theft*.
 - (7) If you intend to continue your business, you must resume all or part of your operations as quickly as possible.
 - (8) Make no statement that will assume any obligation or admit any liability, for any *loss* for which we may be liable, without our prior written consent.
 - (9) Promptly send us any legal papers or notices received concerning the *loss*.
- d. We may examine you under oath at such times as may be reasonably required, about any matter relating to this insurance or the *claim*, *regulatory proceeding* or *loss*, including your books and records. In the event of an examination under oath, your answers must be signed.
- e. You may not, except at your own cost, voluntarily make a payment, assume any obligation, or incur any expense without our prior written consent.

4. Extended Reporting Period

If a *termination of coverage* has occurred, you will have the right to, at no additional premium, an Automatic Extended Reporting Period of 30 days immediately following the effective date of *termination of coverage* during which you may first receive notice of a claim or regulatory proceeding arising directly from a wrongful act occurring before the end of the policy period and which is otherwise insured by this Cyber Coverage.

5. Identity Recovery Help Line

For assistance, if Identity Recovery applies, the *identity recovery insured* should call the **Identity Recovery Help Line at 1-800-945-9313**.

The **Identity Recovery Help Line** can provide the *identity recovery insured* with:

- a. Information and advice for how to respond to a possible *identity theft*; and
- b. Instructions for how to submit a service request for Case Management Service and/or a claim form for Expense Reimbursement Coverage.

In some cases, we may provide Case Management Services at our expense to an *identity recovery insured* prior to a determination that a covered *identity theft* has occurred. Our provision of such services is not an admission of liability under the Cyber Coverage. We reserve the right to deny further coverage or service if, after investigation, we determine that a covered *identity theft* has not occurred.

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For Expense Reimbursement Coverage, the *identity recovery insured* must send to us, within sixty (60) days after our request, receipts, bills or other records that support his or her *claim for identity recovery expenses*.

6. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

- a. There has been full compliance with all of the terms of this insurance; and
- b. The action is brought within two years after the date the *loss* or *identity theft* is first discovered by you, or the date on which you first receive notice of a *claim* or *regulatory proceeding*.

7. Legal Advice

We are not your legal advisor. Our determination of what is or is not insured under this Cyber Coverage does not represent advice or counsel from us about what you should or should not do.

8. Other Insurance

If there is other insurance that applies to the same *loss*, this Cyber Coverage shall apply only as excess insurance after all other applicable insurance has been exhausted.

9. Pre-Notification Consultation

You agree to consult with us prior to the issuance of notification to *affected individuals*. We assume no responsibility under Data Compromise Response Expenses for any services promised to *affected individuals* without our prior agreement. If possible, this pre-notification consultation will also include any designated service provider(s) as agreed to under the Service Providers condition below. You must provide the following at our pre-notification consultation with you:

- a. The exact list of *affected individuals* to be notified, including contact information.
- b. Information about the *personal data compromise* that may appropriately be communicated with *affected individuals*.
- c. The scope of services that you desire for the *affected individuals*. For example, coverage may be structured to provide fewer services in order to make those services available to more *affected individuals* without exceeding the available Data Compromise Response Expenses limit of insurance.

10. Service Providers

- a. We will only pay under this Cyber Coverage for services that are provided by service providers approved by us. You must obtain our prior approval for any service provider whose expenses you want covered under this Cyber Coverage. We will not unreasonably withhold such approval.
- b. Prior to the Pre-Notification Consultation described in the Pre-Notification Consultation Condition above, you must come to agreement with us regarding the service provider(s) to be used for the Notification to Affected Individuals and Services to Affected Individuals. We will suggest a service provider. If you prefer to use an alternate service provider, our coverage is subject to the following limitations:
 - (1) Such alternate service provider must be approved by us;
 - (2) Such alternate service provider must provide services that are reasonably equivalent or superior in both kind and quality to the services that would have been provided by the service provider we had suggested; and
 - (3) Our payment for services provided by any alternate service provider will not exceed the amount that we would have paid using the service provider we had suggested.

11. Services

The following conditions apply as respects any services provided to you or any *affected individual* or *identity recovery insured* by us, our designees or any service firm paid for in whole or in part under this Cyber Coverage:

- a. The effectiveness of such services depends on the cooperation and assistance of you, *affected individuals* and *identity recovery insureds*.
- b. All services may not be available or applicable to all individuals. For example, *affected individuals* and *identity recovery insureds* who are minors or foreign nationals may not have credit records that can be provided or monitored. Service in Canada will be different from service in the United States and Puerto Rico in accordance with local conditions.

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- c. We do not warrant or guarantee that the services will end or eliminate all problems associated with the covered events.
- d. Except for the services of an *identity recovery case manager* under Identity Recovery, which we will provide directly, you will have a direct relationship with the professional service firms paid for in whole or in part under this Cyber Coverage. Those firms work for you.

I. Definitions

Definitions listed here only apply if this endorsement is included in the policy.

1. **Affected Individual** means any person whose *personally identifying information* or *personally sensitive information* is lost, stolen, accidentally released or accidentally published by a *personal data compromise* covered under this Cyber Coverage. This definition is subject to the following provisions:
 - a. *Affected individual* does not include any business or organization. Only an individual person may be an *affected individual*.
 - b. An *affected individual* may reside anywhere in the world.
2. **Authorized Representative** means a person or entity authorized by law or contract to act on behalf of an *identity recovery insured*.
3. **Authorized Third Party User** means a party who is not an employee or a director of you who is authorized by contract or other agreement to access the *computer system* for the receipt or delivery of services.
4. **Bodily Injury** means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.
5. **Business Income and Extra Expense Loss** means loss of Business Income and Extra Expense.
 - a. As used in this definition, Business Income means the sum of:
 - (1) Net income (net profit or loss before income taxes) that would have been earned or incurred; and
 - (2) Continuing normal and necessary operating expenses incurred, including employee and director payroll.
 - b. As used in this definition, Extra Expense means the additional cost you incur to operate your business over and above the cost that you normally would have incurred to operate your business during the same period had no *computer attack* occurred.
6. **Claim**
 - a. *Claim* means:
 - (1) A written demand for monetary damages or non-monetary relief, including injunctive relief;
 - (2) A civil proceeding commenced by the filing of a complaint;
 - (3) An arbitration proceeding in which such damages are claimed and to which you must submit or do submit with our consent;
 - (4) Any other alternative dispute resolution proceeding in which such damages are claimed and to which you must submit or to which we agree you should submit to;arising from a *wrongful act* or a series of interrelated *wrongful acts* including any resulting appeal.
 - b. *Claim* does not mean or include:
 - (1) Any demand or action brought by or on behalf of someone who is:
 - (a) Your director;
 - (b) Your owner or part-owner; or
 - (c) A holder of your securities;in their capacity as such, whether directly, derivatively, or by class *Claim* will include proceedings brought by such individuals in their capacity as *affected individuals*, but only to the extent that the damages claimed are the same as would apply to any other *affected individual*; or
 - (2) A *regulatory proceeding*.
 - c. Includes a demand or proceeding arising from a *wrongful act* that is a *personal data compromise* only when the *personal data compromise* giving rise to the proceeding was covered under Data Compromise Response Expenses section of this Cyber Coverage, and you submitted a *claim* to us and provided notifications and services to *affected individuals* in consultation with us pursuant to Data Compromise

Response Expenses in connection with such *personal data compromise*.

7. Computer Attack

a. *Computer attack* means one of the following involving the *computer system*:

- (1) An *unauthorized access incident*;
- (2) A *malware attack*; or
- (3) A *denial of service attack* against a *computer system*.

b. A *computer attack* ends at the earlier of:

- (1) The time that the active attacking behavior ceases, the time that you have regained control over the *computer system* or the time that all unauthorized creation, destruction or movement of data associated with the *computer attack* has ceased, whichever happens latest; or
- (2) Thirty (30) days after your discovery of the *computer attack*.

8. Computer System means a computer or other electronic hardware that:

- a. Is owned or leased by you and operated under your control; or
- b. Is operated by a third party service provider used for the purpose of providing hosted computer application services to you or for processing, maintaining, hosting or storing your electronic data, pursuant to a written contract with you for such services. However, such computer or other electronic hardware operated by such third party shall only be considered to be a *computer system* with respect to the specific services provided by such third party to you under such contract.

9. Coverage Term means the increment of time:

- a. Commencing on the earlier of the first inception date of this Cyber Coverage or the first inception date of any coverage substantially similar to that described in this Cyber Coverage and held immediately prior to this Cyber Coverage; and
- b. Ending upon the *termination of coverage*.

10. Coverage Territory means:

- a. With respect to Data Compromise Response Expenses, Computer Attack, Cyber Extortion and Identity Recovery, *coverage territory* means anywhere in the world.
- b. With respect to Data Compromise Liability and Network Security Liability, *coverage territory* means anywhere in the world, however *claims* must be brought within the United States (including its territories and possessions) or Puerto Rico.

12. Cyber Extortion Expenses means:

- a. The cost of a negotiator or investigator retained by you in connection with a *cyber extortion threat*; and
- b. Any amount paid by you in response to a *cyber extortion threat* to the party that made the *cyber extortion threat* for the purposes of eliminating the *cyber extortion threat* when such expenses are necessary and reasonable and arise directly from a *cyber extortion threat*. The payment of *cyber extortion expenses* must be approved in advance by us. We will not pay for *cyber extortion expenses* that have not been approved in advance by us. We will not unreasonably withhold our approval.

14. Cyber Extortion Threat means:

- a. *Cyber extortion threat* means a demand for money from you based on a credible threat, or series of related credible threats, to:
 - (1) Launch a *denial of service attack* against the *computer system* for the purpose of denying *authorized third party users* access to your services provided through the *computer system* via the Internet;
 - (2) Gain access to a *computer system* and use that access to steal, release or publish *personally identifying information, personally sensitive information or third party corporate data*;
 - (3) Alter, damage or destroy electronic data or software while such electronic data or software is stored within a *computer system*;
 - (4) Launch a *computer attack* against a *computer system* in order to alter, damage or destroy electronic data or software while such electronic data or software is stored within a *computer system*; or
 - (5) Cause you to transfer, pay or deliver any funds or property using a *computer system* without your

- b. *Cyber extortion threat* does not mean or include any threat made in connection with a commercial dispute. legitimate

15. Data Re-creation Costs

- a. *Data re-creation costs* means the costs of an outside professional firm hired by you to research, re-create and replace data that has been lost or corrupted and for which there is no electronic source available or where the electronic source does not have the same or similar functionality to the data that has been lost or corrupted.
- b. *Data re-creation costs* does not mean or include costs to research, re-create or replace:
 - (1) Software programs or operating systems that are not commercially available; or
 - (2) Data that is obsolete, unnecessary or useless to you.

16. Data Restoration Costs

- a. *Data restoration costs* means the costs of an outside professional firm hired by you to replace electronic data that has been lost or corrupted. In order to be considered *data restoration costs*, such replacement must be from one or more electronic sources with the same or similar functionality to the data that has been lost or corrupted.
- b. *Data restoration costs* does not mean or include costs to research, re-create or replace:
 - (1) Software programs or operating systems that are not commercially available; or
 - (2) Data that is obsolete, unnecessary or useless to you.

17. Defense Costs

- a. *Defense costs* means reasonable and necessary expenses consented to by us resulting solely from the investigation, defense and appeal of any *claim* or *regulatory proceeding* against you. Such expenses may include premiums for any appeal bond, attachment bond or similar bond. However, we have no obligation to apply for or furnish such bond.
- b. *Defense costs* does not mean or include the salaries or wages of your employees or directors, or your loss of earnings.

- 18. Denial of Service Attack** means an intentional attack against a target computer or network of computers designed to overwhelm the capacity of the target computer or network in order to deny or impede authorized users from gaining access to the target computer or network through the Internet.

- 19. Extended Income Loss** means your actual *business income and extra expense loss* incurred during the *extended recovery period*.

- 20. Extended Recovery Period** means a fixed period of 180 days immediately following the end of the *period of restoration*.

- 21. Identity Recovery Case Manager** means one or more individuals assigned by us to assist *identity recovery insured* with communications we deem necessary for re-establishing the integrity of the personal identity of the *identity recovery insured*. This includes, with the permission and cooperation of the *identity recovery insured*, written and telephone communications with law enforcement authorities, governmental agencies, credit agencies and individual creditors and businesses.

- 22. Identity Recovery Expenses** means the following when they are reasonable and necessary expenses that are incurred as a direct result of an *identity theft* suffered by an *identity recovery insured*:

a. Re-Filing Costs

Costs for re-filing applications for loans, grants or other credit instruments that are rejected solely as a result of an *identity theft*.

b. Notarization, Telephone and Postage Costs

Costs for notarizing affidavits or other similar documents, long distance telephone calls and postage solely as a result of the *identity recovery insured's* efforts to report an *identity theft* or amend or rectify records as to the *identity recovery insured's* true name or identity as a result of an *identity theft*.

c. Credit Reports

Costs for credit reports from established credit bureaus.

d. Legal Costs

Fees and expenses for an attorney approved by us for the following:

- (1) The defense of any civil suit brought against an *identity recovery insured*.
- (2) The removal of any civil judgment wrongfully entered against an *identity recovery insured*.
- (3) Legal assistance for an *identity recovery insured* at an audit or hearing by a governmental agency.
- (4) Legal assistance in challenging the accuracy of the *identity recovery insured's* consumer credit report.
- (5) The defense of any criminal charges brought against an *identity recovery insured* arising from the actions of a third party using the personal identity of the *identity recovery insured*.

e. Lost Wages

Actual lost wages of the *identity recovery insured* for time reasonably and necessarily taken away from work and away from the work premises. Time away from work includes partial or whole work days.

Actual wages may include payment for vacation days, discretionary days, floating holidays and paid personal days. Actual lost wages does not include sick days or any loss arising from time taken away from self-employment. Necessary time off does not include time off to do tasks that could reasonably have been done during non-working hours.

f. Child and Elder Care Expenses

Actual costs for supervision of children or elderly or infirm relatives or dependents of the *identity recovery insured* during time reasonably and necessarily taken away from such supervision. Such care must be provided by a professional care provider who is not a relative of the *identity recovery insured*.

g. Mental Health Counseling

Actual costs for counseling from a licensed mental health professional. Such care must be provided by a professional care provider who is not a relative of the *identity recovery insured*.

h. Miscellaneous Unnamed Costs

Any other reasonable costs necessarily incurred by an *identity recovery insured* as a direct result of the *identity theft*.

(1) Such costs include:

- (a) Costs by the *identity recovery insured* to recover control over his or her personal identity.
- (b) Deductibles or service fees from financial institutions.

(2) Such costs do not include:

- (a) Costs to avoid, prevent or detect *identity theft* or other loss.
- (b) Money lost or stolen.
- (c) Costs that are restricted or excluded elsewhere in this Cyber Coverage or policy.

23. Identity Recovery Insured means the following:

- a. When the entity insured under this Cyber Coverage is a sole proprietorship, the *identity recovery insured* is the individual person who is the sole proprietor of the insured identity.
- b. When the entity insured under this Cyber Coverage is a partnership, the *identity recovery insureds* are the current partners at the time of the loss.
- c. When the entity insured under this Cyber Coverage is a corporation or other form of organization, other than those described in **a.** or **b.** above, the *identity recovery insureds* are all individuals having an ownership interest of 20% or more of the insured entity. However, if there is no one individual who has 20% or greater ownership interest, then the *identity recovery insured* will be:
 - (1) The chief executive of the insured entity; or
 - (2) As respects a religious institution, the senior ministerial employee.

An *identity recovery insured* must always be an individual person. If the entity insured under this Cyber Coverage is a legal entity, that legal entity is not an *identity recovery insured*.

24. Identity Theft

- a. *Identity theft* means the fraudulent use of *personally identifying information*. This includes fraudulently using such information to establish credit accounts, secure loans, enter into contracts or commit crimes.

- b. *Identity theft* does not mean or include the fraudulent use of a business name, d/b/a or any other method of identifying a business activity.

25. Loss

- a. With respect to Data Compromise Response Expenses, *loss* means those expenses enumerated in Data Compromise Response Expenses, paragraph b.
- b. With respect to Computer Attack, *loss* means those expenses enumerated in *Computer Attack*, paragraph b.
- c. With respect to Cyber Extortion, *loss* means *cyber extortion expenses*.
- d. With respect to Data Compromise Liability and Network Security Liability, *loss* means *defense costs* and *settlement costs*.
- e. With respect to Identity Recovery, *loss* means those expenses enumerated in Identity Recovery, paragraph b.

26. Malware Attack

- a. *Malware attack* means an attack that damages a *computer system* or data contained therein arising from malicious code, including viruses, worms, Trojans, spyware and keyloggers.
- b. *Malware attack* does not mean or include damage from shortcomings or mistakes in legitimate electronic code or damage from code installed on your *computer system* during the manufacturing process or normal maintenance.

27. Network Security Incident means a negligent security failure or weakness with respect to a *computer system* which allowed one or more of the following to happen:

- a. The unintended propagation or forwarding of malware, including viruses, worms, Trojans, spyware and keyloggers. Malware does not include shortcomings or mistakes in legitimate electronic code;
- b. The unintended abetting of a *denial of service attack* against one or more other systems; or
- c. The unintended loss, release or disclosure of *third party corporate data*.

28. Period of Restoration means the period of time that begins eight (8) hours after the time that a *computer attack* is discovered by you and continues until the earliest of:

- a. The date that all data restoration, data re-creation and system restoration directly related to the *computer attack* has been completed;
- b. The date on which such data restoration, data re-creation and system restoration could have been completed with the exercise of due diligence and dispatch; or
- c. If no data restoration, data re-creation or system restoration is required, the end of the *computer attack*.

29. Personal Data Compromise means the loss, theft, accidental release or accidental publication of *personally identifying information* or *personally sensitive information* as respects one or more *affected individuals*. If the loss, theft, accidental release or accidental publication involves *personally identifying information*, such loss, theft, accidental release or accidental publication must result in or have the reasonable possibility of resulting in the fraudulent use of such information. This definition is subject to the following provisions:

- a. At the time of the loss, theft, accidental release or accidental publication, *personally identifying information* or *personally sensitive information* need not be at the insured premises but must be in the direct care, custody or control of:
 - (1) You; or
 - (2) A professional entity with which you have a direct relationship and to which you (or an *affected individual* at your direction) have turned over (directly or via a professional transmission or transportation provider) such information for storage, processing, transmission or transportation of such information.
- b. *Personal data compromise* includes disposal or abandonment of *personally identifying information* or *personally sensitive information* without appropriate safeguards such as shredding or destruction, provided that the failure to use appropriate safeguards was accidental and not reckless or deliberate.
- c. *Personal data compromise* includes situations where there is a reasonable cause to suspect that such *personally identifying information* or *personally sensitive information* has been lost, stolen, accidentally released or accidentally published, even if there is no firm proof.
- d. All incidents of *personal data compromise* that are discovered at the same time or arise from the same

30. Personally Identifying Information

- a. *Personally identifying information* means information, including health information, that could be used to commit fraud or other illegal activity involving the credit, access to health care or identity of an *affected individual* or *identity recovery insured*. This includes, but is not limited to, Social Security numbers or account numbers.
- b. *Personally identifying information* does not mean or include information that is otherwise available to the public, such as names and addresses.

31. Personally Sensitive Information

- a. *Personally sensitive information* means private information specific to an individual the release of which requires notification of *affected individuals* under any applicable law.
- b. *Personally sensitive information* does not mean or include *personally identifying information*.

32. Policy Period means the period commencing on the effective date shown on the Declarations Page. The *policy period* ends on the expiration date or the cancellation date of this Cyber Coverage, whichever comes first.

33. Property Damage means

- a. Physical injury to or destruction of tangible property including all resulting loss of use; or
- b. Loss of use of tangible property that is not physically injured.

34. Regulatory Proceeding means an investigation, demand or proceeding alleging a violation of law regulation arising from a *personal data compromise* brought by, or on behalf of, the Federal Trade Commission, Federal Communications Commission or other administrative or regulatory agency, or any federal, state, local or foreign governmental entity in such entity's regulatory or official capacity.

35. Settlement Costs

- a. *Settlement costs* means the following, when they arise from a *claim*:
 - (1) Damages, judgments or settlements; and
 - (2) Attorney's fees and other litigation costs added to that part of any judgment paid by us, when such fees and costs are awarded by law or court order; and
 - (3) Pre-judgment interest on that part of any judgment paid by us.
- b. *Settlement costs* does not mean or include:
 - (1) Civil or criminal fines or penalties imposed by law, except for civil fines and penalties expressly covered under Data Compromise Response Expenses;
 - (2) Punitive and exemplary damages;
 - (3) The multiple portion of any multiplied damages;
 - (4) Taxes; or
 - (5) Matters which may be deemed uninsurable under the applicable law.
- c. With respect to fines and penalties, the law of the jurisdiction most favorable to the insurability of those fines, or penalties will control for the purpose of resolving any dispute between us and you regarding whether the fines, or penalties specified in this definition above are insurable under this Cyber Coverage, provided that such jurisdiction:
 - (1) Is where those fines, or penalties were awarded or imposed;
 - (2) Is where any *wrongful act* took place for which such fines, or penalties were awarded or imposed;
 - (3) Is where you are incorporated, or you have your principal place of business; or
 - (4) Is where we are incorporated or have our principal place of business.

36. System Restoration Costs

- a. *System restoration costs* means the costs of an outside professional firm hired by you to do any of the following in order to restore your *computer system* to its *pre-computer attack* level of functionality:
 - (1) Replace or reinstall computer software programs;
 - (2) Remove any malicious code; and

(3) Configure or correct the configuration of your *computer system*.

b. *System restoration costs* does not mean or include:

- (1) Costs to increase the speed, capacity or utility of a *computer system* beyond what existed immediately prior to the *computer attack*;
- (2) Labor costs of your employees or directors;
- (3) Any costs in excess of the actual cash value of your *computer system*; or
- (4) Costs to repair or replace hardware.

37. Termination of Coverage means:

- a. You or we cancel this coverage;
- b. You or we refuse to renew this coverage; or
- c. We renew this coverage on an other than claims -made basis or with a retroactive date later than the date of the first inception of this coverage or any coverage substantially similar to that described in this Cyber Coverage.

38. Third Party Corporate Data

- a. *Third party corporate data* means any trade secret, data, design, interpretation, forecast, formula, method, practice, credit or debit card magnetic strip information, process, record, report or other item of information of a third party not an insured under this Cyber Coverage which is not available to the general public and is provided to you subject to a mutually executed written confidentiality agreement or which you are legally required to maintain in confidence.
- b. *Third party corporate data* does not mean or include *personally identifying information* or *personally sensitive information*.

39. Unauthorized Access Incident means the gaining of access to a *computer system* by:

- a. An unauthorized person or persons; or
- b. An authorized person or persons for unauthorized purposes.

40. Wrongful Act

- a. With respect to Data Compromise Liability, *wrongful act* means a *personal data compromise*.
- b. With respect to Network Security Liability, *wrongful act* means a *network security incident*.

All other terms and conditions, Named Insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply to the coverage provided by this policy.

Property Cyber and Data Exclusion

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of the insurance policy unless another effective date is shown on the Declarations Page.

This insurance policy to which this Endorsement is attached is amended to:

Under D. Exclusions and Limitations, in addition to exclusions and limitations in the Policy, the following exclusions and limitations are added:

D. Exclusions and Limitations

1. Property Cyber and Data Exclusion.
 - a. *Cyber Loss*:
 - 1) loss, damage, liability, claim, cost, expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any loss of use, reduction in functionality, repair, replacement, restoration or reproduction of any *Data*, including any amount pertaining to the value of such *Data*; regardless of any other cause or event contributing concurrently or in any other sequence thereto.
 - b. In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.
 - c. This endorsement supersedes and, if in conflict with any other wording in the policy or any endorsement thereto having a bearing on *Cyber Loss* or *Data*, replaces that wording.

Under I. Definitions, words and phrases that appear in *italics* in the remainder of this Endorsement have special meaning and apply to this Endorsement only. Refer to I. Definitions of the Policy form for the meaning of all other words and phrases that apply to this insurance policy. The following Definitions are added to the Policy:

I. Definitions

1. *Cyber Loss* means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any *Cyber Act* or *Cyber Incident* including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any *Cyber Act* or *Cyber Incident*.
2. *Cyber Act* means an unauthorized, malicious or criminal act or series of related unauthorized, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any *Computer System*.
3. *Cyber Incident* means:
 - a. any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any *Computer System*; or
 - b. any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any *Computer System*.
4. *Computer System* means:
 - a. any computer, hardware, software, communications system, electronic device (including, but not limited to, a smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any other similar system or any configuration of the aforementioned and any associated input, output, data storage device, networking equipment or back up facility, owned or operated by an Insured or any other party.

5. *Data* means information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form that can be used, accessed, processed, transmitted or stored by a *Computer System*.

All other terms, conditions, Named Insured coverage, and exclusions of this policy remain unchanged, including applicable policy limits, sub-limits and deductibles, and apply to the coverage provided under this policy.

CERTAIN UNDERWRITERS AT LLOYD'S AND OTHER INSURERS SUBSCRIBING TO BINDING AUTHORITY UMR B604510568622025 LIST

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

If Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025 are listed as security on the Allocation Endorsement attached to the policy, the list of participants is shown below:

Policy Number:	2021-801944-05				
UMR:	B604510568622025				
Carrier ID:	VRR-CU-801944-05				
<table><tr><th>Syndicate / Carrier</th><th>Participation</th></tr><tr><td>Certain Underwriters at Lloyd's - Syndicate 1458 18th Floor, 125 Old Broad Street, London EC2N 1AR, United Kingdom</td><td>100%</td></tr></table>		Syndicate / Carrier	Participation	Certain Underwriters at Lloyd's - Syndicate 1458 18th Floor, 125 Old Broad Street, London EC2N 1AR, United Kingdom	100%
Syndicate / Carrier	Participation				
Certain Underwriters at Lloyd's - Syndicate 1458 18th Floor, 125 Old Broad Street, London EC2N 1AR, United Kingdom	100%				

All other terms and conditions, Named Insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

FRAUD NOTICE TO POLICYHOLDERS

Arkansas	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
Colorado	It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance, and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.
District of Columbia	WARNING: It is a crime to provide false or misleading information to an insurer for the purpose of defrauding the insurer or any other person. Penalties include imprisonment and/or fines. In addition, an insurer may deny insurance benefits if false information materially related to a claim was provided by the applicant.
Florida	Any person who knowingly and with intent to injure, defraud, or deceive any insurer files a statement of claim or an application containing any false, incomplete, or misleading information is guilty of a felony of the third degree.
Kansas	A "fraudulent insurance act" means an act committed by any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written, electronic, electronic impulse, facsimile, magnetic, oral, or telephonic communication or statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance which such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto.
Kentucky	Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance containing any materially false information or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime.
Louisiana	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
Maine	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties may include imprisonment, fines, or denial of insurance benefits.
Maryland	Any person who knowingly or willfully presents a false or fraudulent claim for payment of a loss or benefit or who knowingly or willfully presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
New Jersey	Any person who includes any false or misleading information on an application for an insurance policy is subject to criminal and civil penalties.
New Mexico	ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO CIVIL FINES AND CRIMINAL PENALTIES.

FRAUD NOTICE TO POLICYHOLDERS

New York	General: All applications for commercial insurance, other than automobile insurance: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed five thousand dollars and the stated value of the claim for each such violation. All applications for automobile insurance and all claim forms: Any person who knowingly makes or knowingly assists, abets, solicits or conspires with another to make a false report of the theft, destruction, damage or conversion of any motor vehicle to a law enforcement agency, the department of motor vehicles or an insurance company, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed five thousand dollars and the value of the subject motor vehicle or stated claim for each violation. Fire: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance containing any false information, or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime. The proposed insured affirms that the foregoing information is true and agrees that these applications shall constitute a part of any policy issued whether attached or not and that any willful concealment or misrepresentation of a material fact or circumstances shall be grounds to rescind the insurance policy.
Ohio	Any person who, with intent to defraud or knowing that he is facilitating a fraud against an insurer, submits an application or files a claim containing a false or deceptive statement is guilty of insurance fraud.
Oklahoma	WARNING: Any person who knowingly, and with intent to injure, defraud or deceive any insurer, makes any claim for the proceeds of an insurance policy containing any false, incomplete or misleading information is guilty of a felony.
Pennsylvania	All Commercial Insurance, Except As Provided for Automobile Insurance: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties. Automobile Insurance: Any person who knowingly and with intent to injure or defraud any insurer files an application or claim containing any false, incomplete or misleading information shall, upon conviction, be subject to imprisonment for up to seven years and the payment of a fine of up to \$15,000.
Puerto Rico	Any person who knowingly and with the intention of defrauding presents false information in an insurance application, or presents, helps, or causes the presentation of a fraudulent claim for the payment of a loss or any other benefit, or presents more than one claim for the same damage or loss, shall incur a felony and, upon conviction, shall be sanctioned for each violation by a fine of not less than five thousand dollars (\$5,000) and not more than ten thousand dollars (\$10,000), or a fixed term of imprisonment for three (3) years, or both penalties. Should aggravating circumstances [be] present, the penalty thus established may be increased to a maximum of five (5) years, if extenuating circumstances are present, it may be reduced to a minimum of two (2) years.

Rhode Island	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
Tennessee	All Commercial Insurance, Except As Provided for Workers' Compensation It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits. Workers' Compensation: It is a crime to knowingly provide false, incomplete or misleading information to any party to a workers' compensation transaction for the purpose of committing fraud. Penalties include imprisonment, fines and denial of insurance benefits.
Utah	Workers' Compensation: Any person who knowingly presents false or fraudulent underwriting information, files or causes to be filed a false or fraudulent claim for disability compensation or medical benefits, or submits a false or fraudulent report or billing for health care fees or other professional services is guilty of a crime and may be subject to fines and confinement in state prison.
Virginia	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits.
Washington	It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties include imprisonment, fines and denial of insurance benefits.
West Virginia	Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.
All Other States	Any person who knowingly and willfully presents false information in an application for insurance may be guilty of insurance fraud and subject to fines and confinement in prison. (In Oregon, the aforementioned actions may constitute a fraudulent insurance act which may be a crime and may subject the person to penalties).

Restricted Assignment of Post-Loss Benefits

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

THIS POLICY DOES NOT ALLOW THE ASSIGNMENT OF POST -LOSS INSURANCE BENEFITS. BY SELECTING THIS POLICY, YOU WAIVE YOUR RIGHT TO FREELY ASSIGN OR TRANSFER THE POST-LOSS PROPERTY INSURANCE BENEFITS AVAILABLE UNDER THIS POLICY TO A THIRD PARTY OR TO OTHERWISE FREELY ENTER INTO AN ASSIGNMENT AGREEMENT.

Your policy is endorsed to restrict the assignment of post-loss benefits.

In Policy **Form SMB 300** under Section **G. Policy Conditions, 1. Assignment** is deleted and replaced by the following:

1. Assignment

- a. You may not assign this policy without prior written consent from us.
- b. Post-loss assignment of rights, benefits or claims arising under this policy are prohibited.

All other terms and conditions, insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

POLICYHOLDER NOTICE

PRIVACY NOTICE

For commercial business customers with policies administered by us and insured by a non-admitted insurer, our privacy policy is as follows:

1. We do not collect or require personal private information from our customers.
2. We do not share any policyholder information for marketing purposes with any third party.
3. We do share policy information as necessary with third party service providers for purposes of evaluating, processing, or servicing our business, inclusive but not restricted to information gathered in the application, inspection, or claims process.
4. We require a non-disclosure with all third-party service providers as respects information shared from us to our third party service providers which restricts use of information to functions required to perform the contracted services.
5. Exception to all restrictions above will be as required by applicable law or regulatory agency.

ANTI-PUBLIC ADJUSTER ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

Words and phrases that appear in *italics* in the remainder of this form have special meaning. Refer to Section I. Definitions of the policy form and / or this endorsement.

It is understood and agreed that a condition of this policy is that the insured shall not hire, engage, retain, contract with, or otherwise utilize the services of a public adjuster, whether or not licensed in the state where the property is located or any other jurisdiction to inspect, evaluate, or adjust any loss covered by the policy.

To the extent this Endorsement conflicts with Texas law, this Endorsement would not be applicable.

All other terms and conditions, insured coverage and exclusions of this policy remain unchanged, including applicable limits, sublimits and deductibles, and apply in full force and effect to the coverage provided by this policy.

NOTICE TO POLICYHOLDERS REGARDING THE U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL

THIS ENDORSEMENT CHANGES THE POLICY, PLEASE READ IT CAREFULLY

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

No coverage is provided by this notice nor can it be construed to replace any provisions of your policy. You should read your policy and review the declarations page for complete information on the coverages you are provided.

This notice provides information concerning your rights as a policyholder and payments to the Insured, additional insured, loss payee, or claimant, for loss under this policy may be affected by the administration and enforcement of U.S. economic embargoes, trade sanctions, or other directives issued by the Office of Foreign Assets Control ("OFAC") and possibly the U.S. Department of State.

OFAC is an office of the Department of the Treasury that administers and enforces sanctions policy under presidential wartime and national emergency powers, as well as authority granted by specific legislation, in order to impose controls on transactions and freeze foreign assets under U.S. jurisdiction. OFAC has identified and listed numerous foreign countries, foreign organizations, foreign agents, terrorist organizations, terrorists, international narcotics traffickers, and other named individuals, groups and entities as "Specially Designated Nationals and Blocked Persons." This list and more in-depth information on OFAC is available at the following website: <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, or any other applicable regulation promulgated by the U.S. Department of State, if it is determined that the Insured, additional insured, loss payee, or claimant has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, we must block or "freeze" property and payment of any funds transfers or transactions and report all blocks to OFAC with ten (10) days. We will not pay a claim, accept premium, or exchange monies or assets of any kind to, from or with individuals, groups or entities, including but not limited to financial institutions, on the Specially Designated National and Blocked Person list. Additionally, we will not defend or provide any other benefits under your policy to individuals, groups or entities on the Specially Designated National and Blocked Person list. Other limitations on premiums and payments may also apply.

PRIVACY NOTICE

FACTS	WHAT DOES VELOCITY SPECIALTY INSURANCE COMPANY DO WITH YOUR PERSONAL INFORMATION?		
Why?	Federal and state law gives consumers the right to limit some but not all information sharing by companies. Under federal and state law we are required to tell you how we collect, share, and protect your personal information. Please read this notice carefully to understand what we do.		
What?	The types of personal information we may collect, and share includes: ▪ payment history ▪ insurance claim history ▪ account transactions and insurance credit score The type of personal information we do not collect include: ▪ Biometric data When you are no longer our customer, we may continue to share information about you, in accordance with the law, but you have the right to request the return of your personal data after your account is terminated. We may be required by law to retain some information about you. We provide you with information on how to request a correction or the return of your information in this notice below.		
How?	As an insurance company we need to share your personal information for our everyday business with you. In the section below, we list some reasons why Velocity Specialty Insurance Company may share customers' personal information, the reasons we choose to share, and whether you can limit this sharing.		
Reasons we share your personal information		Does Velocity share?	Can you limit this sharing?
For everyday business purposes – such as to process your transactions, maintain your account(s), investigate or prevent fraudulent transactions, report to credit bureaus, respond to court orders and legal investigations		Yes	No
For our marketing purposes – to offer our products and services to you		Yes	No
For joint marketing with other financial companies		No	Yes
For our affiliates' everyday business with us – information about your transactions		Yes	No
For our affiliates' everyday business purposes – information about your creditworthiness or transactions		No	Yes
For our affiliates to market to you		No	Yes
For nonaffiliates to market to you		No	Yes

What We Do and Your Rights	
How does Velocity protect my personal information?	To protect your personal information from unauthorized access and use, we use security measures that comply with federal and state law. These measures include computer safeguards, secured files and buildings. We restrict access to your personal information to our employees, affiliates' employees, or others who have a legitimate need to know that information to service your account or conduct our normal business operations.
How does Velocity collect my personal information?	We collect your personal information, for example, when you: ▪ apply for insurance or pay insurance premiums ▪ file an insurance claim or provide information to us ▪ ask us to make changes to your account We may also collect personal information from others, such as credit bureaus, affiliates, agents and brokers or other companies.
Your Right to Make Certain Requests	Certain states allow you to ask us to: access, correct, delete and opt out of the sale, collection and use of personal data. We have 30 days (except where the law allows a longer period) after receipt of your written request to respond to you. If you wish, you may review this information in person or receive a copy. We will not charge you to make copies at our offices; We will provide 1 free copy request within a single 12 month period. We may assess a reasonable charge for costs of mail or additional copies. You must notify us in writing if you wish to exercise your right to revise personal data we hold. We will review your request and make the requested change or explain why we did make the change. If we do not make the requested change, you may request reconsideration and we will respond to you with our decision.
Definitions	
Affiliates	Companies related by common ownership or control. They can be financial and nonfinancial companies. ▪ Our affiliates include Velocity Risk Underwriters and Velocity Claims.
Biometric Data	Data generated by automatic measurements of an individual's biological characteristics, such as a fingerprint, a voiceprint, eye retinas, irises or other unique biological patterns or characteristics that are used to identify a specific individual.
Nonaffiliates	Companies not related by common ownership or control. They can be financial and nonfinancial companies. ▪ Velocity does not share with nonaffiliates so they can market to you.
Joint Marketing	A formal agreement between nonaffiliated financial companies that together market financial products or services to you. ▪ Our joint marketing partners include categories of companies such as insurance agents and brokers.
Questions?	Contact us at: 10 Burton Hills Blvd., Ste. 300B, Nashville, TN. 37215, (615) 942-0740

NOTICE TO POLICYHOLDERS REGARDING THE U.S. Terrorism Risk Insurance Act of 2002 As Amended Not Purchased Clause

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement provides the terms of coverage if coverage is selected on the Declarations Page.

To the extent a provision of the policy or a previous endorsement is inconsistent with an express provision of this endorsement, this endorsement controls. This endorsement does not change any other provision of the insurance policy to which it is affixed. This endorsement is a part of this insurance policy and takes effect on the effective date of this insurance policy unless another effective date is shown.

You are hereby notified that under the Terrorism Risk Insurance Act of 2002, as amended ("TRIA"), that you now have a right to purchase insurance coverage for losses arising out of acts of terrorism, **as defined in Section 102(1) of the Act, as amended:** The term "act of terrorism" means any act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of an air carrier or vessel or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. Any coverage you purchase for "acts of terrorism" shall expire at 12:00 midnight December 31, 2027, the date on which the TRIA Program is scheduled to terminate, or the expiry date of the policy whichever occurs first, and shall not cover any losses or events which arise after the earlier of these dates.

YOU SHOULD KNOW THAT COVERAGE PROVIDED BY THIS POLICY FOR LOSSES CAUSED BY CERTIFIED ACTS OF TERRORISM IS PARTIALLY REIMBURSED BY THE UNITED STATES UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THIS FORMULA, THE UNITED STATES PAYS 80% OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURER(S) PROVIDING THE COVERAGE. YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A USD100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURERS' LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS USD100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEED USD100 BILLION, YOUR COVERAGE MAY BE REDUCED.

It is hereby noted that the Insurer(s) have made available coverage for "insured losses" directly resulting from an "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended ("TRIA") and the Insured has declined or not confirmed to purchase this coverage.

This Insurance therefore affords no coverage for losses directly resulting from any "act of terrorism" as defined in TRIA except to the extent, if any, otherwise provided by this policy.

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

If you have any questions about this or any other insurance matter, please contact your agent or broker representing Velocity Specialty Insurance Company, National Fire & Marine Insurance Company, Certain Underwriters at Lloyd's and Other Insurers Subscribing to Binding Authority UMR B604510568622025, United Specialty Insurance Company, Fortegra Specialty Insurance Company and Emerald Bay Specialty Insurance Company.

SERVICE OF SUIT

THIS ENDORSEMENT CHANGES THE POLICY, PLEASE READ IT CAREFULLY

This endorsement does not change any other provision of the insurance Policy to which it is affixed. This endorsement is a part of this insurance Policy and takes effect on the effective date of this insurance Policy unless another effective date is shown.

- A. This Service of Suit Clause should not be read to conflict with or override the obligations of the parties to arbitrate their disputes as provided for in any Arbitration Provision within this Policy. This Clause is intended as an aid to compelling arbitration or enforcing such Arbitration Provision or arbitral award, not as an alternative to arbitration for resolving disputes arising out of this contract of insurance.
- B. In the event a suit is filed, we agree to submit to the jurisdiction of any court of competent jurisdiction within the United States in which the suit may be brought. Nothing in this condition constitutes or should be understood to constitute a waiver of our right to enforce an Arbitration Provision, commence an action in any court of competent jurisdiction in the United States to remove an action to a United States District Court or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. We specifically reserve the right to remove any suit to a United States District Court to compel arbitration.
- C. It is further agreed that service of process in such suit may be made upon:

Velocity Specialty Insurance Company

Attention : Legal Department
10 Burton Hills Blvd. Suite 300 B Nashville, TN
37215

National Fire & Marine Insurance Company

Attention : Raj. R. Mehta
1314 Douglas Street, Suite 1400, Omaha, NE
68102-1944

**Certain Underwriters at Lloyd's and Other
Insurers Subscribing to Binding Authority UMR
B604510568622025**

Lloyd's America, In
Attention : Legal Department
18th Floor, 125 Old Broad Street, London EC2N
1AR, United Kingdom

United Specialty Insurance Company

Attention : Legal Department
1900 L. Don Dodson Drive Bedford, TX 76201

SERVICE OF SUIT

Fortegra Specialty Insurance Company

Attention : Corporate Creations Registered Agent
Offices

10751 Deerwood Park Blvd., Suite 200
Jacksonville FL 32256

Emerald Bay Specialty Insurance Company

Attention : General Counsel

177 Madison Ave, Suite 1004, Morristown, NJ
07960

legal@emeraldbayrisk.com

or his or her representative, and that in any suit instituted against us with respect to this Policy, we will abide by the final decision of such court or of any appellate court in the event of an appeal.

- D. Additionally, pursuant to any statute of any state, territory, or district of the United States which makes provisions, we designate the Superintendent, Commissioner, or Director of Insurance, or other officer specified for that purpose in the statute, or his or her successor or successors in office as our true and lawful attorney upon whom service may be made of any lawful process in any action, suit, or proceeding instituted by you or on your behalf or any beneficiary arising out of this Policy of insurance, and we designate the above named Counsel as the person to whom the said officer is authorized to mail such process or a true copy thereof.